

Payment Services Act 2019

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PAYMENT SERVICES ACT 2019

2020 REVISED EDITION

This revised edition incorporates all amendments up to and including 1 December 2021 and comes into operation on 31 December 2021

An Act to provide for the licensing and regulation of payment service providers, the oversight of payment systems, and connected matters and to make consequential and related amendments to certain other Acts.

[28 January 2020: Except sections 111, 113 and 114 ;

30 July 2020: Section 114 ;

31 May 2021: Section 111]

PART 1

PRELIMINARY

Short title and commencement

1.—(1) This Act is the Payment Services Act 2019.

(2) Section 113 comes into operation on a date that the Minister appoints by notification in the *Gazette*.

Interpretation

2.—(1) In this Act, unless the context otherwise requires —

“5% controller”, in relation to a corporation (being a licensee or an operator of a designated payment system), means a person that alone or together with the person’s associates —

- (a) has an interest in at least 5%, but less than 12%, of the shares in the corporation; or
- (b) is in a position to control at least 5%, but less than 12%, of the votes in the corporation;

“12% controller”, in relation to a corporation (being a licensee or an operator of a designated payment system), means a person that alone or together with the person’s associates —

- (a) has an interest in at least 12%, but less than 20%, of the shares in the corporation; or
- (b) is in a position to control at least 12%, but less than 20%, of the votes in the corporation;

“20% controller”, in relation to a corporation (being a licensee or an operator of a designated payment system), means a person that alone or together with the person’s associates —

- (a) has an interest in at least 20% of the shares in the corporation; or
- (b) is in a position to control at least 20% of the votes in the corporation;

“access”, in relation to a payment system, means an entitlement or eligibility to be a participant in the payment system;

“access regime”, in relation to a payment system, means an access regime imposed by the Authority under section 51 and that is in force;

“account issuance service” has the meaning given by Part 3 of the First Schedule;

“arrangement” includes any formal or informal scheme, arrangement or understanding, and any trust whether express or implied;

“Authority” means the Monetary Authority of Singapore established under the Monetary Authority of Singapore Act 1970;

“bank”, “bank in Singapore” and “banking business” have the meanings given by section 2(1) of the Banking Act 1970;

“book” includes any record, register, document or other record of information and any account or accounting record, however compiled, recorded or stored, whether in written or printed form or on microfilm or by electronic process or otherwise;

“calendar year” means a period from 1 January to 31 December (both dates inclusive);

“chief executive officer”, in relation to a corporation, means a person (however designated) who —

- (a) is in the direct employment of, or acting for or by arrangement with, the corporation; and
- (b) is principally responsible for the management and conduct of the business of the corporation;

“company” and “corporation” have the meanings given by section 4(1) of the Companies Act 1967;

“consolidated financial statements” has the meaning given by section 209A of the Companies Act 1967;

“credit card” and “charge card” have the meaning given by section 56 of the Banking Act 1970;

“cross-border money transfer service” has the meaning given by Part 3 of the First Schedule;

“currency” means currency notes and coins that are legal tender in Singapore or a country or territory other than Singapore;

“deposit” and “deposit-taking business” have the meanings given by section 4B of the Banking Act 1970;

“designated payment system” means a payment system that is designated by the Authority under section 42 to be a designated payment system for the purposes of this Act;

“digital payment token” means any digital representation of value (other than an excluded digital representation of value) that —

- (a) is expressed as a unit;
- (b) is not denominated in any currency, and is not pegged by its issuer to any currency;

- (c) is, or is intended to be, a medium of exchange accepted by the public, or a section of the public, as payment for goods or services or for the discharge of a debt;
- (d) can be transferred, stored or traded electronically; and
- (e) satisfies such other characteristics as the Authority may prescribe;

[Deleted by Act 1 of 2021 wef 04/04/2024]

“digital payment token account” means any account, or any device or facility (whether in physical or electronic form), that contains digital payment tokens;
[Act 1 of 2021 wef 04/04/2024]

“digital payment token instrument” and “digital payment token service” have the meanings given by Part 3 of the First Schedule;
[Act 1 of 2021 wef 04/04/2024]

“director” has the meaning given by section 4(1) of the Companies Act 1967;

“domestic money transfer service” has the meaning given by Part 3 of the First Schedule;

“e-money” means any electronically stored monetary value that —

- (a) is denominated in any currency, or pegged by its issuer to any currency;
- (b) has been paid for in advance to enable the making of payment transactions through the use of a payment account;
- (c) is accepted by a person other than its issuer; and
- (d) represents a claim on its issuer,

but does not include any deposit accepted in Singapore, from any person in Singapore;

“e-money issuance service” has the meaning given by Part 3 of the First Schedule;

“employee”, in relation to an employer, includes an individual seconded or temporarily transferred to the employer from another employer;

“entity” means any body corporate or unincorporate, whether incorporated, formed or established in or outside Singapore;

“excluded digital representation of value” means a digital representation of value that is prescribed by the Authority as an excluded digital representation of value;

“executive director” means a director who is concurrently an executive officer;

“executive officer”, in relation to a corporation, means any individual (however designated) who —

- (a) is in the direct employment of, or acting for or by arrangement with, the corporation; and
- (b) is concerned with or takes part in the management of the corporation on a day-to-day basis;

“exempt payment service provider”, in respect of any payment service, means a person that is exempt under section 13(1) from the requirement under section 5(1) to have in force a licence that entitles the person to carry on a business of providing that payment service;

“financial regulatory authority”, in relation to a foreign country or territory, means an authority of the foreign country or territory exercising any function that corresponds to a regulatory function of the Authority under this Act, the Monetary Authority of Singapore Act 1970 or any of the written laws set out in the Schedule to that Act;

“financial statements” has the meaning given by section 209A of the Companies Act 1967;

“financing business” has the meaning given by section 2 of the Finance Companies Act 1967;

“Guidelines on Fit and Proper Criteria” means the document (as revised from time to time) that is called by that title, issued by the Authority and published on the Authority’s website;

“indirect controller”, in relation to a corporation (being a licensee or an operator of a designated payment system) —

- (a) means any person, whether acting alone or together with any other person, and whether with or without holding shares or controlling voting power in the corporation —
 - (i) in accordance with whose directions, instructions or wishes the directors of the corporation are accustomed or under an obligation, whether formal or informal, to act; or
 - (ii) that is in a position to determine the policy of the corporation; but

(b) excludes any person —

- (i) who is a director or other officer of the corporation and whose appointment has been approved by the Authority; or
- (ii) in accordance with whose directions, instructions or wishes the directors of the corporation are accustomed to act by reason only that they act on advice given by the person in the person's professional capacity;

“licence” means a licence granted under section 6;

“licensee” means a payment service provider the licence of which is in force;

“limited liability partnership” has the meaning given by section 4(1) of the Limited Liability Partnerships Act 2005;

“major payment institution” means a person that has in force a major payment institution licence granted under section 6;

“merchant” means a person (other than an individual who is not required to be registered under the Business Names Registration Act 2014) who, in the course of the person's business —

- (a) provides goods or services;
- (b) promotes the use or purchase of goods or services; or
- (c) receives, or is entitled to receive, any money or other consideration for providing goods or services,

and includes any employee or agent of the person;

“merchant acquisition service” has the meaning given by Part 3 of the First Schedule;

“money” includes e-money but excludes any digital payment token and any excluded digital representation of value;

“money-changing service” has the meaning given by Part 3 of the First Schedule;

“operator”, in relation to a payment system, means a person that operates the payment system;

“participant”, in relation to a payment system, means any person that is recognised in the rules of the payment system, or is otherwise recognised by the operator or settlement institution of the payment system, as being eligible to settle

payments through the payment system with other persons that are similarly recognised, or to process payments through the payment system;

“partner”, in relation to a limited liability partnership, has the meaning given by section 2(1) of the Limited Liability Partnerships Act 2005;

“payee” means a person that is the intended recipient of money that is the subject of a payment transaction;

“payer” means a person that initiates, or consents to the initiation of, a payment order for the transfer of money;

“payment account” —

(a) means any account, or any device or facility (whether in physical or electronic form), that —

(i) is held in the name, or associated with the unique identifier, of any person, and is used by that person for the initiation of a payment order or the execution of a payment transaction, or both; or

(ii) is held in the names, or associated with the unique identifiers, of 2 or more persons, and is used by any of those persons for the initiation of a payment order or the execution of a payment transaction, or both; and

(b) includes a bank account, debit card, credit card or charge card;

“payment order” means an instruction to a payment service provider requesting for the execution of a payment transaction;

“payment service” means any service that is specified in Part 1 of the First Schedule, but excludes any service that is specified in Part 2 of that Schedule;

“payment service provider” means any person that provides a payment service;

“payment service user” means any person that uses a payment service in the capacity of a payer or a payee, or of both;

“payment system” means a funds transfer system or other system that facilitates the circulation of money, and includes any instruments and procedures that relate to the system;

“payment transaction” means the placing, transfer or withdrawal of money, whether for the purpose of paying for goods or services or for any other

purpose, and regardless of whether the intended recipient of the money is entitled to the money;

“permanent place of business”, in relation to a licensee, or an operator or a settlement institution of a designated payment system, means each fixed location in Singapore used by the licensee, operator or settlement institution for carrying on its business, regardless whether the business is carried on within a single building or at a single business address;

“place of business”, in relation to a licensee, or an operator or a settlement institution of a designated payment system, means any location (including a kiosk that can be moved from one location to another) in Singapore used by the licensee, operator or settlement institution for carrying on its business;

“prohibition order” means —

- (a) a prohibition order made under section 68(1) of the Financial Advisers Act 2001 as in force immediately before the date of commencement of section 200(1)(b) and (2) to (7) of the Financial Services and Markets Act 2022;
- (b) a prohibition order made under section 68(1) of the Financial Advisers Act 2001 as in force immediately before the date of commencement of section 200(1)(b) and (2) to (7) of the Financial Services and Markets Act 2022, and as continued by section 217(2) of the Financial Services and Markets Act 2022;
- (c) an order made under section 74(1) of the Insurance Act 1966 as in force immediately before the date of commencement of section 204(1) to (4) of the Financial Services and Markets Act 2022;
- (d) an order made under section 74(1) of the Insurance Act 1966 as in force immediately before the date of commencement of section 204(1) to (4) of the Financial Services and Markets Act 2022, and as continued by section 218(2) of the Financial Services and Markets Act 2022;
- (e) a prohibition order made under section 101A(1) of the Securities and Futures Act 2001 as in force immediately before the date of commencement of section 209(1)(a), (c) and (d), (4) to (14), (17) and (18) of the Financial Services and Markets Act 2022;
- (f) a prohibition order made under section 101A(1) of the Securities and Futures Act 2001 as in force immediately before the date of commencement of section 209(1)(a), (c) and (d), (4) to (14), (17) and

(18) of the Financial Services and Markets Act 2022, and as continued by section 220(3) of the Financial Services and Markets Act 2022; or

- (g) a prohibition order made under section 7(1) of the Financial Services and Markets Act 2022;

[Act 18 of 2022 wef 31/07/2024]

“public authority” means —

- (a) the Government, including any ministry, department or agency of the Government, or an Organ of State; or
- (b) any body established or constituted by or under a public Act to perform or discharge any public function;

“registered office” means a registered office maintained under section 142(1) or 370(1) of the Companies Act 1967;

“regulated financial institution” means a person that carries on a business, the conduct of which is regulated or authorised by the Authority or, if it is carried on in Singapore, would be regulated or authorised by the Authority;

“relevant payment system” means any of the following payment systems:

- (a) a payment system operated by a major payment institution;
- (b) a payment system operated by an exempt payment service provider;
- (c) a payment system operated by a person exempt under section 100 from having in force a licence;
- (d) a designated payment system;

“settlement institution” means a person that provides facilities for —

- (a) the participants of a payment system to hold funds; and
- (b) the settling of transactions between the participants;

“share” has the meaning given by section 4(1) of the Companies Act 1967 and includes an interest in a share;

“Singapore operator” means an operator that is incorporated in Singapore;

“Singapore settlement institution” means a settlement institution that is incorporated in Singapore;

“specified e-money” means any e-money that has been issued —

- (a) to any person whom the issuer of the e-money has determined, according to such criteria as the Authority may specify by written notice, to be resident in Singapore; or
- (b) in Singapore to a person whom the issuer of the e-money has not determined, according to such criteria as the Authority may specify by written notice, to be resident outside Singapore;

“standard payment institution” means a person that has in force a standard payment institution licence granted under section 6;

“treasury share” has the meaning given by section 4(1) of the Companies Act 1967;

“unique identifier” means a combination of letters, numbers or symbols used by a payment service user to identify unambiguously either or both of the following for the purposes of a payment transaction:

- (a) any payment service user that is a party to the payment transaction;
- (b) any payment account;

“voting share” has the meaning given by section 4(1) of the Companies Act 1967.

(2) In this Act, unless the context otherwise requires —

- (a) a person has an interest in a share if —
 - (i) the person has or is treated as having an interest in that share under section 7(1A), (1B), (2), (6) and (7) to (10) of the Companies Act 1967; or
 - (ii) the person has any legal or equitable interest in that share, except an interest that is to be disregarded under section 7(9) of the Companies Act 1967;
- (b) a reference to the control of a percentage of the votes in a corporation (being a licensee or an operator of a designated payment system) is a reference to the control, whether direct or indirect, of that percentage of the total number of votes that might be cast in a general meeting of the corporation;
- (c) a person (*A*) is an associate of another person (*B*) if —
 - (i) *A* is the spouse, a parent, remoter lineal ancestor or step-parent, a son, daughter, remoter issue, stepson or stepdaughter, or a

brother or sister, of *B*;

- (ii) *A* is a body corporate that is, or a majority of the directors of which are, accustomed or under an obligation, whether formal or informal, to act in accordance with the directions, instructions or wishes of *B*;
- (iii) *A* is a person that is accustomed or under an obligation, whether formal or informal, to act in accordance with the directions, instructions or wishes of *B*;
- (iv) *A* is a subsidiary of *B*;
- (v) *A* is a body corporate in which *B*, whether alone or together with other associates of *B* as described in sub-paragraphs (ii), (iii) and (iv), is in a position to control 20% or more of the votes in *A*; or
- (vi) *A* is a person with whom *B* has an agreement or arrangement (whether oral or in writing and whether express or implied) to act together with respect to the acquisition, holding or disposal of shares or other interests in, or with respect to the exercise of their votes in relation to, the corporation (being a licensee or an operator of a designated payment system) mentioned in the definition of “5% controller”, “12% controller” or “20% controller”;

(d) a person has a substantial shareholding in a corporation if —

- (i) the person has an interest in one or more voting shares (excluding treasury shares) in the corporation; and
- (ii) the total votes attached to that share, or those shares, is at least 5% of the total votes attached to all the voting shares (excluding treasury shares) in the corporation; and

(e) a person has a substantial shareholding in a corporation, the share capital of which is divided into 2 or more classes of shares, if —

- (i) the person has an interest in one or more voting shares (excluding treasury shares) included in one of those classes; and
- (ii) the total votes attached to that share, or those shares, is at least 5% of the total votes attached to all the voting shares (excluding

treasury shares) included in that class.

(3) In any case where the functions of the operator or settlement institution of a payment system are assumed by or shared among 2 or more operators or settlement institutions, a reference in this Act to the operator or settlement institution is a reference to each such operator or settlement institution.

(4) For the purposes of sections 5(2) and 13(13) and paragraph 2(i) of the First Schedule, a payment service, or the provision of a payment service, is incidental to any other business carried on by a person, if the payment service —

- (a) is carried on, offered or provided by that person to support that other business; and
- (b) is provided by that person in connection with the carrying on of that other business.

Application of Act

3.—(1) Subject to subsection (2), this Act does not apply to any public authority.

(2) The Minister may by order declare that a public authority is one to which this Act applies.

Appointment of assistants

4.—(1) Subject to subsection (2), the Authority may appoint any person to exercise any of its powers or perform any of its functions or duties under this Act, either generally or in any particular case, except —

- (a) the power of appointment conferred by this subsection; and
- (b) the power to make subsidiary legislation.

(2) The Authority may appoint one or more of its officers to exercise the power, under a provision of this Act specified in the Second Schedule, to grant an exemption to a particular person, or to revoke any such exemption.

[Act 5 of 2025 wef 09/03/2025]

(2A) An appointment under subsection (2) must be published in the *Gazette*.

[Act 5 of 2025 wef 09/03/2025]

(3) Any person appointed under subsection (1) or officer appointed under subsection (2) is taken to be a public servant for the purposes of the Penal Code 1871.

PART 2

LICENSING OF PAYMENT SERVICE PROVIDERS

Division 1 — Licensing of payment service providers

Licensing of payment service providers

5.—(1) A person must not carry on a business of providing any type of payment service in Singapore, unless the person —

- (a) has in force a licence that entitles the person to carry on a business of providing that type of payment service; or
- (b) is an exempt payment service provider in respect of that type of payment service.

(2) For the purposes of subsection (1), where a person provides any type of payment service while the person carries on any business (called in this subsection the primary business) —

- (a) the person is presumed to carry on a secondary business of providing that type of payment service, regardless whether the provision of that type of payment service is related or incidental to the primary business; and
- (b) the presumption in paragraph (a) is not rebutted by proof that the provision of that type of payment service is related or incidental, or is both related and incidental, to the primary business.

(3) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

Application for licence

6.—(1) A person that wishes to carry on a business of providing any type of payment service may apply to the Authority, in such form and manner as the Authority may require, for the appropriate licence under this section.

(2) The types of licences that may be applied for under subsection (1) are as follows:

- (a) a money-changing licence;
- (b) a standard payment institution licence;
- (c) a major payment institution licence.

(3) A person must have in force a money-changing licence to be entitled to carry on a business of providing a money-changing service, unless the person has in force a standard payment institution licence or major payment institution licence that entitles the person to carry on a business of providing that service.

(4) A person must have in force a standard payment institution licence or a major payment institution licence to be entitled to carry on a business of —

- (a) providing one of the following payment services:
 - (i) an account issuance service;
 - (ii) a domestic money transfer service;
 - (iii) a cross-border money transfer service;
 - (iv) a merchant acquisition service;
 - (v) an e-money issuance service;
 - (vi) a digital payment token service; or
- (b) providing 2 or more of the following payment services:
 - (i) an account issuance service;
 - (ii) a domestic money transfer service;
 - (iii) a cross-border money transfer service;
 - (iv) a merchant acquisition service;
 - (v) an e-money issuance service;
 - (vi) a digital payment token service;
 - (vii) a money-changing service.

(5) Despite subsection (4), a licensee must have in force a major payment institution licence if —

- (a) both of the following apply:
- (i) the licensee carries on a business of providing one or more of the following payment services:
 - (A) an account issuance service (other than an e-money account issuance service);
 - (B) a domestic money transfer service;
 - (C) a cross-border money transfer service;
 - (D) a merchant acquisition service;
 - (E) a digital payment token service;
 - (ii) the average, over a calendar year, of the total value of all payment transactions that are accepted, processed or executed by the licensee in one month exceeds —
 - (A) \$3 million (or its equivalent in a foreign currency), for any one of those payment services; or
 - (B) \$6 million (or its equivalent in a foreign currency), for 2 or more of those payment services;
- (b) both of the following apply:
- (i) the licensee carries on a business of providing an e-money account issuance service;
 - (ii) the sum of the following amounts exceeds \$5 million (or its equivalent in a foreign currency):
 - (A) the average, over a calendar year, of the total value in one day of all e-money that is stored in any payment account issued by the licensee to a person whom the licensee has determined, according to such criteria as the Authority may specify by written notice, to be resident in Singapore;
 - (B) the average, over a calendar year, of the total value in one day of all e-money that is issued in Singapore, and is stored in any payment account issued by the licensee to any person whom the licensee has not determined, according to such criteria as the Authority may specify

by written notice, to be resident outside Singapore; or

(c) both of the following apply:

- (i) the licensee carries on a business of providing an e-money issuance service;
- (ii) the average, over a calendar year, of the total value in one day of all specified e-money that is issued by the licensee exceeds \$5 million (or its equivalent in a foreign currency).

(6) Where any licensee mentioned in subsection (5)(a)(i), (b)(i) or (c)(i) does not have in force a major payment institution licence on the relevant date —

- (a) that licensee must, within the prescribed period, apply under section 7(1) to change that licensee's licence to a major payment institution licence; and
- (b) subsection (5) does not apply to that licensee —
 - (i) during the prescribed period mentioned in paragraph (a); and
 - (ii) if that licensee complies with paragraph (a), until the date on which the application mentioned in that paragraph —
 - (A) is withdrawn by the licensee; or
 - (B) is approved or refused by the Authority.

(7) Upon receiving an application under subsection (1), the Authority may —

- (a) grant a licence to the applicant, in respect of one or more types of payment services, with or without conditions; or
- (b) refuse to grant a licence.

(8) Where an applicant has applied for a money-changing licence, the Authority must not grant the licence to the applicant unless —

- (a) the applicant has a permanent place of business, or a registered office in Singapore;
- (b) the Authority —
 - (i) is satisfied that the applicant is a fit and proper person under the Guidelines on Fit and Proper Criteria;

- (ii) is satisfied as to the financial condition of the applicant;
 - (iii) is satisfied that the public interest will be served by the granting of the licence; and
 - (iv) is satisfied that the applicant meets such other criteria for the grant of the licence as the Authority considers relevant; and
- (c) the application is accompanied by —
 - (i) such information as the Authority may require; and
 - (ii) a non-refundable application fee of a prescribed amount that is payable in such manner as the Authority may specify.

(9) Where an applicant has applied for a standard payment institution licence or major payment institution licence, the Authority must not grant the licence to the applicant unless —

- (a) the applicant is a company, or is a corporation formed or incorporated outside Singapore;
- (b) the applicant has a permanent place of business, or a registered office in Singapore;
- (c) an executive director of the applicant —
 - (i) is a citizen or permanent resident of Singapore; or
 - (ii) if the applicant satisfies such conditions as may be prescribed, belongs to a prescribed class of persons;
- (d) the applicant satisfies such financial requirements as may be prescribed;
- (e) the Authority —
 - (i) is satisfied that the applicant is a fit and proper person under the Guidelines on Fit and Proper Criteria;
 - (ii) is satisfied as to the financial condition of the applicant;
 - (iii) is satisfied that the public interest will be served by the granting of the licence; and
 - (iv) is satisfied that the applicant meets such other criteria for the

grant of the licence as the Authority considers relevant;

- (f) the applicant satisfies such operational requirements as the Authority may specify; and
- (g) the application is accompanied by —
 - (i) such information as the Authority may require; and
 - (ii) a non-refundable application fee of a prescribed amount that is payable in such manner as the Authority may specify.

(10) The Authority may at any time add to, vary or revoke any of the conditions of a licence imposed under subsection (7)(a) or this subsection.

(11) The Authority must not refuse an application under subsection (1) without giving the applicant an opportunity to be heard.

(12) Every standard payment institution and every major payment institution must, while its licence is in force, satisfy —

- (a) such financial requirements as may be prescribed; and
- (b) such operational requirements and other requirements as the Authority may specify by written notice.

(13) A standard payment institution or major payment institution that fails to comply with any requirement mentioned in subsection (12) must immediately notify the Authority of the failure.

(14) Where a standard payment institution or major payment institution fails to comply with any requirement under subsection (12) —

- (a) the Authority may, by written notice to that institution, do either or both of the following:
 - (i) restrict or suspend the operations of that institution;
 - (ii) give such directions to that institution as the Authority considers appropriate; and
- (b) that institution must comply with that notice.

(15) A licensee that contravenes subsection (5) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(16) A licensee that, without reasonable cause, contravenes subsection (12), or fails to comply with any condition imposed by the Authority under subsection (7)(a) or (10), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(17) In this section —

“e-money account issuance service” means an account issuance service where each payment account issued stores e-money;

“relevant date” means —

- (a) in relation to a licensee mentioned in subsection (5)(a)(i), the date on which subsection (5)(a)(ii) first applies to that licensee;
- (b) in relation to a licensee mentioned in subsection (5)(b)(i), the date on which subsection (5)(b)(ii) first applies to that licensee; or
- (c) in relation to a licensee mentioned in subsection (5)(c)(i), the date on which subsection (5)(c)(ii) first applies to that licensee.

Variation or change of licence

7.—(1) A licensee may apply to the Authority, in the form and manner prescribed, for any of the following things:

- (a) a variation of the licensee’s standard payment institution licence or major payment institution licence by changing the types of payment services that the licence entitles the licensee to carry on a business of providing;
- (b) a change of the licensee’s money-changing licence to a standard payment institution licence or a major payment institution licence;
- (c) a change of the licensee’s standard payment institution licence to a money-changing licence or a major payment institution licence;

- (d) a change of the licensee's major payment institution licence to a money-changing licence or a standard payment institution licence.

(2) The Authority may require an applicant to provide the Authority with such information or documents in relation to the application as the Authority considers necessary.

(3) An application under subsection (1) must be accompanied by a non-refundable application fee of the prescribed amount that is payable in such manner as the Authority may specify by written notice.

(4) The Authority may approve an application under subsection (1) subject to such conditions or restrictions as the Authority thinks fit, or may refuse the application.

(5) The Authority must not refuse an application under subsection (1) without giving the applicant an opportunity to be heard.

Holding out as licensee, etc.

8.—(1) A person —

- (a) must not hold the person out as carrying on a business of providing any type of payment service, unless the person is a licensee that is entitled to carry on a business of providing that type of payment service, an exempt payment service provider in respect of that type of payment service, or a person exempt under section 100 in respect of that type of payment service; and
- (b) must not hold the person out as a licensee, unless the person has in force a licence.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

Prohibition against solicitation

9.—(1) A person (other than a licensee or an exempt payment service provider),

whether in Singapore or elsewhere, must not, whether by that person or through any other person in Singapore or elsewhere, do any of the following things:

- (a) offer to provide, or issue any advertisement containing any offer to provide, to the public in Singapore or any section of the public in Singapore, any type of payment service, whether in Singapore or elsewhere;
- (b) make an offer or invitation, or issue any advertisement containing any offer or invitation, to the public in Singapore or any section of the public in Singapore, to enter into any agreement relating to the provision by any person of any type of payment service, whether in Singapore or elsewhere.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(3) A person in Singapore (whether or not a licensee or an exempt payment service provider) must not, on behalf of a person outside Singapore that is not a licensee and is not an exempt payment service provider, do any of the following things:

- (a) offer to provide, or issue any advertisement containing any offer to provide, to the public in Singapore or any section of the public in Singapore, any type of payment service, whether in Singapore or elsewhere;
- (b) make an offer or invitation, or issue any advertisement containing any offer or invitation, to the public in Singapore or any section of the public in Singapore, to enter into any agreement relating to the provision by any person of any type of payment service, whether in Singapore or elsewhere.

(4) A person that contravenes subsection (3) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or

- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(5) For the purposes of subsections (1) and (3), in determining whether an offer, invitation or advertisement is made or issued to the public in Singapore or any section of the public in Singapore, a person must have regard to such considerations as the Authority may prescribe.

(6) A person whose business is to publish, or to arrange for the publication, of advertisements (called in this subsection the publisher) shall not be guilty of an offence under subsection (2) or (4) if the publisher proves that —

- (a) the publisher received the advertisement for publication in the ordinary course of the publisher's business;
- (b) the matters contained in the advertisement were not, wholly or in part, devised or selected by the publisher or by any person under the publisher's direction or control; and
- (c) the publisher did not know and had no reason for believing that the publication of the advertisement would constitute an offence.

Annual fees of licensees

10.—(1) A licensee must pay to the Authority a prescribed annual fee in such manner as the Authority may specify by written notice.

(2) The Authority may prescribe different annual fees for different classes of licensees, depending on the type and number of payment services that a licensee in such a class is entitled to carry on a business of providing, the volume of transactions accepted, processed or executed by a licensee in such a class, and all other factors which the Authority may consider relevant.

(3) The Authority may, where the Authority considers it to be appropriate in a particular case, waive, refund or remit the whole or any part of any annual fee paid or payable to the Authority.

Lapsing, surrender, revocation or suspension of licence

11.—(1) A licence lapses —

- (a) if the licensee (being an entity) is wound up or otherwise dissolved, whether in Singapore or elsewhere;

- (b) if the licensee (being an individual) dies, becomes mentally incapacitated or is adjudicated a bankrupt; or
- (c) upon the occurrence of such other event as may be prescribed.

(2) The Authority may revoke a licence if —

- (a) it appears to the Authority that any of the following persons is not a fit and proper person under the Guidelines on Fit and Proper Criteria:
 - (i) the licensee;
 - (ii) any officer or employee of the licensee;
 - (iii) where the licensee is a partnership or limited liability partnership, any partner of that partnership or limited liability partnership;
 - (iv) where the licensee is a corporation, any 5% controller, 12% controller, 20% controller or indirect controller of the licensee;
- (b) it appears to the Authority that either of the following is not satisfactory:
 - (i) the financial standing of the licensee;
 - (ii) the manner in which the licensee's business is being conducted;
- (c) the licensee has contravened, or continues to contravene, any provision of this Act, or has failed, or continues to fail, to comply with any condition or restriction imposed, or any written notice issued, by the Authority under this Act;
- (d) the licensee has failed to comply with any written notice issued by the Authority under the Monetary Authority of Singapore Act 1970;
[Act 18 of 2022 wef 28/04/2023]
- (e) it appears to the Authority that the licensee has failed, or continues to fail, to comply with any of the licensee's obligations under or arising from —
 - (i) this Act; or
 - (ii) any written notice issued by the Authority under this Act;
- (f) the licensee has provided to the Authority any information or document required under this Act that is false or misleading in a material particular;
- (g) it appears to the Authority that any of the following persons has not

performed that person's duties under this Act honestly or fairly:

- (i) the licensee;
 - (ii) any officer or employee of the licensee;
 - (iii) where the licensee is a partnership or limited liability partnership, any partner of that partnership or limited liability partnership;
- (h) it appears to the Authority that it would be contrary to the public interest for the licensee to continue its operations;
- (i) the licensee fails to pay the annual fee mentioned in section 10(1);
- (j) the licensee fails or ceases to carry on a business of providing any type of payment service that the licensee is entitled to carry on a business of providing;
- (k) the licensee fails or ceases to have an executive director who —
- (i) is a citizen or permanent resident of Singapore; or
 - (ii) belongs to the prescribed class of persons mentioned in section 6(9)(c)(ii);
- [Act 18 of 2022 wef 28/04/2023]*
- (l) if any executive director of the licensee belongs to the prescribed class of persons mentioned in section 6(9)(c)(ii), the licensee does not or ceases to satisfy any condition mentioned in section 6(9)(c)(ii); or
- [Act 18 of 2022 wef 28/04/2023]*
- (m) the licensee has failed, or continues to fail, to comply with any written notice issued by the Authority under the Financial Services and Markets Act 2022.

[Act 18 of 2022 wef 28/04/2023]

(3) The Authority may, if the Authority considers it desirable to do so —

- (a) suspend the licence of a licensee for a specified period, instead of revoking the licence under subsection (2); and
- (b) at any time —
 - (i) extend the suspension for a specified period; or
 - (ii) cancel the suspension.

(4) Except as provided in subsection (5), the Authority must not revoke a licence under subsection (2) or suspend a licence under subsection (3), without giving the licensee an opportunity to be heard.

(5) The Authority may revoke or suspend a licence of a licensee, without giving the licensee an opportunity to be heard, in any of the following circumstances:

- (a) the licensee (being an entity) is in the course of being wound up or otherwise dissolved, whether in Singapore or elsewhere;
- (b) a receiver, a receiver and manager, a judicial manager or an equivalent person has been appointed, whether in Singapore or elsewhere, for or in respect of any property of the licensee;
- (c) any of the following persons has been convicted, whether in Singapore or elsewhere, of an offence involving fraud or dishonesty, or of an offence the conviction for which involves a finding that the person convicted had acted fraudulently or dishonestly, whether the applicable offence is committed before, on or after 28 January 2020:
 - (i) the licensee;
 - (ii) where the licensee is a partnership or limited liability partnership, any partner of that partnership or limited liability partnership;
 - (iii) where the licensee is a corporation, any director, 5% controller, 12% controller, 20% controller or indirect controller of the licensee.

(6) A licensee whose licence has lapsed, or is revoked or suspended, must cease to carry on the business of providing any type of payment service from the date the licence lapses, or the revocation or suspension takes effect, as the case may be.

(7) Despite the lapsing or revocation of a licence granted to a person, unless the Authority otherwise directs, sections 16, 37, 72, 74, 76B and 76C continue to apply in relation to the person in respect of matters that occurred before the lapsing or revocation of the licence.

[Act 12 of 2024 wef 24/01/2025]

(8) A person that contravenes subsection (6) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(9) A licensee may surrender the licensee's licence by submitting to the Authority a written notice of surrender, in such form as may be specified by the Authority by written notice.

(10) Any surrender, lapsing, revocation or suspension of a person's licence —

- (a) does not avoid or affect any agreement, transaction or arrangement relating to the person's business of providing any payment service that is entered into by the person, whether the agreement, transaction or arrangement was entered into before or after the surrender, lapsing, revocation, or suspension (as the case may be) of the licence; and
- (b) does not affect any right, obligation or liability arising under any such agreement, transaction or arrangement.

Appeals to Minister

12.—(1) Any person that is aggrieved —

- (a) by the refusal of the Authority to grant a licence to the person; or
- (b) by the revocation or suspension of the person's licence by the Authority,

may, within 30 days after having been informed by the Authority of the refusal, revocation or suspension, appeal in writing to the Minister, whose decision is final.

Exempt payment service providers

13.—(1) Subject to subsection (8), the following persons are exempt from the requirement to have in force a licence to carry on a business of providing any payment service:

- (a) a bank licensed under the Banking Act 1970;
- (b) a merchant bank licensed under the Banking Act 1970;
- (c) a finance company licensed under the Finance Companies Act 1967;
- (d) a person licensed to carry on the business of issuing credit cards or charge cards in Singapore under section 57B of the Banking Act 1970;
- (e) any other person or class of persons that may be prescribed.

[1/2020]

(2) Subject to the provisions of this Act, sections 15 to 19, 20(2), (4) and (5), 23 and 24 and Division 5 of this Part apply, with the necessary modifications, to an exempt payment service provider mentioned in subsection (1)(a), (b), (c) or (d) in respect of its business of providing any relevant payment service, as if the exempt payment service

provider were a licensee.

(3) The Authority may, on the application of an exempt payment service provider, exempt the exempt payment service provider from complying with any of the provisions mentioned in subsection (2).

(4) The Authority may prescribe the provisions of this Act that apply to an exempt payment service provider mentioned in subsection (1)(e).

(5) An exemption granted under subsection (3) need not be published in the *Gazette*.

(6) The Authority may prescribe, or specify by written notice, the conditions or restrictions that may be imposed on an exempt payment service provider in respect of the carrying on of a business of providing any type of payment service.

(7) The Authority may at any time, by written notice, add to, vary or revoke any of the conditions or restrictions imposed by written notice under subsection (6) or this subsection.

(8) The Authority may by notification in the *Gazette* declare that a person mentioned in subsection (1) ceases to be exempt under that subsection, or may withdraw an exemption granted to a person under subsection (3), if —

- (a) the person contravenes any provision of this Act, or fails to comply with any condition or restriction imposed on the person under subsection (6) or (7); or
- (b) the Authority considers it necessary in the public interest.

(9) Where the Authority makes a declaration or withdraws an exemption under subsection (8), the Authority need not give the affected person an opportunity to be heard.

(10) A person that is aggrieved by a decision of the Authority to make a declaration or withdraw an exemption under subsection (8) in respect of the person may, within 30 days after the date of the decision, appeal in writing to the Minister, whose decision is final.

(11) A declaration or withdrawal of an exemption under subsection (8) in respect of a person —

- (a) does not avoid or affect any agreement, transaction or arrangement, relating to any payment service provided by the person, whether the agreement, transaction or arrangement was entered into before or after the making of the declaration or the withdrawal of the exemption; and
- (b) does not affect any right, obligation or liability arising under any

agreement, transaction or arrangement mentioned in paragraph (a).

(12) An exempt payment service provider that contravenes any condition or restriction imposed under subsection (6) or (7) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(13) In this section, “relevant payment service” —

(a) in relation to an exempt payment service provider mentioned in subsection (1)(a), means any of the following payment services:

- (i) an account issuance service that is not solely incidental to the conduct of any deposit-taking business or banking business;
- (ii) a domestic money transfer service that is not solely incidental to the conduct of any deposit-taking business or banking business;
- (iii) an e-money issuance service;
- (iv) a digital payment token service;

(b) in relation to an exempt payment service provider mentioned in subsection (1)(b), means any of the following payment services:

- (i) an account issuance service that is not solely incidental to the conduct of the business of receiving money on current or deposit account, or the making of advances to customers;
- (ii) a domestic money transfer service that is not solely incidental to the conduct of the business of receiving money on current or deposit account, or the making of advances to customers;
- (iii) an e-money issuance service;
- (iv) a digital payment token service;

(c) in relation to an exempt payment service provider mentioned in subsection (1)(c), means any of the following payment services:

- (i) an account issuance service that is not solely incidental to the conduct of financing business;
- (ii) a domestic money transfer service that is not solely incidental to

- the conduct of financing business;
 - (iii) an e-money issuance service;
 - (iv) a digital payment token service; and
- (d) in relation to an exempt payment service provider mentioned in subsection (1)(d), means any of the following payment services:
- (i) an account issuance service that is not solely incidental to the business of issuing credit cards or charge cards under the Banking Act 1970;
 - (ii) a domestic money transfer service that is not solely incidental to the business of issuing credit cards or charge cards under the Banking Act 1970;
 - (iii) a cross-border money transfer service;
 - (iv) a merchant acquisition service;
 - (v) an e-money issuance service;
 - (vi) a digital payment token service;
 - (vii) a money-changing service.

Division 2 — Conduct of business

Subdivision (1) — General

Place of business or registered office of licensee

14.—(1) A licensee must not carry on a business of providing any type of payment service unless the licensee has —

- (a) a permanent place of business; or
- (b) a registered office in Singapore.

(2) A licensee must appoint at least one person to be present, on such days and at such hours as the Authority may specify by written notice, at the licensee's permanent

place of business or registered office to address any queries or complaints from any payment service user that uses any payment service provided by the licensee or is a customer of the licensee.

(3) A licensee must keep, or cause to be kept, at the licensee's permanent place of business or registered office, books of all the licensee's transactions in relation to any payment service provided by the licensee.

(4) A licensee must notify the Authority of any change in the address of any of the following places within 7 days after the date of that change:

- (a) the licensee's permanent place of business or registered office in Singapore;
- (b) every other place of business of the licensee.

(5) Except with the approval of the Authority under subsection (6), a licensee must not carry on a business of providing any money-changing service or cross-border money transfer service at any place of business other than the licensee's permanent place of business mentioned in subsection (1).

(6) Where a licensee wishes to carry on a business of providing any money-changing service or cross-border money transfer service at any place of business other than the licensee's permanent place of business mentioned in subsection (1) —

- (a) the licensee must, before carrying on any such business at that other place of business, apply in writing to the Authority for approval to do so; and
- (b) the Authority may give its approval for the licensee to carry on that business at that other place of business, subject to such conditions as the Authority thinks fit.

(7) The Authority may at any time add to, vary or revoke any condition imposed under subsection (6) or this subsection.

(8) The Authority may revoke its approval under subsection (6) if the licensee breaches any condition imposed on the licensee under subsection (6) or (7).

(9) A licensee that contravenes subsection (1), (2), (3) or (5) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(10) A licensee that contravenes subsection (4) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$2,000.

Obligation of licensee to notify Authority of certain events

15.—(1) A licensee must notify the Authority of the occurrence of any of the following events as soon as practicable after that occurrence:

- (a) any civil or criminal proceeding instituted against the licensee, whether in Singapore or elsewhere;
- (b) any event (including an irregularity in the operations of the licensee) that materially impedes or impairs the operations of the licensee;
- (c) the licensee being or becoming, or being likely to become, insolvent or unable to meet any of the licensee's financial, statutory, contractual or other obligations;
- (d) any disciplinary action taken against the licensee by any regulatory authority (other than the Authority), whether in Singapore or elsewhere;
- (e) any significant change to the regulatory requirements imposed on the licensee by any regulatory authority (other than the Authority), whether in Singapore or elsewhere;
- (f) any other event that the Authority may prescribe or specify by written notice.

(2) A licensee must notify the Authority of the occurrence of any of the following events within 14 days after the date of that occurrence:

- (a) any change of a director or the chief executive officer of the licensee, except where the licensee is required under section 34 to obtain the Authority's approval to appoint the director or chief executive officer;
- (b) any other event that the Authority may prescribe or specify by written notice.

(3) A person that contravenes subsection (1) or (2) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000.

Obligation of licensee to provide information to Authority

16.—(1) Subject to subsection (4), the Authority may, by written notice, require any licensee, or any person acting on behalf of a licensee, to provide to the Authority, within such period as the Authority may specify in the notice, all such information relating to the licensee's business of providing any payment service as the Authority may specify in the notice.

(2) Without limiting subsection (1), the Authority may, in the notice under that

subsection, require any person mentioned in that subsection to provide —

- (a) information relating to any of the following matters:
 - (i) the operations of the licensee;
 - (ii) the pricing of, or any other form of consideration for, any payment service offered or provided by the licensee; and
- (b) such other information as the Authority may require for the purposes of this Act.

(3) Subject to subsection (4) —

- (a) a requirement imposed by the Authority under this section has effect despite any obligation as to secrecy or other restrictions upon the disclosure of information imposed by any rule of law or contract; and
- (b) a person that complies with a requirement imposed by the Authority under this section is not to be treated as being in breach of any restriction on the disclosure of the information imposed by any rule of law or contract.

(4) Nothing in this section requires a person to disclose any information subject to legal privilege.

(5) A person that fails to comply with a notice under subsection (1) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$12,500 or to imprisonment for a term not exceeding 12 months or to both and, in the case of a continuing offence, to a further fine not exceeding \$1,250 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$25,000 and, in the case of a continuing offence, to a further fine not exceeding \$2,500 for every day or part of a day during which the offence continues after conviction.

Obligation of licensee to submit periodic reports

17.—(1) A licensee must submit to the Authority such reports or returns relating to the licensee's business in such form, manner and frequency as the Authority may specify by written notice.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing

offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

Prohibition against use of unlicensed agent

18.—(1) A licensee must not provide any type of payment service in Singapore through an agent, unless —

- (a) the agent has in force a licence that entitles the agent to carry on a business of providing that type of payment service; or
- (b) the agent is an exempt payment service provider in respect of that type of payment service.

(2) A licensee that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

Prohibition against exchanging e-money withdrawn from payment account for Singapore currency

19.—(1) Where any matter mentioned in subsection (2)(a), (b) or (c) applies, a licensee that carries on a business of providing any account issuance service must not do any of the following things:

- (a) allow any payment service user to whom the licensee has issued any payment account, or provided any service relating to any operation required for operating a payment account, to withdraw e-money from that payment account, and to exchange the e-money withdrawn for Singapore currency, at any of the licensee's places of business;
- (b) enter into any agreement or arrangement (whether oral or in writing and whether express or implied) with any entity that is incorporated, formed or registered in Singapore or that carries on any business in Singapore, being an agreement or arrangement that would allow any payment service user to whom the licensee has issued any payment account, or provided any service relating to any operation required for operating a payment account, to withdraw e-money from that payment account, and to exchange the e-money withdrawn for Singapore currency, in Singapore.

(2) For the purposes of subsection (1), the matters are as follows:

- (a) the licensee has determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident in

Singapore;

- (b) the issuer of the e-money contained in the payment account has determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident in Singapore;
- (c) the e-money contained in the payment account is issued in Singapore, and both of the following apply:
 - (i) the licensee has not determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident outside Singapore;
 - (ii) the issuer of the e-money has not determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident outside Singapore.

(3) A licensee that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(4) Despite subsection (1), a licensee that carries on a business of providing an account issuance service may allow a payment service user to whom the licensee has issued any payment account, or provided any service relating to any operation required for operating a payment account, to withdraw e-money from that payment account, and to exchange the e-money withdrawn for Singapore currency, on the termination of the use of that payment account by that payment service user.

(5) In this section, “Singapore currency” means currency notes and coins that are legal tender in Singapore.

Prohibition from carrying on certain businesses

20.—(1) A licensee must not carry on a business of granting any credit facility to any individual in Singapore.

(2) A licensee that is entitled to and does carry on a business of providing an e-money issuance service —

- (a) must not lend any customer money; and
- (b) must not use any customer money, or any interest earned on any customer money, to finance wholly or to any material extent any activity of any business carried on by the licensee.

(3) A licensee that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(4) A licensee that contravenes subsection (2) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(5) In this section —

“credit facility” means —

- (a) any advance, loan or other facility that is granted by a licensee to a customer who is an individual, and that gives the customer access to any funds or financial guarantee provided by the licensee; or
- (b) any other liability that is incurred by a licensee on behalf of a customer who is an individual;

“customer money” means any money received in Singapore by a licensee from a person in Singapore, in exchange for which the licensee issues any e-money, but does not include any of the following:

- (a) any money paid to the licensee to reduce the amount owed to the licensee by that person;
- (b) any money that is repaid by the licensee to that person;
- (c) any money which is paid to the licensee, or which the licensee has informed that person will be used, to defray any fee or charge imposed by the licensee for providing any payment service to that person;
- (d) any money that is paid to, and received by, a recipient in accordance with the instructions of that person;
- (e) any money paid to any other person that is entitled to the money.

Application of section 14 of Currency Act 1967

21. Section 14 of the Currency Act 1967 does not apply to the issue of e-money.

Additional requirements in respect of licensee providing digital payment token service

21A.—(1) A licensee that provides a digital payment token service must satisfy the requirements prescribed by regulations made under section 103(1) in respect of —

- (a) the extent to which assets (including digital payment tokens) belonging to a customer held by the licensee may be commingled with other assets (including other digital payment tokens) held by the licensee;
- (b) the maintenance in a prescribed manner of a prescribed amount or percentage of the following assets:
 - (i) assets (including digital payment tokens) belonging to the customer held by the licensee;
 - (ii) assets (including digital payment tokens) belonging to the licensee;
 - (iii) other assets (including digital payment tokens) held by the licensee;
- (c) the safeguarding of assets (including digital payment tokens) belonging to customers held by the licensee, in the event of the insolvency of the licensee;
- (d) insurance against the risk of insolvency of the licensee;
- (e) the manner in which the licensee must conduct its dealings with a customer for the following purposes:
 - (i) safeguarding assets (including digital payment tokens) belonging to its customers;
 - (ii) protecting data relating to its customers;
 - (iii) safeguarding digital payment token instruments belonging to its customers;
- (f) the disclosure, to customers of the licensee, of information relating to the manner in which the licensee —
 - (i) safeguards assets (including digital payment tokens) belonging to its customers;
 - (ii) protects data relating to its customers; and
 - (iii) safeguards digital payment token instruments belonging to its customers;

- (g) the monitoring of digital payment token accounts and assets (including digital payment tokens) belonging to customers held by the licensee;
- (h) the standards and processes which the licensee must adopt —
 - (i) to safeguard assets (including digital payment tokens) belonging to customers held by the licensee, and digital payment token instruments, from unauthorised use; and
 - (ii) to protect data relating to customers that is held by the licensee from unauthorised use and disclosure;
- (i) the amount of digital payment tokens which can be contained in, or transferred out of, a digital payment token account;
- (j) the amount of digital payment tokens which a licensee can hold or transfer (whether for itself or for another person);
- (k) the exchange of digital payment tokens for Singapore currency;
- (l) the use of moneys collected in exchange for digital payment tokens for any business activity of the licensee; and
- (m) the use of digital payment tokens for any business activity of the licensee.

(2) A licensee that provides a digital payment token service must, in respect of the service, satisfy any requirement prescribed by regulations made under section 103(1) that the Authority considers necessary or expedient in the interest of any of the following:

- (a) the public or a section of the public;
- (b) the stability of the financial system in Singapore;
- (c) the monetary policy of the Authority.

(3) Despite section 103(3)(c) and (d), regulations made under section 103(1) may provide that a licensee that contravenes a requirement prescribed for the purposes of subsection (1)(a), (b), (c), (d), (g), (h)(i), (i), (j), (k), (l) or (m) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

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Subdivision (2) — Major payment institutions

Security

22.—(1) Every major payment institution must maintain with the Authority security of a prescribed amount (or its equivalent in a foreign currency), for the due performance of the obligations of the major payment institution to every payment service user who is a customer of the major payment institution.

(2) The security mentioned in subsection (1) must be —

- (a) in the form of a cash deposit;
- (b) in the form of a bank guarantee that satisfies such requirements as the Authority may specify by written notice; or
- (c) in such other form as the Authority may, in any particular case, allow.

(3) Where a major payment institution has surrendered its licence, or the licence of a major payment institution has lapsed or has been revoked, the Authority may enforce the security mentioned in subsection (1) to the extent required to pay any sums outstanding and claimed by payment service users who are customers of the major payment institution.

(4) To avoid doubt, where the security mentioned in subsection (1) is provided in the form of a bank guarantee, the Authority may call on the bank guarantee for the purposes of subsection (3), even though a closure certificate required under subsection (7) has not been submitted to the Authority.

(5) Where a major payment institution has surrendered its licence, or the licence of a major payment institution has lapsed or has been revoked, the Authority must release the security mentioned in subsection (1), or the remainder of that security, to the major payment institution, upon the Authority —

- (a) being satisfied that there is no outstanding claim by any payment service user who is a customer of the major payment institution; and
- (b) receiving the closure certificate required under subsection (7).

(6) Any security provided by a major payment institution under this section —

- (a) is not liable to be attached, sequestered or levied upon for or in respect of any debt or claim whatsoever; and
- (b) if the major payment institution is declared insolvent or is wound up by an order of the court — is deemed not to form part of the property of the major payment institution.

(7) A major payment institution must within 45 days, or such longer period as the Authority may allow, after the date on which the licence of the major payment institution is surrendered, lapses or is revoked, submit to the Authority a closure certificate issued

by the auditors of the major payment institution confirming that —

- (a) all moneys received from payment service users who are customers of the major payment institution have been received by the intended recipients of those moneys; and
- (b) adequate provision has been made to meet any unforeseen liabilities in respect of every business of the major payment institution that its major payment institution licence entitles it to carry on.

Safeguarding of money received from customer

23.—(1) Subsection (2) applies to —

- (a) every major payment institution that carries on a business of providing any of the following payment services:
 - (i) a domestic money transfer service;
 - (ii) a cross-border money transfer service;
 - (iii) a merchant acquisition service;
- (b) any prescribed major payment institution in respect of a prescribed payment service (other than a payment service mentioned in paragraph (a)(i), (ii) or (iii)); and
- (c) any prescribed licensee (other than a major payment institution) in respect of a prescribed payment service.

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(2) A major payment institution or licensee mentioned in subsection (1) must ensure that no later than the next business day after any relevant money is received from, or on account of, a customer, the whole or such part, as may be prescribed, of the relevant money, is safeguarded in one of the following manners:

- (a) by an undertaking, from a safeguarding institution, to be fully liable to the customer for the relevant money;
- (b) by a guarantee given by a safeguarding institution for the amount of the relevant money;
- (c) by depositing the relevant money in a trust account maintained with a safeguarding institution;
- (d) in such other manner as may be prescribed.

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(3) Subsection (4) applies to —

- (a) every major payment institution that carries on a business of providing an e-money issuance service;
- (b) any prescribed major payment institution in respect of a prescribed payment service (other than a payment service mentioned in paragraph (a)); and
- (c) any prescribed licensee (other than a major payment institution) in respect of a prescribed payment service.

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(4) A major payment institution or licensee mentioned in subsection (3) must ensure that from the time any relevant money is received from, or on account of, a customer, the whole or such part, as may be prescribed, of the relevant money is safeguarded in one of the following manners:

- (a) by an undertaking, from a safeguarding institution, to be fully liable to the customer for the relevant money;
- (b) by a guarantee given by a safeguarding institution for the amount of the relevant money;
- (c) by depositing the relevant money in a trust account maintained with a safeguarding institution;
- (d) in such other manner as may be prescribed.

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(5) The Authority may make regulations under section 103 to provide for all or any of the following matters:

- (a) any matter concerning the safeguarding of relevant money under subsection (2) or (4) by any safeguarding institution;
- (b) any matter concerning the depositing of relevant money in a trust account mentioned in subsection (2)(c) or (4)(c), including —
 - (i) any matter concerning the trust governing the account;
 - (ii) the extent (if any) to which the relevant money may be commingled with any other money;
 - (iii) the manner in which the relevant money must be treated and dealt with, despite any other written law, on the occurrence of either or both of the following:

(A) any event affecting the ability of the major payment institution or licensee to which subsection (2) or (4) applies to perform its obligations, such as in the event of the insolvency of the major payment institution or licensee;

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(B) any event affecting the ability of the safeguarding institution to perform its obligations, such as in the event of the insolvency of the safeguarding institution; and

(iv) the circumstances (if any) in which a major payment institution or licensee to which subsection (2) or (4) applies may withdraw money from the account;

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(c) any matter concerning the safeguarding of relevant money in any manner mentioned in subsection (2)(d) or (4)(d), including —

(i) the extent (if any) to which a major payment institution or licensee to which subsection (2) or (4) applies may commingle the relevant money with any other money;

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(ii) the manner in which the relevant money must be treated and dealt with, despite any other written law, on the occurrence of any event affecting the ability of the major payment institution or licensee to which subsection (2) or (4) applies to perform its obligations, such as in the event of the insolvency of the major payment institution or licensee; and

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(iii) where the relevant money is safeguarded by being deposited in an account (other than a trust account mentioned in subsection (2)(c) or (4)(c)), the circumstances (if any) in which the major payment institution or licensee to which subsection (2) or (4) applies may withdraw any money from that account;

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(d) the obligations of a major payment institution or licensee to which subsection (2) or (4) applies to record and maintain a separate book entry for each customer, in relation to that customer's relevant money and, where

applicable, e-money and digital payment tokens;

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- (e) the obligations of a safeguarding institution that must be set out in a contract between a major payment institution or licensee to which subsection (2) or (4) applies and the safeguarding institution;

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- (f) the form of acknowledgment that a major payment institution or licensee to which subsection (2) or (4) applies must obtain from a safeguarding institution;

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- (g) the information that a major payment institution or licensee to which subsection (2) or (4) applies must provide to a safeguarding institution, including the date or time by which any relevant money must be safeguarded;

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- (h) the manner in which a major payment institution or licensee to which subsection (2) or (4) applies conducts its dealings with a customer for the purposes of safeguarding the customer's relevant money, including the disclosure of any information to the customer;

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- (i) any other matters relating to this section.

(6) Despite any other written law, where subsection (2)(b) or (4)(b) applies, the proceeds of the guarantee are payable, in the event of the insolvency of the major payment institution or licensee to which subsection (2) or (4) applies, into a separate trust account held by the major payment institution or licensee (as the case may be), which —

- (a) must be designated in such a way as to show that it is an account held for the purpose of safeguarding the relevant money in accordance with this section; and
- (b) must be used only for holding such proceeds on trust for each customer that had provided the relevant money to the major payment institution or licensee (as the case may be).

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(7) All moneys deposited in an account mentioned in subsection (2)(c), (4)(c), (5)(b) or (c)(iii) or (6) —

- (a) cannot be used for the payment of the debts of the major payment institution or licensee to which subsection (2) or (4) applies; and

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- (b) are not liable to be taken under or pursuant to an enforcement order or a process of any court.

[Act 25 of 2021 wef 01/04/2022]

(8) The Authority may, on the application of any person, by written notice grant approval, subject to such conditions as the Authority may specify in the notice, to any major payment institution or licensee to which subsection (2) or (4) applies to safeguard any relevant money in 2 or more of the manners mentioned in subsection (2)(a) to (d) or (4)(a) to (d).

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(9) A major payment institution or licensee to which subsection (2) or (4) applies must notify the Authority, in such form or manner as the Authority may specify by written notice, of —

- (a) the manner mentioned in subsection (2)(a) to (d) or (4)(a) to (d) that the major payment institution or licensee (as the case may be) has chosen to safeguard the relevant money;

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- (b) the name of the safeguarding institution (if any) that will safeguard the relevant money in the manner mentioned in paragraph (a); and

- (c) any change to the manner mentioned in paragraph (a) that the major payment institution or licensee (as the case may be) has chosen to safeguard the relevant money.

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(10) Where the major payment institution or licensee to which subsection (2) or (4) applies is any of the following financial institutions, the major payment institution or licensee (as the case may be) must not concurrently be the safeguarding institution mentioned in paragraph (a) or (b) of the applicable subsection in relation to the relevant money received by the major payment institution or licensee (as the case may be) under the applicable subsection:

- (a) a bank licensed under the Banking Act 1970;
- (b) a merchant bank licensed under the Banking Act 1970;
- (c) a finance company licensed under the Finance Companies Act 1967;
- (d) any other financial institution that may be prescribed.

[1/2020]

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(11) A major payment institution or licensee mentioned in subsection (1) that contravenes subsection (2), (9) or (10), or fails to comply with any condition imposed under subsection (8), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

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(12) A major payment institution or licensee mentioned in subsection (3) that contravenes subsection (4), (9) or (10), or fails to comply with any condition imposed under subsection (8), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

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(13) *[Deleted by Act 1 of 2021 wef 04/04/2024]*

(14) In this section —

“business day” means any day other than a Saturday, Sunday, public holiday or bank holiday;

“relevant money” —

(a) means any money —

(i) that is received —

(A) by a major payment institution from, or on account of, a customer in respect of any payment service mentioned in subsection (1)(a)(i), (ii) or (iii) or (3)(a);

(B) by a major payment institution prescribed for the purposes of subsection (1)(b) or (3)(b) from, or on account of, a customer in respect of any payment service prescribed in respect of the major payment institution; or

(C) by a licensee prescribed for the purposes of subsection (1)(c) or (3)(c) from, or on account of, a customer in respect of any payment service prescribed in respect of the licensee; and

(ii) that the major payment institution or licensee (as the case

may be) —

- (A) where subsections (1) and (2) apply — continues to hold at the end of each business day; or
- (B) where subsections (3) and (4) apply — has held at any time and (in the case of an e-money issuance service) has issued specified e-money in exchange for; but

(b) does not include all of the following:

- (i) any money paid to the major payment institution or licensee (as the case may be) to reduce the amount owed to the major payment institution or licensee (as the case may be) by a customer;
- (ii) any money that is repaid by the major payment institution or licensee (as the case may be) to a customer;
- (iii) any money which is paid to the major payment institution or licensee (as the case may be), or which the major payment institution or licensee has informed a customer will be used, to defray any fee or charge imposed by the major payment institution or licensee for providing any payment service to a customer;
- (iv) where a major payment institution or licensee carries on a business of providing a domestic money transfer service, a merchant acquisition service or an e-money issuance service, any money that is paid to, and received by, a recipient in accordance with instructions given by a customer of the major payment institution or licensee (as the case may be) to the major payment institution or licensee;
- (v) where a major payment institution or licensee carries on a business of providing a cross-border money transfer, any money that is paid by the major payment institution or licensee (as the case may be) in accordance with instructions given by a customer of the major payment institution or licensee (as the case may be) to the major payment

institution or licensee, whether or not the recipient has received that money;

- (vi) any money paid to any other person that is entitled to the money;

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“safeguarding institution” means —

- (a) in the case of subsections (2)(a) and (4)(a) —
 - (i) a bank in Singapore; or
 - (ii) any other financial institution that may be prescribed for this sub-paragraph;
- (b) in the case of subsections (2)(b) and (4)(b) —
 - (i) a bank in Singapore; or
 - (ii) any other financial institution that may be prescribed for this sub-paragraph;
- (c) in the case of subsections (2)(c) and (4)(c), a person that the trust account mentioned in subsection (2)(c) or (4)(c) (as the case may be) is maintained with, being a person that satisfies such criteria as may be prescribed;
- (d) in any case where any relevant money is safeguarded in such manner as may be prescribed for the purposes of subsection (2)(d) or (4)(d), a person safeguarding the relevant money in that manner, being a person that satisfies such criteria as may be prescribed; or
- (e) in any other case, any bank in Singapore or financial institution mentioned in paragraph (a) or (b) or any person mentioned in paragraph (c) or (d).

Restrictions on personal payment account that contains e-money

24.—(1) A major payment institution that carries on a business of providing an account issuance service must —

- (a) ensure that the currency equivalent of the e-money contained in a personal payment account issued by the major payment institution to a payment

service user does not exceed the prescribed amount (or its equivalent in a foreign currency);

- (b) ensure that the total currency equivalent of the e-money transferred in any period of one year, from a personal payment account issued by the major payment institution to a payment service user, other than to a personal deposit account that is either in the name of or designated by that payment service user, does not exceed the prescribed amount (or its equivalent in a foreign currency); and
- (c) if the major payment institution issues 2 or more personal payment accounts to any payment service user, ensure that —
 - (i) the total currency equivalent of the e-money contained in all personal payment accounts issued by the major payment institution to that payment service user does not exceed the prescribed amount (or its equivalent in a foreign currency); and
 - (ii) the total currency equivalent of the e-money transferred in any period of one year, from all personal payment accounts issued by the major payment institution to that payment service user, other than to any personal deposit account that is either in the name of or designated by that payment service user, does not exceed the prescribed amount (or its equivalent in a foreign currency).

(2) In computing the total currency equivalent of the e-money mentioned in subsection (1)(c)(i), a major payment institution may exclude —

- (a) the currency equivalent of any e-money contained in any small personal payment account issued by the major payment institution to a payment service user, if that small personal payment account does not have the same unique customer identifier as any other personal payment account issued by the major payment institution to that payment service user;
- (b) the currency equivalent of any e-money contained in any bearer payment account issued by the major payment institution to that payment service user; and
- (c) the currency equivalent of any e-money contained in any other payment account, of such type as may be prescribed, issued by the major payment institution to that payment service user.

(3) In computing the total currency equivalent mentioned in subsection (1)(c)(ii) of the e-money transferred, a major payment institution —

- (a) must include the currency equivalent of the e-money transferred during each transfer from each personal payment account issued to a payment service user; but
- (b) despite paragraph (a), may exclude —
 - (i) the currency equivalent of any e-money transferred during a transfer from a small personal payment account issued to a payment service user, if that small personal payment account does not have the same unique customer identifier as any other personal payment account issued by the major payment institution to that payment service user;
 - (ii) the currency equivalent of any e-money transferred during a transfer from any bearer payment account issued by the major payment institution to that payment service user; and
 - (iii) the currency equivalent of any e-money transferred during a transfer from any other payment account, of such type as may be prescribed, issued by the major payment institution to that payment service user.

(4) A major payment institution that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(5) In this section —

“bearer payment account” means a payment account the title to which passes upon delivery of the medium associated with that payment account;

“currency equivalent”, in relation to e-money, means the value of the e-money in the currency that the e-money is denominated in or pegged to;

“personal deposit account” means a deposit account held with a bank in Singapore that is used as a means of executing payment transactions other than in the course of business;

“personal payment account” means a payment account issued to a payment service user —

- (a) that is used as a means of executing payment transactions other than in the course of business; and

- (b) to which any of the following applies:
- (i) the major payment institution that issued the payment account has determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident in Singapore;
 - (ii) the issuer of the e-money contained in the payment account has determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident in Singapore;
 - (iii) the e-money contained in the payment account is issued in Singapore, and both of the following apply:
 - (A) the major payment institution that issued the payment account has not determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident outside Singapore;
 - (B) the issuer of the e-money contained in the payment account has not determined, according to such criteria as the Authority may specify by written notice, that the payment service user is resident outside Singapore;

“small personal payment account” means a personal payment account containing e-money the currency equivalent of which does not exceed \$1,000 (or its equivalent in a foreign currency);

“unique customer identifier” means any of the following unique identifiers that may be provided by a payment service user to a major payment institution at any time to facilitate the issue of a personal payment account by the major payment institution to the payment service user:

- (a) a national registration identity card number;
- (b) a foreign identification number;
- (c) a passport number;
- (d) an email address;
- (e) a mobile phone number;

- (f) any other unique identifier that may be prescribed.

Powers of Authority to ensure interoperability between payment accounts and payment system

25.—(1) The Authority may, by written notice, direct a payment service provider (being a major payment institution, an exempt payment service provider or a person exempt under section 100) to do either or both of the following in order to ensure interoperability between any payment account or class of payment accounts issued by the payment service provider and a payment system:

- (a) to be a participant of the payment system, on such terms and conditions as the Authority may consider appropriate;
- (b) to enter into an arrangement with the operator of the payment system.

(2) In considering whether to issue a written notice under subsection (1), the Authority must have regard to the following matters:

- (a) whether ensuring interoperability between those payment accounts and that payment system would be in the interests of the public;
- (b) the interests of the current participants and operator of that payment system;
- (c) the interests of persons who, in the future, may be required, or may desire, to be participants of the payment system;
- (d) such other matters as the Authority may consider to be relevant.

Powers of Authority to ensure interoperability between payment systems

26.—(1) The Authority may, by written notice, direct a payment service provider (being a major payment institution, an exempt payment service provider or a person exempt under section 100) that operates a payment system to adopt any common standard, on such terms and conditions as the Authority may consider appropriate, in order to ensure interoperability between different payment systems operated by different payment service providers.

(2) In considering whether to issue a written notice under subsection (1), the Authority must have regard to the following matters:

- (a) whether ensuring interoperability between different payment systems would be in the interests of the public;

- (b) the interests of every payment service provider that will be directed to adopt the common standard;
- (c) the interests of persons who, in the future, may be required, or may desire, to adopt the common standard;
- (d) such other matters as the Authority may consider to be relevant.

(3) In this section, “common standard” means any technical standard or set of technical standards, containing characteristics or specifications for accepting a payment order or processing a payment transaction on a payment system, that the Authority may specify by written notice.

Division 3 — Control of controllers of licensees

Application and interpretation of this Division

27.—(1) This Division applies to —

- (a) every individual, whether or not resident in Singapore and whether or not a citizen of Singapore; and
- (b) every entity.

(2) In this Division, unless the context otherwise requires, any reference to a licensee is a reference to a licensee incorporated in Singapore.

Control of shareholding in licensee

28.—(1) A person must not become a 20% controller of a licensee without first applying for and obtaining the approval of the Authority under subsection (2).

(2) The Authority may approve an application made by any person under subsection (1) if the Authority is satisfied that —

- (a) having regard to the likely influence of the person, the licensee will or will continue to conduct its business prudently and comply with the provisions of this Act and any other written law administered by the Authority;
- (b) the person is, under the Guidelines on Fit and Proper Criteria, a fit and proper person to be a 20% controller of the licensee; and
- (c) it is in the public interest to do so.

(3) An approval under subsection (2) may be granted to any person subject to such

conditions as the Authority may impose, including but not limited to —

- (a) any condition restricting the person's disposal or further acquisition of shares or voting power in the licensee; and
- (b) any condition restricting the person's exercise of voting power in the licensee.

(4) The Authority may at any time add to, vary or revoke any condition that is imposed under subsection (3) or this subsection.

(5) Any condition imposed under subsection (3) or (4) has effect despite any provision of the Companies Act 1967 or anything contained in the constitution of the licensee.

(6) Where the Authority refuses an application made by any person under subsection (1), the person must, within such period as the Authority may specify by written notice, take such steps (as soon as practicable after the refusal) as are necessary to cease to be a 20% controller of the licensee.

Objection to existing control of licensee

29.—(1) The Authority may serve a written notice of objection on any person that is, or is required to obtain or has obtained the Authority's approval under section 28(2) to become, a 20% controller of a licensee, if the Authority is satisfied that —

- (a) any condition for approval under section 28(2) imposed on the person under section 28(3) or (4) has not been complied with;
- (b) it is not, or is no longer, in the public interest to allow the person to continue to be a 20% controller of the licensee;
- (c) the person has provided any false or misleading information or document in connection with an application under section 28(1);
- (d) the person is no longer a fit and proper person under the Guidelines on Fit and Proper Criteria;
- (e) having regard to the likely influence of the person, the licensee is no longer likely to conduct its business prudently or to comply with the provisions of this Act; or
- (f) the Authority would not have been satisfied as to any of the matters specified in section 28(2) had the Authority been aware, at that time, of circumstances relevant to the person's application under section 28(1).

(2) Before serving a written notice of objection under subsection (1), the Authority

must, unless the Authority decides that it is not practicable or desirable to do so —

- (a) notify the person of the Authority's intention to serve the written notice of objection; and
- (b) specify a date by which the person may make written representations with regard to the proposed written notice of objection.

(3) The Authority must consider any written representations that the Authority receives before the date mentioned in subsection (2)(b), for the purpose of determining whether to issue a written notice of objection.

(4) The Authority must, in any written notice of objection, specify a reasonable period within which the person that has been served the written notice of objection must —

- (a) cease to be a 20% controller of the licensee; or
- (b) comply with such direction as the Authority may make under section 30.

(5) A person that has been served a written notice of objection must comply with that notice.

Power of Authority to issue directions for this Division

30.—(1) If the Authority is satisfied that a person has contravened section 28(1) or (6) or has failed to comply with any condition imposed under section 28(3) or (4), or if the Authority has served a written notice of objection under section 29, the Authority may, by written notice —

- (a) direct the transfer or disposal of all or any of the shares in the licensee held by the person or any of the person's associates (called in this section the specified shares) within such time or subject to such conditions as the Authority considers appropriate;
- (b) restrict the transfer or disposal of all or any of the specified shares; or
- (c) make such other direction as the Authority considers appropriate.

(2) Where the Authority has issued any direction under subsection (1)(a) or imposed any restriction under subsection (1)(b), until a transfer or disposal is effected in accordance with the direction or until the restriction on the transfer or disposal is removed, as the case may be —

- (a) no voting rights may be exercised in respect of the specified shares, unless the Authority expressly permits such rights to be exercised;

- (b) no shares of the licensee may be issued or offered (whether by way of rights, bonus or otherwise) in respect of the specified shares, unless the Authority expressly permits such issue or offer; and
- (c) except in a liquidation of the licensee, no payment may be made by the licensee of any amount (whether by way of dividends or otherwise) in respect of the specified shares, unless the Authority expressly authorises such payment.

(3) Subsection (2) has effect despite any provision of the Companies Act 1967 or anything contained in the constitution of the licensee.

(4) Any issue or offer of shares in contravention of subsection (2)(b) is void, and a person to whom a direction has been issued under subsection (1)(a) or on whom a restriction has been imposed under subsection (1)(b) must immediately return those shares to the licensee, upon which the licensee must return to the person any payment received from the person in respect of those shares.

(5) Any payment made by a licensee in contravention of subsection (2)(c) is void, and a person to whom a direction has been issued under subsection (1)(a) or on whom a restriction has been imposed under subsection (1)(b) must immediately return the payment the person has received to the licensee.

Power of Authority to obtain information relating to this Division

31.—(1) The Authority may, by written notice, direct a licensee to obtain from any of its shareholders, and to provide to the Authority, any information relating to the shareholder that the Authority may require for either or both of the following purposes:

- (a) ascertaining or investigating into the control of shareholding or voting power in the licensee;
- (b) exercising any power or function under section 28, 29, 30, 32 or 100.

(2) Without limiting subsection (1), the notice in subsection (1) may require the licensee to obtain and provide the following information:

- (a) whether the shareholder has an interest in any share in the licensee as beneficial owner or as trustee;
- (b) if the shareholder holds the interest in the share as trustee, to indicate as far as that shareholder is able to —
 - (i) the person for whom that shareholder holds the interest (either by name or by other particulars sufficient to enable that person

to be identified); and

- (ii) the nature of that person's interest.

(3) The Authority may, by written notice, require any shareholder (*X*) of a licensee, or any person (*Y*) that appears from information provided to the Authority under subsection (1) or this subsection to have an interest in any share in the licensee, to provide to the Authority any information relating to *X* or *Y* (as the case may be) that the Authority may require for either or both of the following purposes:

- (a) ascertaining or investigating into the control of shareholding or voting power in the licensee;
- (b) exercising any power or function under section 28, 29, 30, 32 or 100.

(4) Without limiting subsection (3), the notice in subsection (3) may require *X* or *Y* to provide the following information:

- (a) whether *X* or *Y* holds the interest as beneficial owner or as trustee;
- (b) if *X* or *Y* holds the interest as trustee, to indicate as far as *X* or *Y* can —
 - (i) the person (*Z*) for whom *X* or *Y* holds the interest (either by name or by other particulars sufficient to enable *Z* to be identified); and
 - (ii) the nature of *Z*'s interest;
- (c) whether any share or any voting right attached to the share is the subject of an agreement or arrangement described in section 2(2)(c)(vi), and if so, to give particulars of the agreement or arrangement and the parties to it.

Offences, penalties and defences

32.—(1) A person that —

- (a) contravenes section 28(1) or (6) or 29(5) or does any act in contravention of section 30(2);
- (b) fails to comply with —
 - (i) any written notice issued under section 30(1) or 31(1) or (3); or
 - (ii) any condition imposed under section 28(3) or (4); or
- (c) in purported compliance with a written notice issued under section 31(1) or

(3), knowingly or recklessly provides any information or document that is false or misleading in a material particular,

shall be guilty of an offence.

(2) A person convicted of an offence under subsection (1) shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(3) Where a person is charged with an offence in respect of a contravention of section 28(1) or (6), it is a defence for the person to prove that —

- (a) the person was not aware that the person had contravened section 28(1) or (6), as the case may be; and
- (b) within 14 days after becoming aware of the contravention, the person —
 - (i) notified the Authority of the contravention; and
 - (ii) within such time as may be determined by the Authority, took such action in relation to the person's shareholding or control of the voting power in the licensee as the Authority may direct.

(4) Where a person is charged with an offence in respect of a contravention of section 28(1), it is also a defence for the person to prove that, even though the person was aware of the contravention —

- (a) the contravention occurred as a result of an increase in the shareholding as described in section 2(2)(a) of, or in the voting power controlled by, any of the person's associates described in section 2(2)(c)(i);
- (b) the person had no agreement or arrangement (whether oral or in writing and whether express or implied) with that associate —
 - (i) with respect to the acquisition, holding or disposal of shares or other interests in the licensee; or
 - (ii) under which the person and that associate act together in

exercising their voting power in relation to the licensee; and

- (c) within 14 days after the date of the contravention, the person —
 - (i) notified the Authority of the contravention; and
 - (ii) within such time as may be determined by the Authority, took such action in relation to the person's shareholding or control of the voting power in the licensee as the Authority may direct.

(5) Except as provided in subsections (3) and (4), it is not a defence for a person charged with an offence in respect of a contravention of section 28(1) or (6) to prove that the person did not intend to, or did not knowingly, contravene that provision.

Appeals to Minister

33. Any person that is aggrieved by a decision of the Authority under section 28, 29 or 30 may, within 30 days after receiving the decision of the Authority, appeal in writing to the Minister, whose decision is final.

Division 4 — Control of officers of licensees

Approval of chief executive officer, director or partner of licensee

34.—(1) Subject to subsection (4) —

- (a) a licensee incorporated in Singapore must not appoint an individual as its chief executive officer or director;
- (b) a licensee incorporated outside Singapore must not appoint an individual as its chief executive officer, or its director, directly responsible for the whole or any part of the licensee's business in Singapore;
- (c) a licensee that is a partnership or limited liability partnership formed in Singapore must not appoint an individual as its partner; and
- (d) a licensee that is a partnership or limited liability partnership formed outside Singapore must not appoint an individual as its partner directly responsible for the whole or any part of the licensee's business in Singapore,

unless the licensee has applied for and obtained the approval of the Authority under subsection (3)(b).

(2) An application under subsection (1) must be made in the form and manner prescribed.

(3) Without affecting any other matter that the Authority may consider relevant, the Authority may —

(a) in determining whether to grant its approval under paragraph (b), have regard to such criteria as the Authority may specify by written notice to the licensee; and

(b) approve or refuse the application.

(4) Where a licensee has obtained the approval of the Authority under subsection (3)(b) to appoint an individual as the licensee's chief executive officer or director, the individual may, without the approval of the Authority, be re-appointed as chief executive officer or director (as the case may be) of the licensee immediately upon the expiry of the individual's term of appointment.

(5) Subject to subsection (6), the Authority must not refuse a licensee's application under subsection (1) without giving the licensee an opportunity to be heard.

(6) The Authority may refuse an application under subsection (1) for the Authority's approval under subsection (3)(b) of an individual without giving the licensee an opportunity to be heard, in any of the following circumstances:

(a) the individual has been convicted, whether in Singapore or elsewhere, of any of the following offences, whether the offence is committed before, on or after 28 January 2020:

(i) an offence involving fraud or dishonesty;

(ii) an offence the conviction for which involves a finding that the individual had acted fraudulently or dishonestly;

(iii) an offence that is specified in the Third Schedule to the Registration of Criminals Act 1949;

(b) the individual is an undischarged bankrupt, whether in Singapore or elsewhere;

(c) the individual has had an enforcement order against the individual in respect of a judgment debt returned unsatisfied in whole or in part;

[Act 25 of 2021 wef 01/04/2022]

(d) the individual has, whether in Singapore or elsewhere, entered into a compromise or scheme of arrangement with the individual's creditors,

being a compromise or scheme of arrangement that is still in operation;

- (e) the individual has in force against the individual a prohibition order;
[Act 18 of 2022 wef 31/07/2024]
- (f) the individual has been a director of, or directly concerned in the management of, a regulated financial institution, whether in Singapore or elsewhere —
 - (i) that is being or has been wound up by a court; or
 - (ii) the approval, authorisation, designation, recognition, registration or licence of which has been withdrawn, cancelled or revoked by the Authority or, in the case of a regulated financial institution in a foreign country or territory, by the financial regulatory authority in that foreign country or territory.

(7) Where the Authority refuses an application under subsection (1) for the Authority's approval under subsection (3)(b), the Authority need not give the individual who was proposed to be appointed an opportunity to be heard.

(8) A licensee that, without reasonable excuse, contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000.

(9) In this section, "chief executive officer", in relation to a licensee incorporated outside Singapore, includes a person (however designated) who —

- (a) is in the direct employment of, or acting for or by arrangement with, the licensee; and
- (b) is directly responsible for the management and conduct of the whole or any part of the licensee's business in Singapore.

Removal of chief executive officer, director or partner of licensee

35.—(1) Despite the provisions of any other written law, where the Authority is satisfied that an individual appointed as chief executive officer, director or partner of a licensee incorporated or formed in Singapore is not a fit and proper person to act as such chief executive officer, director or partner, the Authority may, by written notice, direct the licensee to remove the individual, within such period as the Authority may specify in the notice —

- (a) from employment with the licensee;
- (b) as director of the licensee; or

(c) as partner of the licensee.

(2) Without affecting any other matter that the Authority may consider relevant, in assessing whether to direct the licensee to remove an individual under subsection (1), the Authority may consider whether the individual —

- (a) has been convicted, whether in Singapore or elsewhere, of any of the following offences, whether the offence is committed before, on or after 28 January 2020:
 - (i) an offence involving fraud or dishonesty;
 - (ii) an offence the conviction for which involves a finding that the individual had acted fraudulently or dishonestly;
 - (iii) an offence that is specified in the Third Schedule to the Registration of Criminals Act 1949;
- (b) is an undischarged bankrupt, whether in Singapore or elsewhere;
- (c) has had an enforcement order against the individual in respect of a judgment debt returned unsatisfied in whole or in part;
[Act 25 of 2021 wef 01/04/2022]
- (d) has, whether in Singapore or elsewhere, entered into a compromise or scheme of arrangement with the individual's creditors, being a compromise or scheme of arrangement that is still in operation;
- (e) has in force against the individual a prohibition order;
[Act 18 of 2022 wef 31/07/2024]
- (f) has been a director of, or directly concerned in the management of, a regulated financial institution, whether in Singapore or elsewhere —
 - (i) that is being or has been wound up by a court; or
 - (ii) the approval, authorisation, designation, recognition, registration or licence of which has been withdrawn, cancelled or revoked by the Authority or, in the case of a regulated financial institution in a foreign country or territory, by the financial regulatory authority in that foreign country or territory;
- (g) has wilfully contravened, or wilfully caused the licensee to contravene, any provision of this Act;
- (h) has, without reasonable excuse, failed to secure the compliance of the licensee with this Act, the Monetary Authority of Singapore Act 1970 or

any of the written laws set out in the Schedule to that Act;

- (i) has failed to discharge any of the duties of the individual's office or employment; or
- (j) needs to be removed in the public interest.

(3) Subject to subsection (4), before directing a licensee incorporated or formed in Singapore to remove an individual under subsection (1), the Authority must give both the licensee and the individual an opportunity to be heard.

(4) The Authority may direct a licensee incorporated or formed in Singapore to remove an individual under subsection (1) on any of the following grounds without giving the licensee or the individual an opportunity to be heard:

- (a) the individual is an undischarged bankrupt, whether in Singapore or elsewhere;
- (b) the individual has been convicted, whether in Singapore or elsewhere, of an offence, whether committed before, on or after 28 January 2020 —
 - (i) involving fraud or dishonesty, or the conviction for which involves a finding that the individual had acted fraudulently or dishonestly; and
 - (ii) punishable with imprisonment for a term of at least 3 months.

(5) Without affecting the Authority's power to impose conditions under section 6(7)(a) or (10), the Authority may at any time, by written notice to a licensee incorporated or formed in Singapore, impose or vary a condition requiring the licensee to notify the Authority of any change to any particulars (such as residence in Singapore or elsewhere, or nature of appointment) of its chief executive officer, director or partner that may be specified in the notice.

(6) A licensee incorporated or formed in Singapore that, without reasonable excuse —

- (a) fails to comply with a written notice under subsection (1); or
- (b) contravenes any condition imposed under subsection (5),

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000.

(7) No criminal or civil liability shall be incurred by a licensee, or any person acting on behalf of the licensee, in respect of anything done (including any statement made) or

omitted to be done with reasonable care and in good faith in the discharge or purported discharge of the obligations of the licensee under this section.

Appeals to Minister

36.—(1) A licensee incorporated or formed in Singapore that is aggrieved by a decision of the Authority under section 34(3)(b) may, within 30 days after receiving the decision of the Authority, appeal in writing to the Minister, whose decision is final.

(2) A licensee incorporated or formed in Singapore, or any chief executive officer, director or partner of that licensee, that is aggrieved by a written notice of the Authority under section 35(1) may, within 30 days after receiving the notice, appeal in writing to the Minister, whose decision is final.

Division 5 — Audit of licensees

Auditing

37.—(1) Despite the provisions of the Companies Act 1967, a licensee —

- (a) must, on an annual basis and at its own expense, appoint an auditor; and
- (b) if for any reason its auditor ceases to be its auditor, appoint another auditor as soon as practicable after such cessation.

(2) The Authority may appoint an auditor for a licensee —

- (a) if the licensee fails to appoint an auditor; or
- (b) if the Authority considers it desirable that another auditor should act with the auditor appointed under subsection (1).

(3) The Authority may at any time fix the remuneration to be paid by a licensee to an auditor appointed by the Authority under subsection (2) for the licensee.

(4) The duties of an auditor appointed under subsection (1) or (2) are as follows:

- (a) to carry out, for the year in respect of which the auditor is appointed, an audit of the accounts of the licensee;
- (b) to carry out an audit of the transactions in relation to the payment services provided by the licensee, in particular, in respect of the licensee's observance of the provisions of this Act and any of the requirements imposed under any other written law administered by the Authority;
- (c) to submit a report of the audit to the Authority in such form as may be

prescribed and within such time as the Authority may allow;

(d) to make a report —

- (i) in the case of a licensee incorporated in Singapore, on the financial statements or consolidated financial statements of the licensee in accordance with section 207 of the Companies Act 1967; or
- (ii) in the case of a licensee incorporated outside Singapore, on the latest annual balance sheet and profit and loss account of the licensee, together with any notes on that balance sheet and profit and loss account, showing the assets and liabilities and profit or loss arising out of the operations of the licensee in Singapore, that complies with section 207 of the Companies Act 1967.

(5) The Authority may, by written notice to an auditor, impose all or any of the following duties on the auditor in addition to those provided under subsection (4), and the auditor must carry out the duties so imposed:

- (a) a duty to submit such additional information in relation to the audit as the Authority considers necessary;
- (b) a duty to enlarge or extend the scope of the audit of the licensee's business and affairs;
- (c) a duty to carry out any other examination, or establish any procedure, in relation to the audit in any particular case;
- (d) a duty to submit a report on any of the matters mentioned in paragraphs (b) and (c).

(6) The licensee must remunerate the auditor in respect of —

- (a) any remuneration the Authority has fixed under subsection (3); and
- (b) the discharge of all or any of the additional duties of the auditor imposed under subsection (5).

(7) Despite any other provision of this Act or the provisions of the Companies Act 1967, the Authority may, if the Authority is not satisfied with the performance of any duty by the auditor of a licensee, at any time direct the licensee to —

- (a) remove the auditor; and
- (b) appoint another auditor.

(8) The auditor's report made under subsection (4)(d) must be attached to the balance sheet and the profit and loss account, the financial statements or the consolidated financial statements (as the case may be) of the licensee, and a copy of the report, together with any report under subsection (5)(d), must be submitted in writing to the Authority.

(9) If an auditor, in the course of performing the auditor's duties, is satisfied that any of the following matters has occurred, the auditor must immediately report that matter to the Authority:

- (a) there has been a serious breach or non-observance of the provisions of this Act or any of the requirements imposed under any other written law administered by the Authority;
- (b) a criminal offence involving fraud or dishonesty has been committed;
- (c) losses have been incurred that reduce the capital of the licensee by at least 50%;
- (d) there is any irregularity that has or may have a material effect on the accounts of the licensee, including any irregularity that had caused a major disruption to the provision of any type of payment service to the customers of the licensee;
- (e) the auditor is unable to confirm that the claims of creditors of the licensee are still covered by the assets of the licensee.

(10) Where an auditor or employee of the auditor discloses in good faith to the Authority —

- (a) the auditor's or employee's knowledge or suspicion of any of the matters mentioned in subsection (9); or
- (b) any information or other matter on which that knowledge or suspicion is based,

the disclosure is not a breach of any restriction upon the disclosure imposed by any law, contract or rules of professional conduct, and the auditor or employee is not liable for any loss arising out of the disclosure or any act or omission in consequence of the disclosure.

(11) A licensee that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(12) An auditor that contravenes subsection (5) or (9) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

Powers of auditor appointed by Authority

38.—(1) An auditor appointed by the Authority under section 37(2) may, for the purpose of carrying out an examination or audit —

- (a) examine, on oath or affirmation, any officer or employee of the licensee or any other auditor of the licensee;
- (b) require any officer or employee of the licensee, or any other auditor of the licensee, to produce any books held by or on behalf of the licensee relating to the licensee's business;
- (c) make copies of or take extracts from, or retain possession of, any books mentioned in paragraph (b) for such period as may be necessary to enable those books to be inspected;
- (d) employ such persons as the auditor considers necessary to assist the auditor in carrying out the examination or audit; and
- (e) authorise in writing any person employed by the auditor to do, in relation to the examination or audit, any act or thing that the auditor could do as an auditor under this subsection, other than the examination of a person on oath or affirmation.

(2) An individual who, without reasonable excuse —

- (a) refuses or fails to answer any question put to the individual; or
- (b) fails to comply with any request made to the individual,

by an auditor appointed under section 37(2) or a person authorised under subsection (1)(e), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$12,500 or to imprisonment for a term not exceeding 12 months or to both.

Restriction on auditor's and employee's right to communicate certain matters

39.—(1) Except as may be necessary for the carrying into effect of the provisions of this Act or so far as may be required for the purposes of any legal proceedings, whether civil or criminal —

- (a) an auditor appointed under section 37(1) or (2); or
- (b) any employee of such auditor,

must not disclose any information that comes to the auditor's or employee's knowledge in the course of performing the auditor's or employee's duties, to any person other than the Authority or, in the case of an employee of such auditor, the auditor.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of the auditor, to a fine not exceeding \$25,000; or
- (b) in the case of the employee, to a fine not exceeding \$12,500.

Offence to destroy, conceal, alter, etc., records

40.—(1) An individual who, with intent to prevent, delay or obstruct the carrying out of any examination or audit under section 37 or 38 —

- (a) destroys, conceals or alters any book relating to the business of a licensee;
or
- (b) sends, or conspires with any other person to send, out of Singapore any book or asset of any description belonging to, in the possession of or under the control of the licensee,

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(2) If, in any proceedings for an offence under subsection (1), it is proved that the individual charged with the offence —

- (a) destroyed, concealed or altered any book mentioned in subsection (1)(a);
or
- (b) sent, or conspired to send, out of Singapore any book or asset mentioned in subsection (1)(b),

the onus of proving that, in so doing, the individual did not act with intent to prevent, delay or obstruct the carrying out of an examination or audit under section 37 or 38 lies on the individual.

PART 3

PAYMENT SYSTEMS

Division 1 — Information gathering powers over payment systems

Provision of information to Authority

41.—(1) The Authority may, by notice in the form and manner prescribed, require any of the following persons to provide to the Authority, within a reasonable period specified in the notice, such information relating to a payment system as the Authority may require:

- (a) any participant of the payment system;
- (b) any operator of the payment system, or any person acting on behalf of the operator;
- (c) any settlement institution of the payment system.

(2) Without limiting subsection (1), the Authority may in a notice issued under that subsection require any person mentioned in paragraph (a), (b) or (c) of that subsection to provide, whether in the form of a return to be provided on a periodic basis or otherwise —

- (a) information relating to —
 - (i) the operation of the payment system; and
 - (ii) the pricing of, or other form of consideration for, the services offered by the payment system;
- (b) information relating to the participation or other involvement of that person in the payment system; and
- (c) such other information as the Authority may require for the purposes of this Act.

(3) Subject to subsection (5), any person to whom a notice is issued under subsection (1) must comply with the notice.

(4) A person that contravenes subsection (3) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 or to imprisonment for a term not exceeding 2 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(5) A person to whom a notice is issued under subsection (1) is not obliged to disclose any information that the person is prohibited by any written law from disclosing.

Division 2 — Designation of payment systems

Power of Authority to designate payment systems

42.—(1) The Authority may, by order in the *Gazette*, designate a payment system as a designated payment system for the purposes of this Act, if the Authority is satisfied that any of the following considerations applies:

- (a) a disruption in the operations of the payment system could —
 - (i) trigger, cause or transmit further disruption to participants of the payment system;
 - (ii) trigger or cause systemic disruption to the financial system of Singapore; or
 - (iii) affect public confidence in the payment systems of Singapore or the financial system of Singapore;
- (b) the payment system is widely used in Singapore or the operations of the payment system may have an impact on the operations of one or more other payment systems in Singapore, and the designation is necessary to ensure efficiency or competitiveness in any of the services provided by the operator of the payment system;
- (c) the designation is otherwise in the interests of the public.

(2) Any order made under subsection (1) —

- (a) must —
 - (i) if the Authority is satisfied of any consideration in subsection (1)(a)(i), (ii) or (iii) or (c) — identify the operator and the settlement institution of the designated payment system; or
 - (ii) if the Authority is satisfied of the consideration in subsection (1)(b) —
 - (A) state that the payment system is designated because the Authority is satisfied of the consideration in subsection (1)(b); and
 - (B) identify the operator of the designated payment system; and

(b) continues to have effect until the order is withdrawn by the Authority.

(3) Any operator or settlement institution of a payment system that is aggrieved by a decision of the Authority to designate the payment system as a designated payment system may, within 30 days after the date on which the order designating the payment system is published in the *Gazette*, appeal in writing to the Minister, whose decision is final.

(4) Despite the lodging of an appeal under subsection (3), the designation by the Authority under this section continues to have effect pending the decision of the Minister.

(5) The Minister may, when deciding an appeal under subsection (3), direct the Authority to withdraw the designation of the payment system as a designated payment system, and the direction takes effect from the date of the Minister's decision.

Prohibition against holding out as designated payment system

43.—(1) A person must not hold the person out as the operator or settlement institution of a designated payment system unless the payment system has been designated by the Authority under section 42.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

Power of Authority to impose conditions or restrictions

44.—(1) The Authority may, by written notice, impose on a participant, an operator or a settlement institution of a designated payment system such conditions or restrictions as the Authority thinks fit.

(2) The Authority may, at any time, by written notice to a participant, an operator or a settlement institution of the designated payment system, vary any condition or restriction.

(3) Without limiting subsection (1) or (2), the conditions or restrictions that the Authority may impose include conditions or restrictions relating to any of the following matters:

- (a) the activities that the operator or settlement institution of the designated payment system may undertake;

- (b) the standards to be maintained by the operator or settlement institution of the designated payment system;
- (c) the requirement for the operator or settlement institution of the designated payment system to operate as a corporation.

(4) A participant, operator or settlement institution of a designated payment system that fails to comply with any condition or restriction imposed under subsection (1) or (2) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

Withdrawal of designation of payment system

45.—(1) The Authority may, by order in the *Gazette*, withdraw the designation of any designated payment system at any time if the Authority is of the opinion that the applicable consideration in section 42(1)(a)(i), (ii) or (iii), (b) or (c) is no longer valid or satisfied.

(2) The Authority must not withdraw the designation of any designated payment system without giving the operator and the settlement institution of that designated payment system an opportunity to be heard.

Exemptions applicable to operator, settlement institution or participant of payment system designated to ensure efficiency or competitiveness

46.—(1) Section 50, Divisions 4 to 8 of this Part, and Part 5 do not apply to an operator of a designated payment system that is designated only because the Authority is satisfied of the consideration in section 42(1)(b).

(2) Sections 44, 102 and 103, Divisions 3 to 8 of this Part, and Parts 4 and 5 do not apply to a settlement institution of a designated payment system that is designated only because the Authority is satisfied of the consideration in section 42(1)(b).

(3) Division 4 of this Part does not apply to a participant of a designated payment system that is designated only because the Authority is satisfied of the consideration in section 42(1)(b).

Division 3 — Obligations of operators and settlement institutions of designated payment systems

Obligation of operator or settlement institution to have place of business or

registered office

47.—(1) An operator of a designated payment system, and a settlement institution of a designated payment system, must, within such period, after the date on which the order under section 42(1) designating that payment system is published in the *Gazette*, as the Authority may specify by written notice, establish a permanent place of business or a registered office in Singapore.

(2) The operator or settlement institution must appoint a person to be present, on such days and at such hours as the Authority may specify by written notice, at the permanent place of business or registered office of the operator or settlement institution, to address any queries or complaints from any customer of the operator or settlement institution.

(3) The operator or settlement institution must keep, or cause to be kept, at the permanent place of business or registered office of the operator or settlement institution, books of all the transactions of the operator or settlement institution in relation to the designated payment system.

(4) The operator or settlement institution must notify the Authority of any change in the address of any of the following places within such period, after the date of that change, as the Authority may specify by written notice:

- (a) the permanent place of business or registered office in Singapore of the operator or settlement institution;
- (b) every other place of business of the operator or settlement institution.

(5) A person that contravenes subsection (1), (2) or (3) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(6) A person that contravenes subsection (4) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$2,000.

Obligation of operator or settlement institution to notify Authority of certain events

48.—(1) An operator of a designated payment system, and a settlement institution of a designated payment system, must notify the Authority of the occurrence of any of the following events as soon as practicable after that occurrence:

- (a) an intention to make a material change to the nature of the operating rules, settlement procedures or activities of the designated payment system;
- (b) an event or irregularity that impedes or prevents access to, or impairs the usual operations of, the designated payment system or its settlement

operations;

- (c) any material function of the operator or settlement institution that is outsourced;
- (d) any civil or criminal proceeding instituted against the operator or settlement institution, whether in Singapore or elsewhere;
- (e) the operator or settlement institution being or becoming, or being likely to become, insolvent or unable to meet any of the financial, statutory, contractual or other obligations of the operator or settlement institution;
- (f) any disciplinary action taken against the operator or settlement institution by any regulatory authority (other than the Authority), whether in Singapore or elsewhere;
- (g) any significant change to the regulatory requirements imposed on the operator or settlement institution by any regulatory authority (other than the Authority), whether in Singapore or elsewhere;
- (h) any other event that the Authority may prescribe or specify by written notice.

(2) An operator of a designated payment system, and a settlement institution of a designated payment system, must notify the Authority of the occurrence of any of the following events within 14 days after the date of that occurrence:

- (a) any change of a director or the chief executive officer of the operator or settlement institution, except where the operator is required under section 65 to obtain the Authority's approval to appoint the director or chief executive officer;
- (b) any other event that the Authority may prescribe or specify by written notice.

(3) A person that contravenes subsection (1) or (2) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000.

Obligation of operator to submit periodic reports

49.—(1) An operator of a designated payment system must submit to the Authority such reports or returns in the form, manner and frequency prescribed.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during

which the offence continues after conviction.

Obligation of operator to notify Authority of businesses and acquisition of corporations

50.—(1) An operator of a designated payment system must notify the Authority of the occurrence of any of the following events as soon as practicable after the occurrence of that event:

- (a) the carrying on of any business by the operator other than —
 - (i) the business of operating a payment system;
 - (ii) a business incidental to operating a payment system; or
 - (iii) such business or class of businesses as the Authority may prescribe;
- (b) the acquisition by the operator of a substantial shareholding in a corporation that does not carry on —
 - (i) the business of operating a payment system;
 - (ii) a business incidental to operating a payment system; or
 - (iii) such business or class of businesses as the Authority may prescribe.

(2) An operator of a designated payment system must, within 2 months after the date of the designation of the payment system, notify the Authority of its substantial shareholding in a corporation that does not carry on —

- (a) the business of operating a payment system;
- (b) a business incidental to operating a payment system; or
- (c) such business or class of businesses as the Authority may prescribe.

(3) The Authority may, at any time after receiving a notification mentioned in subsection (1) or (2), by written notice direct the operator of the designated payment system —

- (a) where the notification relates to a matter mentioned in subsection (1)(a) —
 - (i) to cease carrying on the firstmentioned business in subsection (1)(a); or

- (ii) to carry on the firstmentioned business in subsection (1)(a) subject to such conditions or restrictions as the Authority may impose, if the Authority is of the opinion that this is necessary for any of the purposes mentioned in section 102(1); or
- (b) where the notification relates to a matter mentioned in subsection (1)(b) or (2) —
 - (i) to dispose of the shareholding mentioned in subsection (1)(b) or (2); or
 - (ii) to exercise the operator's rights relating to such shareholding subject to such conditions or restrictions as the Authority may impose, if the Authority is of the opinion that this is necessary for any of the purposes mentioned in section 102(1).

(4) An operator of a designated payment system, to whom the Authority has issued a written notice under subsection (3), must comply with the directions contained in the notice.

(5) A person that contravenes subsection (1), (2) or (4) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

Division 4 — Access regime

Power of Authority to impose access regime

51.—(1) The Authority may, by order in the *Gazette*, impose an access regime in respect of a relevant payment system on one or more of the following persons or classes of persons, on such terms and conditions as the Authority may consider appropriate:

- (a) a participant or class of participants of that payment system;
- (b) an operator, or a class of operators, of that payment system;
- (c) a settlement institution or class of settlement institutions of that payment system;
- (d) any other person or class of persons that determines access to that payment system.

(2) In considering whether to impose an access regime under subsection (1) in respect of a relevant payment system, the Authority must have regard to the following matters:

- (a) whether the imposition of that access regime would be in the interests of the public;
- (b) the interests of the current participants, operator and settlement institution of that payment system;
- (c) the interests of persons who, in the future, may require or desire access to that payment system;
- (d) such other matters as the Authority may consider to be relevant.

(3) The Authority, in imposing an access regime under subsection (1), must ensure that the access regime is fair and not discriminatory.

Variation of access regime

52.—(1) The Authority may, by order in the *Gazette*, vary an access regime that has been imposed under section 51 in respect of a relevant payment system, on such terms and conditions as the Authority may consider appropriate.

(2) In considering whether to vary under subsection (1) an access regime in respect of a relevant payment system, the Authority must have regard to the following matters:

- (a) whether the variation of that access regime would be in the interests of the public;
- (b) the interests of the current participants, operator and settlement institution of that payment system;
- (c) the interests of persons who, in the future, may require or desire access to that payment system;
- (d) such other matters as the Authority may consider to be relevant.

Cessation and revocation of access regime

53.—(1) An access regime in respect of a relevant payment system ceases to be in force if —

- (a) the order imposing or varying the access regime under section 51(1) or 52(1) (as the case may be) provides for an expiry date, and that date is reached;
- (b) the Authority revokes the access regime under subsection (2); or

- (c) the payment system concerned ceases to exist or operate, or ceases to be a relevant payment system.

(2) The Authority may, by order in the *Gazette*, revoke an access regime if the Authority considers it appropriate to do so.

(3) In considering whether to revoke under subsection (2) an access regime in respect of a relevant payment system, the Authority must have regard to the following matters:

- (a) whether the revocation of that access regime would be in the interests of the public;
- (b) the interests of the current participants, operator and settlement institution of that payment system;
- (c) the interests of persons who, in the future, may require or desire access to that payment system;
- (d) such other matters as the Authority may consider to be relevant.

Right to apply to General Division of High Court in respect of access regime

54.—(1) If a person has been denied access to a payment system by any participant, operator, settlement institution or other person that determines access to the payment system, in contravention of a term or condition of the access regime imposed under section 51(1) or 52(1), the person denied access may apply to the General Division of the High Court for an order under subsection (3).

[\[40/2019\]](#)

(2) An applicant for an order under subsection (1) must give to the Authority a written notice of the application together with a copy of the application, and the Authority may apply to the General Division of the High Court to be joined as a party to the proceedings.

[\[40/2019\]](#)

(3) If the General Division of the High Court is satisfied that any participant, operator, settlement institution or other person that determines access to a payment system has contravened a term or condition of the access regime, the General Division of the High Court may —

- (a) order that participant, operator, settlement institution or other person to comply with that term or condition of the access regime;
- (b) order that participant, operator, settlement institution or other person to compensate any person that has suffered loss or damage as a result of the contravention; or

(c) make such other order as the General Division of the High Court thinks fit. [40/2019]

(4) The General Division of the High Court may, on an application by any person that has a sufficient interest or on its own motion, discharge or vary any order made under this section, but must not discharge or vary that order unless the Authority has a reasonable opportunity to make representations to the General Division of the High Court.

[40/2019]

Division 5 — Voluntary transfer of business

Interpretation of this Division

55. In this Division, unless the context otherwise requires —

“business” includes affairs, property, right, obligation and liability;

“Court” means the General Division of the High Court;

“debenture” has the meaning given by section 4(1) of the Companies Act 1967;

“property” includes property, right and power of every description;

“Registrar of Companies” means the Registrar of Companies appointed under the Companies Act 1967 and includes any Deputy or Assistant Registrar of Companies appointed under that Act;

“transferee” means a person that is carrying on, or that intends to carry on, in Singapore the usual business of an operator or a settlement institution of a designated payment system, to which the whole or any part of a transferor’s business is, is to be or is proposed to be transferred under section 56(1);

“transferor” means an operator or a settlement institution of a designated payment system the whole or any part of the business of which is, is to be, or is proposed to be transferred under section 56(1).

[40/2019]

Voluntary transfer of business

56.—(1) A transferor may transfer the whole or any part of its business (including any business that is not the usual business of an operator or a settlement institution of a designated payment system) to a transferee, if —

(a) the Authority has consented to the transfer;

- (b) the transfer involves the whole or any part of the business of the transferor that is the usual business of an operator or a settlement institution of a designated payment system; and
- (c) the Court has approved the transfer.

(2) Subsection (1) does not apply to the transfer, by an operator or a settlement institution of a designated payment system, of the whole or any part of the business of that operator or settlement institution under any other law.

(3) The Authority may consent to a transfer under subsection (1)(a) if the Authority is satisfied that —

- (a) the transferee is a fit and proper person under the Guidelines on Fit and Proper Criteria; and
- (b) the transferee will conduct the business of the transferor prudently and comply with the provisions of this Act.

(4) The Authority may at any time appoint one or more persons to perform an independent assessment of, and provide a report on, the proposed transfer of a transferor's business (or any part of that business) under subsection (1).

(5) The remuneration and expenses of any person appointed under subsection (4) must be paid by the transferor and the transferee jointly and severally.

(6) The Authority must serve a copy of any report provided under subsection (4) on the transferor and the transferee.

(7) The Authority may require a person to provide, within the period and in the manner specified by the Authority, any information or document that the Authority may reasonably require for the discharge of the Authority's duties or functions, or the exercise of the Authority's powers, under this section and section 57.

(8) A person that —

- (a) without reasonable excuse, fails to comply with any requirement under subsection (7); or
- (b) in purported compliance with any requirement under subsection (7), knowingly or recklessly provides any information or document that is false or misleading in a material particular,

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction.

(9) Where a person claims, before providing the Authority with any information or document that the person is required to provide under subsection (7), that the information or document might tend to incriminate the person, the information or document is not admissible in evidence against the person in criminal proceedings other than proceedings under subsection (8).

Approval of transfer

57.—(1) A transferor must apply to the Court for its approval of the transfer of the whole or any part of the business of the transferor to the transferee under section 56(1).

(2) Before making an application under subsection (1) —

- (a) the transferor must lodge with the Authority a report setting out such details of the transfer and provide such supporting documents as the Authority may specify by written notice;
- (b) the transferor must obtain the consent of the Authority under section 56(1)(a);
- (c) the transferor and the transferee must, if they intend to serve on their respective customers a summary of the transfer, obtain the Authority's approval of the summary;
- (d) the transferor must, at least 15 days before the application is made but not earlier than one month after the report mentioned in paragraph (a) is lodged with the Authority, publish in the *Gazette*, and in such newspaper or newspapers as the Authority may determine, a notice of the transferor's intention to make the application and containing such other particulars as may be prescribed;
- (e) the transferor and the transferee must keep at their respective offices in Singapore, for inspection by any person that may be affected by the transfer, a copy of the report mentioned in paragraph (a) for a period of 15 days after the publication of the notice mentioned in paragraph (d) in the *Gazette*; and
- (f) unless the Court directs otherwise, the transferor and the transferee must serve on their respective customers affected by the transfer, at least 15 days before the application is made, a copy of the report mentioned in paragraph (a) or a summary of the transfer approved by the Authority under paragraph (c).

(3) The Authority and any person that, in the opinion of the Court, is likely to be affected by the transfer —

(a) has the right to appear before and be heard by the Court in any proceedings relating to the transfer; and

(b) may make any application to the Court in relation to the transfer.

(4) The Court must not approve the transfer if the Authority has not consented under section 56(1)(a) to the transfer.

(5) The Court may, after taking into consideration the views (if any) of the Authority on the transfer —

(a) approve the transfer without modification or subject to any modification agreed to by the transferor and the transferee; or

(b) refuse to approve the transfer.

(6) If the transferee is not identified under section 42(2) as the operator or settlement institution of the designated payment system, the Court may approve the transfer on terms that the transfer is to take effect only in the event of the transferee being so identified.

(7) The Court may by the order approving the transfer or by any subsequent order provide for all or any of the following matters:

(a) the transfer to the transferee of the whole or any part of the business of the transferor;

(b) the allotment or appropriation by the transferee of any share, debenture, policy or other interest in the transferee which under the transfer is to be allotted or appropriated by the transferee to or for any person;

(c) the continuation by (or against) the transferee of any legal proceedings pending by (or against) the transferor;

(d) the dissolution, without winding up, of the transferor;

(e) the provisions to be made for persons affected by the transfer;

(f) such incidental, consequential and supplementary matters as are, in the opinion of the Court, necessary to secure that the transfer is fully effective.

(8) Any order under subsection (7) may —

(a) provide for the transfer of any business, whether or not the transferor otherwise has the capacity to effect the transfer in question;

(b) make provision in relation to any property which is held by the transferor as trustee; and

- (c) make provision as to any future or contingent right or liability of the transferor, including provision as to the construction of any instrument under which any such right or liability may arise.

(9) Subject to subsection (10), where an order made under subsection (7) provides for the transfer to the transferee of the whole or any part of the transferor's business, then by virtue of the order the business (or part of the business) of the transferor specified in the order must be transferred to and vest in the transferee, free in the case of any particular property (if the order so directs) from any charge which by virtue of the transfer is to cease to have effect.

(10) No order under subsection (7) has any effect or operation in transferring or otherwise vesting land in Singapore until the appropriate entries are made with respect to the transfer or vesting of that land by the appropriate authority.

(11) If any business specified in an order under subsection (7) is governed by the law of any foreign country or territory, the Court may order the transferor to take all necessary steps for securing that the transfer of the business to the transferee is fully effective under the law of that country or territory.

(12) Where an order is made under this section, the transferor and the transferee must each lodge within 7 days after the order is made —

- (a) a copy of the order with the Registrar of Companies and with the Authority; and
- (b) where the order relates to land in Singapore, an office copy of the order with the appropriate authority concerned with the registration or recording of dealings in that land.

(13) A transferor or transferee that contravenes subsection (12), and every officer of the transferor or transferee (as the case may be) who fails to take all reasonable steps to secure compliance by the transferor or transferee (as the case may be) with that subsection, shall each be guilty of an offence and shall each be liable on conviction to a fine not exceeding \$2,000 and, in the case of a continuing offence, to a further fine not exceeding \$200 for every day or part of a day during which the offence continues after conviction.

Division 6 — Control of controllers of operators of designated payment systems

Application and interpretation of this Division

58.—(1) This Division applies to —

- (a) every individual, whether or not resident in Singapore and whether or not a citizen of Singapore; and
- (b) every entity.

(2) In this Division, unless the context otherwise requires —

- (a) any reference to an operator is a reference to an operator of a designated payment system; and
- (b) any reference to a Singapore operator is a reference to a Singapore operator of a designated payment system.

Control of shareholding in operator

59.—(1) A person must not become —

- (a) a 5% controller;
- (b) a 12% controller;
- (c) a 20% controller; or
- (d) an indirect controller,

of an operator without first applying for and obtaining the approval of the Authority under subsection (3).

(2) A person must not enter into any agreement or arrangement (whether oral or in writing and whether express or implied) to act together with any other person with respect to the acquisition, holding or disposal of, or the exercise of rights in relation to, their interests in voting shares of an aggregate of 5% or more of the total votes attached to all voting shares in an operator, without first applying for and obtaining the approval of the Authority under subsection (3).

(3) The Authority may approve an application made by any person under subsection (1) or (2) if the Authority is satisfied that —

- (a) having regard to the likely influence of the person, the operator will or will continue to conduct its business prudently and comply with the provisions of this Act;
- (b) in the case of an application made under subsection (1), the person is, under the Guidelines on Fit and Proper Criteria, a fit and proper person to be a 5% controller, a 12% controller, a 20% controller or an indirect controller (as the case may be) of the operator;

(c) in the case of an application made under subsection (2), the person is, under the Guidelines on Fit and Proper Criteria, a fit and proper person to be a party to the agreement or arrangement; and

(d) it is in the public interest to do so.

(4) An approval under subsection (3) may be granted to any person subject to such conditions as the Authority may impose, including but not limited to —

(a) any condition restricting the person's disposal or further acquisition of shares or voting power in the operator; and

(b) any condition restricting the person's exercise of voting power in the operator.

(5) The Authority may at any time add to, vary or revoke any condition that is imposed under subsection (4) or this subsection.

(6) Any condition imposed under subsection (4) or (5) has effect despite any provision of the Companies Act 1967 or anything contained in the constitution of the operator.

(7) Where the Authority refuses an application made by any person under subsection (1) or (2), the person must, within such period as the Authority may specify by written notice, take such steps (as soon as practicable after the refusal) as are necessary —

(a) in the case of an application under subsection (1) for approval to be a 5% controller or a 12% controller of an operator, to cease to be a 5% controller or a 12% controller (as the case may be) of the operator;

(b) in the case of an application under subsection (1) for approval to be a 20% controller or an indirect controller of an operator, to cease to be a 20% controller or an indirect controller (as the case may be) of the operator; or

(c) in the case of an application made under subsection (2), to cease to be a party to the agreement or arrangement.

Objection to existing control of operator

60.—(1) The Authority may serve a written notice of objection on any person that is a 5% controller, a 12% controller, a 20% controller or an indirect controller of an operator, or is required to obtain or has obtained the Authority's approval under section 59(3) of an application made under section 59(1) or (2), if the Authority is satisfied that —

(a) any condition for that approval imposed on the person under section 59(4)

or (5) has not been complied with;

- (b) it is no longer in the public interest to allow the person to continue to be —
 - (i) a 5% controller, a 12% controller, a 20% controller or an indirect controller (as the case may be) of the operator; or
 - (ii) in the case of an approval of an application under section 59(2) — a party to the agreement or arrangement described in section 59(2);
- (c) the person has provided any false or misleading information or document in connection with an application under section 59(1) or (2);
- (d) the person is no longer a fit and proper person under the Guidelines on Fit and Proper Criteria;
- (e) having regard to the likely influence of the person, the operator is no longer likely to conduct its business prudently or to comply with the provisions of this Act; or
- (f) the Authority would not have been satisfied as to any of the matters specified in section 59(3) had the Authority been aware, at that time, of circumstances relevant to the person's application under section 59(1) or (2).

(2) Before serving a written notice of objection under subsection (1), the Authority must, unless the Authority decides that it is not practicable or desirable to do so —

- (a) notify the person of the Authority's intention to serve the written notice of objection; and
- (b) specify a date by which the person may make written representations with regard to the proposed written notice of objection.

(3) The Authority must consider any written representations that the Authority receives before the date mentioned in subsection (2)(b), for the purpose of determining whether to issue a written notice of objection.

(4) The Authority must, in any written notice of objection, specify a reasonable period within which the person that has been served the written notice of objection must —

- (a) cease to be a 5% controller, a 12% controller, a 20% controller or an indirect controller (as the case may be) of the operator;
- (b) if the person had made an application under section 59(2) — take such

steps as are necessary to cease to be a party to the agreement or arrangement described in section 59(2); or

(c) comply with such direction as the Authority may make under section 61.

(5) A person that has been served with a written notice of objection must comply with that notice.

Power of Authority to issue directions for this Division

61.—(1) If the Authority is satisfied that a person has contravened section 59(1), (2) or (7) or has failed to comply with any condition imposed under section 59(4) or (5), or if the Authority has served a written notice of objection under section 60, the Authority may, by written notice —

- (a) direct the transfer or disposal of all or any of the shares in the operator held by the person or any of the person's associates (called in this section the specified shares) within such time or subject to such conditions as the Authority considers appropriate;
- (b) restrict the transfer or disposal of all or any of the specified shares; or
- (c) make such other direction as the Authority considers appropriate.

(2) Where the Authority has issued any direction under subsection (1)(a) or imposed any restriction under subsection (1)(b), until a transfer or disposal is effected in accordance with the direction or until the restriction on the transfer or disposal is removed, as the case may be —

- (a) no voting rights may be exercised in respect of the specified shares, unless the Authority expressly permits such rights to be exercised;
- (b) no shares of the operator may be issued or offered (whether by way of rights, bonus or otherwise) in respect of the specified shares, unless the Authority expressly permits such issue or offer; and
- (c) except in a liquidation of the operator, no payment may be made by the operator of any amount (whether by way of dividends or otherwise) in respect of the specified shares, unless the Authority expressly authorises such payment.

(3) Subsection (2) has effect despite any provision of the Companies Act 1967 or anything contained in the constitution of the operator.

(4) Any issue or offer of shares in contravention of subsection (2)(b) is void, and a person to whom a direction has been issued under subsection (1)(a) or on whom a

restriction has been imposed under subsection (1)(b) must immediately return those shares to the operator, upon which the operator must return to the person any payment received from the person in respect of those shares.

(5) Any payment made by an operator in contravention of subsection (2)(c) is void, and a person to whom a direction has been issued under subsection (1)(a) or on whom a restriction has been imposed under subsection (1)(b) must immediately return the payment the person has received to the operator.

Power of Authority to obtain information relating to this Division

62.—(1) The Authority may, by written notice, direct an operator to obtain from any of its shareholders, and to provide to the Authority, any information relating to the shareholder that the Authority may require for either or both of the following purposes:

- (a) ascertaining or investigating into the control of shareholding or voting power in the operator;
- (b) exercising any power or function under section 59, 60, 61, 63 or 100.

(2) Without limiting subsection (1), the notice in subsection (1) may require the operator to obtain and provide the following information:

- (a) whether the shareholder has an interest in any share in the operator as beneficial owner or as trustee;
- (b) if the shareholder holds the interest in the share as trustee, to indicate as far as that shareholder is able to —
 - (i) the person for whom that shareholder holds the interest (either by name or by other particulars sufficient to enable that person to be identified); and
 - (ii) the nature of that person's interest.

(3) The Authority may, by written notice, require any shareholder (*X*) of an operator, or any person (*Y*) that appears from information provided to the Authority under subsection (1) or this subsection to have an interest in any share in the operator, to provide to the Authority any information relating to *X* or *Y* (as the case may be) that the Authority may require for either or both of the following purposes:

- (a) ascertaining or investigating into the control of shareholding or voting power in the operator;
- (b) exercising any power or function under section 59, 60, 61, 63 or 100.

(4) Without limiting subsection (3), the notice in subsection (3) may require *X* or *Y* to provide the following information:

- (a) whether *X* or *Y* holds the interest as beneficial owner or as trustee;
- (b) if *X* or *Y* holds the interest as trustee, to indicate as far as *X* or *Y* can —
 - (i) the person (*Z*) for whom *X* or *Y* holds the interest (either by name or by other particulars sufficient to enable *Z* to be identified); and
 - (ii) the nature of *Z*'s interest;
- (c) whether any share or any voting right attached to the share is the subject of an agreement or arrangement described in section 2(2)(c)(vi) or 59(2), and if so, to give particulars of the agreement or arrangement and the parties to it.

Offences, penalties and defences

63.—(1) A person that contravenes section 59(1)(a) or (b), (2) or (7)(a) or (c) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(2) A person that —

- (a) contravenes section 59(1)(c) or (d) or (7)(b) or 60(5) or does any act in contravention of section 61(2);
- (b) fails to comply with —
 - (i) any written notice issued under section 61(1) or 62(1) or (3); or
 - (ii) any condition imposed under section 59(4) or (5); or
- (c) in purported compliance with a written notice issued under section 62(1) or (3), knowingly or recklessly provides any information or document that is false or misleading in a material particular,

shall be guilty of an offence.

(3) A person convicted of an offence under subsection (2) shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$250,000 and, in the case of a continuing offence, to a further fine not exceeding \$25,000 for every day or part of a day during which the offence continues after conviction.

(4) Where a person is charged with an offence in respect of a contravention of section 59(1), (2) or (7) in relation to an operator, it is a defence for the person to prove that —

- (a) the person was not aware that the person had contravened section 59(1), (2) or (7), as the case may be; and
- (b) within 14 days after becoming aware of the contravention, the person —
 - (i) notified the Authority of the contravention; and
 - (ii) within such time as may be determined by the Authority, took such action in relation to the person's shareholding or control of the voting power in the operator as the Authority may direct.

(5) Where a person is charged with an offence in respect of a contravention of section 59(1) in relation to an operator, it is also a defence for the person to prove that, even though the person was aware of the contravention —

- (a) the contravention occurred as a result of an increase in the shareholding as described in section 2(2)(a) of, or in the voting power controlled by, any of the person's associates described in section 2(2)(c)(i);
- (b) the person had no agreement or arrangement (whether oral or in writing and whether express or implied) with that associate —
 - (i) with respect to the acquisition, holding or disposal of shares or other interests in the operator; or
 - (ii) under which the person and that associate act together in exercising their voting power in relation to the operator; and

- (c) within 14 days after the date of the contravention, the person —
 - (i) notified the Authority of the contravention; and
 - (ii) within such time as may be determined by the Authority, took such action in relation to the person's shareholding or control of the voting power in the operator as the Authority may direct.

(6) Except as provided in subsections (4) and (5), it is not a defence for a person charged with an offence in respect of a contravention of section 59(1), (2) or (7) to prove that the person did not intend to, or did not knowingly, contravene that provision.

Appeals to Minister

64. Any person that is aggrieved by a decision of the Authority under section 59, 60 or 61 may, within 30 days after receiving the decision of the Authority, appeal in writing to the Minister, whose decision is final.

Division 7 — Control of officers of operators and settlement institutions of designated payment systems

Approval of chief executive officer or director of operator

65.—(1) Subject to subsection (4) —

- (a) a Singapore operator of a designated payment system must not appoint an individual as its chief executive officer or director; and
- (b) any other operator of a designated payment system must not appoint an individual as its chief executive officer, or director, directly responsible for the whole or any part of that operator's business in Singapore,

unless that operator has applied for and obtained the approval of the Authority under subsection (3)(b).

(2) An application under subsection (1) must be made in the form and manner prescribed.

(3) Without affecting any other matter that the Authority may consider relevant, the Authority may —

- (a) in determining whether to grant its approval under paragraph (b), have regard to such criteria as may be prescribed; and

(b) approve or refuse the application.

(4) Where an operator has obtained the approval of the Authority under subsection (3)(b) to appoint an individual as the operator's chief executive officer or director, the individual may, without the approval of the Authority, be re-appointed as chief executive officer or director (as the case may be) of the operator immediately upon the expiry of the individual's term of appointment.

(5) Subject to subsection (6), the Authority must not refuse an application for approval of an individual under subsection (1) without giving the operator an opportunity to be heard.

(6) The Authority may refuse an application under subsection (1) for the Authority's approval under subsection (3)(b) of an individual without giving the operator an opportunity to be heard, in any of the following circumstances:

- (a) the individual has been convicted, whether in Singapore or elsewhere, of any of the following offences, whether the offence is committed before, on or after 28 January 2020:
 - (i) an offence involving fraud or dishonesty;
 - (ii) an offence the conviction for which involves a finding that the individual had acted fraudulently or dishonestly;
 - (iii) an offence that is specified in the Third Schedule to the Registration of Criminals Act 1949;
- (b) the individual is an undischarged bankrupt, whether in Singapore or elsewhere;
- (c) the individual has had an enforcement order against the individual in respect of a judgment debt returned unsatisfied in whole or in part;
[\[Act 25 of 2021 wef 01/04/2022\]](#)
- (d) the individual has, whether in Singapore or elsewhere, entered into a compromise or scheme of arrangement with the individual's creditors, being a compromise or scheme of arrangement that is still in operation;
- (e) the individual has in force against the individual a prohibition order;
[\[Act 18 of 2022 wef 31/07/2024\]](#)
- (f) the individual has been a director of, or directly concerned in the management of, a regulated financial institution, whether in Singapore or elsewhere —

- (i) that is being or has been wound up by a court; or
- (ii) the approval, authorisation, designation, recognition, registration or licence of which has been withdrawn, cancelled or revoked by the Authority or, in the case of a regulated financial institution in a foreign country or territory, by the financial regulatory authority in that foreign country or territory.

(7) Where the Authority refuses an application under subsection (1) for the Authority's approval under subsection (3)(b), the Authority need not give the individual who was proposed to be appointed an opportunity to be heard.

(8) An operator of a designated payment system must, as soon as practicable, give written notice to the Authority of the resignation or removal of the chief executive officer or any director of the operator.

(9) An operator that, without reasonable excuse, contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$250,000.

(10) In this section, "chief executive officer", in relation to an operator mentioned in subsection (1)(b), includes a person (however designated) who —

- (a) is in the direct employment of, or acting for or by arrangement with, the operator; and
- (b) is directly responsible for the management and conduct of the whole or any part of the operator's business in Singapore.

Removal of executive officer or director of operator or settlement institution

66.—(1) Despite the provisions of any other written law —

- (a) where the Authority is satisfied that an individual appointed as an executive officer of an operator or a settlement institution of a designated payment system is not a fit and proper person to act as such executive officer, the Authority may, by written notice, direct that operator or settlement institution to remove that individual, within such period as the Authority may specify in the notice, from employment with that operator or settlement institution; and
- (b) where the Authority is satisfied that an individual appointed as a director of a Singapore operator or a Singapore settlement institution of a designated payment system is not a fit and proper person to act as such director, the Authority may, by written notice, direct that operator or settlement

institution to remove that individual, within such period as the Authority may specify in the notice, as director of that operator or settlement institution.

(2) Without affecting any other matter that the Authority may consider relevant, in assessing whether to direct any operator or settlement institution to remove an individual under subsection (1)(a) or (b), the Authority may consider whether the individual —

- (a) has been convicted, whether in Singapore or elsewhere, of any of the following offences, whether the offence is committed before, on or after 28 January 2020:
 - (i) an offence involving fraud or dishonesty;
 - (ii) an offence the conviction for which involves a finding that the individual had acted fraudulently or dishonestly;
 - (iii) an offence that is specified in the Third Schedule to the Registration of Criminals Act 1949;
- (b) is an undischarged bankrupt, whether in Singapore or elsewhere;
- (c) has had an enforcement order against the individual in respect of a judgment debt returned unsatisfied in whole or in part;
[Act 25 of 2021 wef 01/04/2022]
- (d) has, whether in Singapore or elsewhere, entered into a compromise or scheme of arrangement with the individual's creditors, being a compromise or scheme of arrangement that is still in operation;
- (e) has in force against the individual a prohibition order;
[Act 18 of 2022 wef 31/07/2024]
- (f) has been a director of, or directly concerned in the management of, a regulated financial institution, whether in Singapore or elsewhere —
 - (i) that is being or has been wound up by a court; or
 - (ii) the approval, authorisation, designation, recognition, registration or licence of which has been withdrawn, cancelled or revoked by the Authority or, in the case of a regulated financial institution in a foreign country or territory, by the financial regulatory authority in that foreign country or territory;
- (g) has wilfully contravened or wilfully caused the operator or settlement institution to contravene any provision of this Act;

- (h) has, without reasonable excuse, failed to secure the compliance of the operator or settlement institution with this Act, the Monetary Authority of Singapore Act 1970 or any of the written laws set out in the Schedule to that Act;
- (i) has failed to discharge any of the duties of the individual's office or employment; or
- (j) needs to be removed in the public interest.

(3) Subject to subsection (4), before directing an operator or a settlement institution to remove an individual under subsection (1), the Authority must give both the operator or settlement institution, and the individual, an opportunity to be heard.

(4) The Authority may direct an operator or a settlement institution to remove an individual under subsection (1) on any of the following grounds without giving the operator or settlement institution, or the individual, an opportunity to be heard:

- (a) the individual is an undischarged bankrupt, whether in Singapore or elsewhere;
- (b) the individual has been convicted, whether in Singapore or elsewhere, of an offence, whether committed before, on or after 28 January 2020 —
 - (i) involving fraud or dishonesty, or the conviction for which involves a finding that the individual had acted fraudulently or dishonestly; and
 - (ii) punishable with imprisonment for a term of at least 3 months.

(5) Without affecting the Authority's power to impose conditions under section 44, the Authority may at any time, by written notice to an operator or a settlement institution, impose or vary a condition requiring the operator or settlement institution to notify the Authority of any change to any particulars (such as residence in Singapore or elsewhere, or nature of appointment) of its executive officer or director that may be specified in the notice.

(6) An operator or a settlement institution that, without reasonable excuse —

- (a) fails to comply with a written notice under subsection (1); or
- (b) contravenes any condition imposed under subsection (5),

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000.

(7) No criminal or civil liability shall be incurred by an operator or a settlement institution of a designated payment system, or any person acting on behalf of the operator or settlement institution, in respect of anything done (including any statement made) or omitted to be done with reasonable care and in good faith in the discharge or purported discharge of the obligations of the operator or settlement institution under this section.

Appeals to Minister

67.—(1) An operator of a designated payment system that is aggrieved by a decision of the Authority under section 65(3)(b) may, within 30 days after receiving the decision of the Authority, appeal in writing to the Minister, whose decision is final.

(2) An operator or a settlement institution, or any executive officer or director of an operator or a settlement institution, that is aggrieved by a written notice of the Authority under section 66(1) may, within 30 days after receiving the notice, appeal in writing to the Minister, whose decision is final.

Division 8 — Audit of operators and settlement institutions of designated payment systems

Auditing

68.—(1) Despite the provisions of the Companies Act 1967, an operator or a settlement institution of a designated payment system must —

- (a) on an annual basis and at its own expense, appoint an auditor; and
- (b) if for any reason its auditor ceases to be its auditor, appoint another auditor as soon as practicable after such cessation.

(2) The Authority may appoint an auditor for an operator or a settlement institution of a designated payment system —

- (a) if the operator or settlement institution fails to appoint an auditor; or
- (b) if the Authority considers it desirable that another auditor should act with the auditor appointed under subsection (1).

(3) The Authority may at any time fix the remuneration to be paid by an operator or a settlement institution of a designated payment system to an auditor appointed by the Authority under subsection (2) for the operator or settlement institution.

(4) The duties of an auditor appointed under subsection (1) or (2) for an operator or a

settlement institution of a designated payment system are as follows:

- (a) to carry out, for the year in respect of which the auditor is appointed, an audit of the accounts of the operator or settlement institution;
- (b) to make a report —
 - (i) if the operator or settlement institution is a Singapore operator or Singapore settlement institution, on the financial statements or consolidated financial statements of the operator or settlement institution in accordance with section 207 of the Companies Act 1967; or
 - (ii) if the operator or settlement institution is incorporated outside Singapore, on the latest annual balance sheet and profit and loss account of the operator or settlement institution, together with any notes on that balance sheet and profit and loss account, showing the assets and liabilities and profit or loss arising out of the operations of the operator or settlement institution in Singapore, that complies with section 207 of the Companies Act 1967.

(5) The Authority may, by written notice to an auditor appointed under subsection (1) or (2) for an operator or a settlement institution of a designated payment system, impose all or any of the following duties on the auditor in addition to those provided under subsection (4), and the auditor must carry out the duties so imposed:

- (a) a duty to submit such additional information in relation to the audit as the Authority considers necessary;
- (b) a duty to enlarge or extend the scope of the audit of the business and affairs of the operator or settlement institution;
- (c) a duty to carry out any other examination, or establish any procedure, in relation to the audit in any particular case;
- (d) a duty to submit a report on any of the matters mentioned in paragraphs (b) and (c).

(6) An operator or a settlement institution of a designated payment system must remunerate an auditor appointed under subsection (1) or (2) for the operator or settlement institution in respect of —

- (a) any remuneration the Authority has fixed under subsection (3); and
- (b) the discharge of all or any of the additional duties of the auditor imposed

under subsection (5).

(7) Despite any other provision of this Act or the provisions of the Companies Act 1967, the Authority may, if the Authority is not satisfied with the performance of any duty by the auditor of an operator or a settlement institution of a designated payment system, at any time direct the operator or settlement institution to —

- (a) remove the auditor; and
- (b) appoint another auditor.

(8) The auditor's report made under subsection (4)(b) must be attached to the balance sheet and the profit and loss account, the financial statements or the consolidated financial statements (as the case may be) of the operator or settlement institution, and a copy of the report, together with any report under subsection (5)(d), must be submitted in writing to the Authority.

(9) If an auditor, in the course of performing the auditor's duties, is satisfied that any of the following matters has occurred, the auditor must immediately report that matter to the Authority:

- (a) there has been a serious breach or non-observance of the provisions of this Act;
- (b) a criminal offence involving fraud or dishonesty has been committed;
- (c) losses have been incurred that reduce the capital of the operator or settlement institution by at least 50%;
- (d) there is any irregularity that has or may have a material effect on the accounts of the operator or settlement institution, including any irregularity that affects or jeopardises, or may affect or jeopardise, the interests of the participants of the designated payment system;
- (e) the auditor is unable to confirm that the claims of creditors of the operator or settlement institution are still covered by the assets of the operator or settlement institution.

(10) Where an auditor or employee of the auditor discloses in good faith to the Authority —

- (a) the auditor's or employee's knowledge or suspicion of any of the matters mentioned in subsection (9); or
- (b) any information or other matter on which that knowledge or suspicion is based,

the disclosure is not a breach of any restriction upon the disclosure imposed by any law, contract or rules of professional conduct, and the auditor or employee is not liable for any loss arising out of the disclosure or any act or omission in consequence of the disclosure.

(11) An operator or a settlement institution of a designated payment system that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(12) An auditor that contravenes subsection (5) or (9) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

Powers of auditor appointed by Authority

69.—(1) An auditor appointed by the Authority under section 68(2) for an operator or a settlement institution of a designated payment system may, for the purpose of carrying out an examination or audit —

- (a) examine, on oath or affirmation, any officer or employee of the operator or settlement institution, or any other auditor of the operator or settlement institution;
- (b) require any officer or employee of the operator or settlement institution, or any other auditor of the operator or settlement institution, to produce any books held by or on behalf of the operator or settlement institution relating to the business of the operator or settlement institution;
- (c) make copies of or take extracts from, or retain possession of, any books mentioned in paragraph (b) for such period as may be necessary to enable those books to be inspected;
- (d) employ such persons as the auditor considers necessary to assist the auditor in carrying out the examination or audit; and
- (e) authorise in writing any person employed by the auditor to do, in relation to the examination or audit, any act or thing that the auditor could do as an auditor under this subsection, other than the examination of a person on oath or affirmation.

(2) An individual who, without reasonable excuse —

- (a) refuses or fails to answer any question put to the individual; or
- (b) fails to comply with any request made to the individual,

by an auditor appointed under section 68(2) or a person authorised under subsection (1)(e), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$12,500 or to imprisonment for a term not exceeding 12 months or to both.

Restriction on auditor's and employee's right to communicate certain matters

70.—(1) Except as may be necessary for the carrying into effect of the provisions of this Act or so far as may be required for the purposes of any legal proceedings, whether civil or criminal —

- (a) an auditor appointed under section 68(1) or (2); or
- (b) any employee of such auditor,

must not disclose any information that comes to the auditor's or employee's knowledge in the course of performing the auditor's or employee's duties, to any person other than the Authority, or in the case of an employee of such auditor, the auditor.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of the auditor, to a fine not exceeding \$25,000; or
- (b) in the case of the employee, to a fine not exceeding \$12,500.

Offence to destroy, conceal, alter, etc., records

71.—(1) An individual who, with intent to prevent, delay or obstruct the carrying out of any examination or audit under section 68 or 69 —

- (a) destroys, conceals or alters any book relating to the business of an operator or a settlement institution of a designated payment system; or
- (b) sends, or conspires with any other person to send, out of Singapore any book or asset of any description belonging to, in the possession of or under the control of the operator or settlement institution,

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(2) If, in any proceedings for an offence under subsection (1), it is proved that the individual charged with the offence —

- (a) destroyed, concealed or altered any book mentioned in subsection (1)(a);
or
- (b) sent, or conspired to send, out of Singapore any book or asset mentioned in subsection (1)(b),

the onus of proving that, in so doing, the individual did not act with intent to prevent, delay or obstruct the carrying out of an examination or audit under section 68 or 69 lies on the individual.

PART 4

INSPECTION

[Act 12 of 2024 wef 24/01/2025]

Inspection by Authority

72.—(1) The Authority may from time to time inspect, under conditions of secrecy, the books of any of the following persons:

- (a) a licensee;
- (b) an exempt payment service provider;
- (c) an operator of a designated payment system;
- (d) a settlement institution of a designated payment system;
- (e) a participant of a designated payment system;
- (f) a person exempt under section 100.

(2) For the purposes of an inspection under this section —

- (a) a person mentioned in subsection (1) in possession of the person's books must produce those books to the Authority and give such information or facilities as the Authority may require;
- (b) a person mentioned in subsection (1) must procure any other person that is in possession of the firstmentioned person's books to produce those books to the Authority and give such information or facilities as the Authority may require; and
- (c) the Authority may —
 - (i) make copies of, or take possession of, any such books;

- (ii) use, or permit the use of, any such books for the purposes of any proceedings under this Act; and
- (iii) subject to subsection (4), retain possession of any such books for so long as is necessary —
 - (A) for the purposes of exercising a power conferred by this section;
 - (B) for a decision to be made on whether or not proceedings should be commenced under this Act in relation to such books; or
 - (C) for such proceedings to be commenced and carried on.

(3) A person is not entitled, as against the Authority, to claim a lien on any of the books, but such a lien is not otherwise prejudiced.

(4) While the books are in the possession of the Authority, the Authority —

- (a) must permit another person to inspect at all reasonable times such (if any) of the books as the other person would be entitled to inspect if they were not in the possession of the Authority; and
- (b) may permit another person to inspect any of the books.

(5) The Authority may require a person that produced any book to the Authority to explain, to the best of the person's knowledge and belief, any matter about the compilation of the book or to which the book relates.

(6) A person that, without reasonable excuse, fails to comply with subsection (2)(a) or (b) or a requirement of the Authority under subsection (5) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$5,000 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

73. *[Repealed by Act 12 of 2024 wef 24/01/2025]*

Confidentiality of inspection reports

74.—(1) Subject to subsection (2), where the Authority has —

- (a) produced a written report upon an inspection under section 72 of the books of a person (being a licensee, an exempt payment service provider, an operator, a settlement institution or a participant of a designated payment system, or a person exempt under section 100); and

[Act 12 of 2024 wef 24/01/2025]

- (b) provided the report to the person whose books were inspected (called in this section the subject),

[Act 12 of 2024 wef 24/01/2025]

the report must not be disclosed to any person by the subject, or any of the subject's officers or auditors.

(2) The report mentioned in subsection (1) may be disclosed —

- (a) by the subject to the subject's officer or auditor solely in connection with the performance of the duties of the officer or auditor in the subject;
- (b) by any officer or auditor of the subject to any other officer or auditor of the subject, solely in connection with the performance of their duties in the subject; or
- (c) to such other person as the Authority may approve in writing.

(3) In granting written approval for any disclosure under subsection (2)(c), the Authority may impose such conditions or restrictions as the Authority thinks fit on the subject, any of the subject's officers or auditors, or the person to whom disclosure is approved, and the subject, officer or auditor, or the person to whom disclosure is approved, must comply with the condition or restriction.

(4) The obligations of an officer or auditor mentioned in subsections (1) and (3) continue after the termination or cessation of the officer's or auditor's employment with or appointment by the subject.

(5) A person that contravenes subsection (1) or (3) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both; or
- (b) in any other case, to a fine not exceeding \$100,000.

(6) A person to whom the report is disclosed and that knows or has reasonable grounds for believing, at the time of the disclosure, that the report was disclosed to the

person in contravention of subsection (1) shall be guilty of an offence, unless the person proves that —

- (a) the disclosure was made contrary to the person's desire;
- (b) where the disclosure was made in any written form, the person has, as soon as practicable after receiving the report, surrendered or taken all reasonable steps to surrender the report and all copies of the report to the Authority; and
- (c) where the disclosure was made in an electronic form, the person has, as soon as practicable after receiving the report, taken all reasonable steps to ensure that all electronic copies of the report have been deleted and that the report and all copies of the report in other forms have been surrendered to the Authority.

(7) A person convicted of an offence under subsection (6) shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both; or
- (b) in any other case, to a fine not exceeding \$100,000.

[Act 12 of 2024 wef 24/01/2025]

Self-incrimination

75.—(1) A person is not excused from disclosing information to the Authority pursuant to a requirement made of the person under this Part on the grounds that the disclosure of the information might tend to incriminate the person.

(2) Where a person claims, before making a statement disclosing information that the person is required to disclose by such requirement, that the statement might tend to incriminate the person, that statement is not admissible in evidence against the person in criminal proceedings other than proceedings for an offence under section 94(4).

Saving for advocates and solicitors

76.—(1) Nothing in this Part —

- (a) compels an advocate and solicitor to disclose or produce any privileged communication, or a document or other material containing any privileged communication, made by or to the advocate and solicitor in that capacity; or
- (b) authorises the taking of any such document or other material that is in the

possession of the advocate and solicitor.

(2) An advocate and solicitor who refuses to disclose the information or produce the document or other material mentioned in subsection (1) must nevertheless give the name and address (if known to the advocate and solicitor) of the person to whom, or by or on behalf of whom, that privileged communication was made.

(3) An advocate and solicitor who contravenes subsection (2) shall be guilty of an offence.

PART 4A

INVESTIGATIONS

Division 1 — Preliminary

Interpretation of this Part

76A. In this Part —

“advocate and solicitor” means an advocate and solicitor of the Supreme Court or a foreign lawyer as defined in section 2(1) of the Legal Profession Act 1966;

“auditor” means a public accountant who is registered or deemed to be registered under the Accountants Act 2004;

“computer” and “data” have the meanings given by section 2(1) of the Computer Misuse Act 1993;

“law enforcement agency” means any authority or person charged with the duty of investigating offences or charging offenders under any written law;

“legal counsel” has the meaning given by section 3(7) of the Evidence Act 1893;

“officer” —

(a) in relation to the Authority, includes any person employed by the Authority in an executive capacity; and

(b) in relation to any corporation (other than a law enforcement agency), has the meaning given by section 4(1) of the Companies Act 1967;

“prescribed written law” means this Act or any of the following Acts, and any subsidiary legislation made under this Act or those Acts:

(a) Banking Act 1970;

- (b) Credit Bureau Act 2016;
- (c) Deposit Insurance and Policy Owners' Protection Schemes Act 2011;
- (d) Finance Companies Act 1967;
- (e) Financial Advisers Act 2001;
- (f) Financial Holding Companies Act 2013;
- (g) Financial Services and Markets Act 2022;
- (h) Insurance Act 1966;
- (i) Monetary Authority of Singapore Act 1970;
- (j) Securities and Futures Act 2001;
- (k) Trust Companies Act 2005;
- (l) such other Act as the Authority may prescribe by regulations made under section 103.

[Act 12 of 2024 wef 24/01/2025]

Division 2 — Investigative powers of Authority

Subdivision (1) — General

Investigation by Authority

76B.—(1) The Authority may conduct such investigation as it considers necessary or expedient for any of the following purposes:

- (a) to perform any of its functions and duties under this Act;
- (b) to ensure compliance with this Act or any written direction issued under this Act;
- (c) to investigate an alleged or suspected contravention of any provision of this Act or any written direction issued under this Act.

(2) The Authority may exercise any of its powers under this Division for the purposes of conducting an investigation under subsection (1) despite the provisions of any prescribed written law or any requirement imposed thereunder or any rule of law.

(3) Subject to subsection (5), a requirement imposed by the Authority under this Division has effect despite any obligations as to secrecy or other restrictions upon the disclosure of information imposed by any prescribed written law or any requirement imposed thereunder, any rule of law, any contract or any rule of professional conduct.

(4) Subject to subsection (5), any person who complies with a requirement imposed by the Authority under this Division is not treated as being in breach of any restriction upon the disclosure of information or thing imposed by any prescribed written law or any requirement imposed thereunder, any rule of law, any contract or any rule of professional conduct.

(5) Nothing in this section requires a person to disclose any information subject to legal privilege.

(6) No civil or criminal action, other than proceedings for an offence under section 76R, shall lie against any person —

- (a) for giving assistance to the Authority, including answering questions, if the person had given the assistance or answered the questions in good faith in compliance with a requirement imposed by the Authority under this Division;
- (b) for providing information, producing books or giving access to data to the Authority, if the person had done so in good faith in compliance with a requirement imposed by the Authority under this Division; or
- (c) for doing or omitting to do any act, if the person had done or omitted to do the act in good faith and as a result of complying with a requirement imposed by the Authority under this Division.

(7) In this section, a reference to a requirement imposed by the Authority under this Division includes a reference to a requirement imposed by an investigator or authorised person under Subdivision (2) or (3).

[Act 12 of 2024 wef 24/01/2025]

Confidentiality of investigation reports

76C.—(1) Where a written report or any part of a written report (called in this section the report) has been produced by the Authority in respect of any investigation under section 76B and is provided by the Authority to the person under investigation (called in this section the investigated person), the report must not be disclosed by the investigated person or, if the investigated person is a corporation, by any of its officers or auditors, to any other person except in the circumstances provided under subsection (2).

(2) Disclosure of the report mentioned in subsection (1) may be made —

- (a) by the investigated person to any officer or auditor of that investigated person solely in connection with the performance of the duties of the officer or auditor (as the case may be) in that investigated person;
- (b) by any officer or auditor of the investigated person to any other officer or auditor of that investigated person, solely in connection with the performance of their duties in that investigated person; or
- (c) to such other person as the Authority may approve in writing.

(3) In granting written approval for any disclosure under subsection (2)(c), the Authority may impose such conditions or restrictions as it thinks fit on the investigated person, any of its officers or auditors or the person to whom disclosure is approved, and that person must comply with such conditions or restrictions.

(4) The obligation on an officer or auditor mentioned in subsection (1) continues after the termination or cessation of his or her employment or appointment by the investigated person.

(5) Any person who contravenes subsection (1) or (3) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(6) Any person to whom the report is disclosed and who knows or has reasonable grounds for believing, at the time of the disclosure, that the report was disclosed to the person in contravention of subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both, unless the person proves that —

- (a) the disclosure was made contrary to the person's desire;
- (b) where the disclosure was made in any written or printed form, the person had, as soon as practicable after receiving the report, surrendered or taken all reasonable steps to surrender the report and all copies of the report to the Authority; and
- (c) where the disclosure was made in an electronic form, the person had, as soon as practicable after receiving the report, taken all reasonable steps to ensure that all electronic copies of the report had been deleted and that the report and all copies of the report in other forms had been surrendered to the Authority.

[Act 12 of 2024 wef 24/01/2025]

Self-incrimination and saving for advocates and solicitors

76D.—(1) A person is not excused from disclosing information to the Authority, or an investigator or authorised person mentioned in Subdivision (2) or (3), pursuant to a requirement made of the person under any provision of this Division, on the ground that the disclosure of the information might tend to incriminate the person.

(2) Where a person claims, before making a statement disclosing information that the person is required to disclose under any provision of this Division to the Authority or to an investigator or authorised person mentioned in Subdivision (2) or (3), that the statement might tend to incriminate the person, that statement is not admissible in evidence against the person in criminal proceedings other than proceedings for an offence under section 76R(5).

(3) For the purposes of any proceedings for an offence under this Act, the making of a statement by an accused person made pursuant to a requirement mentioned in subsection (1), is not to be regarded under section 258(3) of the Criminal Procedure Code 2010 as caused by any inducement, threat or promise merely because the Authority, investigator or authorised person had earlier informed the accused person that the accused person was not excused from disclosing information on the ground that the disclosure of the information might tend to incriminate the accused person, if the Authority, investigator or authorised person (as the case may be) believed in good faith, when so informing the accused person, that —

- (a) the accused person was concerned in an offence under this Act; or
- (b) a reasonable complaint has been made, or credible information has been received, or a reasonable suspicion exists, that the accused person was concerned in an offence under this Act.

(4) Nothing in this Division —

- (a) compels an advocate and solicitor or legal counsel to disclose or produce a privileged communication, or a book or other material containing a privileged communication, made by or to the advocate and solicitor or legal counsel in that capacity; or
- (b) authorises the taking of any such book or other material which is in the possession of an advocate and solicitor or legal counsel.

(5) Despite subsection (4), an advocate and solicitor or legal counsel —

- (a) who is required under this Division to disclose or produce a privileged communication, or a book or other material containing a privileged communication, made by or to the advocate and solicitor or legal counsel in that capacity; and
- (b) who refuses to disclose or produce the privileged communication, book or

other material,
must give the name and address (if he or she knows them) of the person to whom, or by
or on behalf of whom, that privileged communication was made.

[Act 12 of 2024 wef 24/01/2025]

Subdivision (2) — Examination of persons

Requirement to appear for examination

76E.—(1) For the purpose of an investigation under this Division, the Authority may, in writing, require a person —

- (a) to give to the Authority all reasonable assistance in connection with the investigation; and
- (b) to appear before an officer of the Authority duly authorised by the Authority for examination and to answer questions.

(2) A written requirement imposed under subsection (1) must state the general nature of the matter mentioned in that subsection.

[Act 12 of 2024 wef 24/01/2025]

Proceedings at examination

76F. The provisions of this Subdivision apply where, pursuant to a requirement made under section 76E for the purposes of an investigation under this Division, a person (called in this Subdivision the examinee) appears before another person (called in this Subdivision the investigator) for examination.

[Act 12 of 2024 wef 24/01/2025]

Requirements made of examinee

76G.—(1) The investigator may examine the examinee on oath or affirmation, and may, for that purpose, administer an oath or affirmation to the examinee.

(2) The oath or affirmation to be taken or made by the examinee for the purposes of the examination is an oath or affirmation that the statements that the examinee will make are true.

(3) The investigator may require the examinee to answer a question that is put to the examinee at the examination and is relevant to a matter that the Authority is investigating, or is to investigate, under this Division.

[Act 12 of 2024 wef 24/01/2025]

Examination to take place in private

76H.—(1) The examination must take place in private and the investigator may give directions as to who may be present during the examination or part thereof.

(2) A person must not be present at the examination unless the person is —

- (a) the investigator or the examinee;
- (b) a person approved by the Authority; or
- (c) entitled to be present by virtue of a direction under subsection (1).

[Act 12 of 2024 wef 24/01/2025]

Record of examination

76I.—(1) The investigator may, and must if the examinee so requests, cause a record to be made of statements made at the examination.

(2) If a record made under subsection (1) is in writing or is reduced to writing —

- (a) the investigator may require the examinee to read the record, or to have it read to the examinee, and may require the examinee to sign it; and
- (b) the investigator must, if requested in writing by the examinee to give to the examinee a copy of the written record, provide a copy of the written record without charge within a reasonable time, subject to such conditions as the investigator may impose.

[Act 12 of 2024 wef 24/01/2025]

Giving copies of record to other persons

76J.—(1) The Authority may, subject to such conditions or restrictions as it may impose, give a copy of a written record of the examination, or such a copy together with a copy of any related book, to an advocate and solicitor acting on behalf of a person who is carrying on, or is contemplating in good faith, a legal proceeding in respect of a matter to which the examination relates.

(2) If the Authority gives a copy of a written record or book to a person under subsection (1), the person, or any other person who has possession, custody or control of the copy or a further copy of the copy, must not, except in connection with preparing, beginning or carrying on, or in the course of, any legal proceeding —

- (a) use the copy or a further copy of the copy; or
- (b) publish, or communicate to a person, the copy, a further copy of the copy, or any part of the contents of the copy.

(3) The Authority may, subject to such conditions or restrictions as it may impose, give to a person other than a person mentioned in subsection (1), a copy of a written record of the examination, or the copy together with a copy of any related book.

[Act 12 of 2024 wef 24/01/2025]

Copies given subject to conditions

76K. If a copy of any written record or book is given to a person under section 76I(2) or 76J(1) or (3) subject to conditions or restrictions imposed by the investigator or the Authority (as the case may be), the person, and any other person who has possession, custody or control of the copy or the further copy of the copy, must comply with the conditions or restrictions.

[Act 12 of 2024 wef 24/01/2025]

Subdivision (3) — Powers to obtain information

Power of Authority to order production of books, provision of information or giving of access to data

76L. For the purpose of an investigation under this Division, the Authority may, in writing, require —

- (a) a person who is believed to possess, or to have power to access, any book, or who is believed to possess any information, relating to any matter under investigation; or
- (b) a person who is believed to have power to access any data relating to any matter under investigation,

to —

- (c) produce the book or a copy of the book, or to provide the information, at the time and place specified in the written requirement;
- (d) give the Authority or any officer of the Authority who is authorised by the Authority for this purpose (called in this section an investigator) access to the book or data; or
- (e) provide such reasonable assistance as the Authority or an investigator may require for the purposes of accessing the book or data.

[Act 12 of 2024 wef 24/01/2025]

Power to enter premises without warrant

76M.—(1) In connection with an investigation under this Division, any officer of the

Authority who is authorised by the Authority to do so (called in this section an investigator) and such other officers or persons as the Authority has authorised in writing to accompany the investigator (each called in this section an authorised person) may enter any premises.

(2) An investigator or authorised person accompanying the investigator must not enter any premises in the exercise of the powers under this section unless the investigator has given the occupier of the premises a written notice which —

- (a) gives at least 2 working days' notice of the intended entry;
- (b) indicates the subject matter and purpose of the investigation; and
- (c) indicates the nature of the offences investigated.

(3) Subsection (2) does not apply —

- (a) if the investigation relates to an alleged or suspected contravention of any provision of this Act and the investigator has reasonable grounds for suspecting that the premises are, or have been, occupied by a person who is being investigated in relation to the contravention; or
- (b) if the investigator has taken all such steps as are reasonably practicable to give notice under subsection (2)(a) but has not been able to do so.

(4) Where subsection (3) applies, the power of entry conferred by subsection (1) may only be exercised upon production of —

- (a) evidence of the investigator's authorisation and the authorisation of every authorised person accompanying the investigator; and
- (b) a document containing information indicating the subject matter and purpose of the investigation and the nature of the offences investigated.

(5) Without affecting section 76L, an investigator or authorised person entering any premises under this section may —

- (a) bring with him or her to the premises such items as appear to him or her to be necessary;
- (b) require any person on the premises to produce any book or copy of any book or to give access to any data which the investigator or authorised person considers relates to any matter relevant to the investigation;
- (c) require any person on the premises to state, to the best of the person's knowledge and belief, where any such book or data is to be found; and
- (d) take any step, or issue to any person on the premises any requirement,

which appears to be necessary for the purpose of preserving or preventing interference with any such book or data.

[Act 12 of 2024 wef 24/01/2025]

Warrant to seize books, etc.

76N.—(1) A Magistrate may, on the application of the Authority —

(a) issue a warrant, if the Magistrate is satisfied that there are reasonable grounds to suspect that there is, on any particular premises, any book, or a computer in which any data is contained or to which any data is available —

(i) being any book or data the production of which, or access to which, has been required under section 76L or 76M, but which has not been produced, or access to which has not been given, in compliance with that requirement; or

(ii) being any book or data which, if production of which or access to which is required under section 76L or 76M, will be concealed, removed, tampered with or destroyed; and

(b) if the Magistrate is also satisfied that there are reasonable grounds to suspect that there is, on those premises, any other book, or a computer in which any other data is contained or to which any other data is available, which relates to any matter relevant to the investigation concerned, direct that the powers exercisable under the warrant extend to such other book or computer.

(2) A warrant issued under subsection (1) authorises the Authority or any person named in the warrant, with or without assistance —

(a) to enter the premises specified in the warrant, using such force as is reasonably necessary for the purpose;

(b) to search the premises and to break open and search anything, whether a fixture or not, in the premises;

(c) to take possession of, or secure against interference, any book or computer that appears to be a book or computer mentioned in subsection (1)(a) or (b);

(d) to require any person to provide an explanation of any book or data that appears to be any book or data mentioned in subsection (1)(a) or (b), or to state, to the best of that person's knowledge and belief, where any such

book or data may be found;

- (e) to search any person on those premises, if there are reasonable grounds to suspect that the person has in his or her possession any book or computer that appears to be a book or computer mentioned in subsection (1)(a) or (b), or any equipment or article which relates to any matter relevant to the investigation concerned;
- (f) to remove from those premises for examination any book that appears to be a book mentioned in subsection (1)(a) or (b), or any equipment (including a computer) or article which relates to any matter relevant to the investigation concerned;
- (g) to access, inspect and check the operation of a computer on the premises specified in the warrant, if there are reasonable grounds to suspect that any data mentioned in subsection (1)(a) or (b) is or has been contained in or available to the computer, or that the computer is a computer mentioned in subsection (1)(a) or (b);
- (h) to use any computer mentioned in paragraph (g), or cause any such computer to be used —
 - (i) to search any book or data that appears to be a book or any data mentioned in subsection (1)(a) or (b), that is contained in or available to such computer; and
 - (ii) to make a copy of any such book or data;
- (i) to prevent any other person from gaining access to, or using, any computer mentioned in paragraph (g) (including by changing any username, password or other authentication information required to gain access to the computer);
- (j) to order any person —
 - (i) to stop accessing or using or to not access or use any computer mentioned in paragraph (g); or
 - (ii) to access or use any such computer only under such conditions as the Authority or any person named in the warrant may specify; and
- (k) to order —
 - (i) any person whom the Authority or any person named in the

warrant reasonably suspects of using, or of having used, a computer mentioned in paragraph (g);

- (ii) any person having charge of, or otherwise concerned with the operation of, any such computer; or
- (iii) any person whom the Authority or any person named in the warrant reasonably believes has knowledge of or access to any username, password or other authentication information required to gain access to any such computer,

to provide any of the following types of assistance to the Authority:

- (iv) assistance to gain access to the computer (including assistance through the provision of any username, password or other authentication information required to gain access to the computer);
- (v) assistance to prevent a person (other than the Authority or any person named in the warrant) from gaining access to, or using, the computer, including assistance in changing any username, password or other authentication information required to gain access to the computer.

(3) The Authority or any person named in the warrant may allow any equipment or article mentioned in subsection (2)(f) to be retained on the premises specified in the warrant, subject to such conditions as the Authority or that person may require.

(4) Any person entering any premises by virtue of a warrant issued under subsection (1) may bring with him or her to the premises such items as appear to him or her to be necessary.

(5) Where a warrant is issued under subsection (1), and there is no one present at the premises specified in the warrant when the Authority or any person named in the warrant proposes to execute the warrant, the Authority or that person must, before executing the warrant —

- (a) take such steps as are reasonable in all the circumstances to inform the occupier of the premises of the intended entry into the premises; and
- (b) subject to subsection (6), give the occupier or the occupier's legal or other representative a reasonable opportunity to be present when the warrant is executed.

(6) If the Authority or any person named in the warrant is unable to inform the occupier of the premises of the intended entry into the premises, the Authority or that person must, when executing the warrant, leave a copy of the warrant in a prominent place on the premises.

(7) On leaving any premises specified in a warrant issued under subsection (1), the Authority or any person named in the warrant must, if the premises are unoccupied or if the occupier of the premises is temporarily absent, leave the premises as effectively secured as the Authority or that person found the premises.

(8) The powers conferred by this section are in addition to, and not in derogation of, any other powers conferred by any other written law or rule of law.

(9) In this section —

“occupier”, in relation to any premises specified in a warrant issued under subsection (1), includes any person whom the Authority or any person named in the warrant reasonably believes to be the occupier of those premises;

“premises” includes any structure, building, aircraft, vehicle or vessel.

[Act 12 of 2024 wef 24/01/2025]

Powers where books are produced, etc.

76O.—(1) This section applies where —

- (a) any book is produced to the Authority, or access to any book, or any data contained in or available to a computer, is given to the Authority —
 - (i) pursuant to a requirement under section 76L; or
 - (ii) during an entry into any premises by an investigator or authorised person under section 76M;
- (b) under a warrant issued under section 76N(1), the Authority or a person named therein —
 - (i) takes possession of any book or computer; or
 - (ii) secures any book or computer against interference; or
- (c) under a previous application of subsection (6), any book or computer is delivered into the possession of the Authority or a person authorised by it.

(2) If subsection (1)(a) applies, the Authority may take possession of any book or computer mentioned in that provision.

(3) The Authority or, where applicable, a person mentioned in subsection (1)(b) or (c) may —

- (a) inspect, and make copies of, or take extracts from, a book, or any data contained in or available to the computer, mentioned in that subsection;
- (b) use, or permit the use of, a book, or any data contained in or available to the computer, mentioned in that subsection for the purposes of any proceedings;
- (c) retain possession of a book or computer mentioned in that subsection for so long as is necessary —
 - (i) for the purposes of exercising a power conferred by this section;
 - (ii) for a decision to be made about whether or not any proceedings to which the book or any data contained in or available to the computer would be relevant should be instituted; or
 - (iii) for such proceedings to be instituted and carried on; and
- (d) require any book stored in any electronic form, or any data, which the Authority or person mentioned in subsection (1)(b) or (c) is satisfied relates to any matter relevant to an investigation under this Division, to be produced in a form which can be taken away and which is visible and legible.

(4) No person is entitled, as against the Authority or, where applicable, a person mentioned in subsection (1)(b) or (c) to claim a lien on any book or computer mentioned in that subsection, but such a lien is not otherwise prejudiced.

(5) While any book or computer is in the possession of the Authority or (where applicable) the person mentioned in subsection (1)(b) or (c), the Authority or the person —

- (a) must permit another person to inspect at all reasonable times the book or computer as the second-mentioned person would be entitled to inspect if the book or computer were not in the possession of the Authority or the firstmentioned person; and
- (b) may permit any other person to inspect the book or computer.

(6) If subsection (1)(a) or (b)(i) applies, an investigator or authorised person mentioned in subsection (1)(a) or a person mentioned in subsection (1)(b) may deliver any book or computer into the possession of the Authority or of a person authorised by the Authority to receive them.

(7) If subsection (1)(a) or (b) or (6) applies, the Authority, an investigator or authorised person mentioned in subsection (1)(a), a person mentioned in subsection (1)(b) or a person into whose possession any book or computer is delivered under subsection (6), may require —

- (a) if subsection (1)(a) applies — a person who produced the book or gave access to the book or the data contained in or available to the computer; or
- (b) if subsection (1)(b) applies — a person who was a party to the preparation of the book or any data contained in or available to the computer,

to explain, to the best of his or her knowledge and belief, any matter about the preparation of the book or data or any matter to which the book or data relates.

[Act 12 of 2024 wef 24/01/2025]

Powers where books not produced, information not provided or access to book or data not given

76P. Where a person fails to comply with a requirement imposed by the Authority under section 76L to produce any book, provide any information or give access to any book or data, the Authority may require the person to state, to the best of his or her knowledge and belief —

- (a) the place where such book, or any computer in which such data is contained or to which such data is available, may be found;
- (b) the person who last had possession, custody or control of such book, or any computer in which such data is contained or to which such data is available, and the place where that person may be found; or
- (c) the person who possesses such information and the place where that person may be found.

[Act 12 of 2024 wef 24/01/2025]

Copies of or extracts from books to be admitted in evidence

76Q.—(1) Subject to this section, a copy of or extract from any book referred to in this Division that is proved to be a true copy of the book, or of the relevant part of the book, is admissible in evidence as if it were the original book, or the relevant part of the original book.

(2) For the purposes of subsection (1), evidence that a copy of or extract from any book is a true copy of the book or of a part of the book, may be given by a person who has compared the copy or extract with the book or the relevant part of the book, and may be given orally or by an affidavit sworn, or by a declaration made, before a person authorised to take affidavits or statutory declarations.

Offences under this Division

76R.—(1) An advocate and solicitor or legal counsel who, without reasonable excuse, fails to comply with section 76D(5) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000.

(2) A person who, without reasonable excuse, refuses or fails to comply with —

- (a) any requirement imposed under section 76E(1), 76G(3), 76M(5)(b), (c) or (d), 76O(3)(d) or (7) or 76P; or
- (b) any requirement imposed pursuant to a warrant issued under section 76N(1),

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(3) A person who, without reasonable excuse, refuses or fails to comply with —

- (a) any requirement of an investigator under section 76I(2)(a); or
- (b) section 76J(2) or 76K,

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$5,000 or to imprisonment for a term not exceeding 12 months or to both.

(4) A person who, without reasonable excuse, refuses or fails to comply with any requirement imposed under section 76L shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$5,000 for every day or part of a day during which the offence continues after conviction.

(5) A person who —

- (a) in purported compliance with a requirement imposed under section 76D(5), 76L, 76M(5)(b), (c) or (d), 76O(3)(d) or (7) or 76P, or pursuant to a warrant issued under section 76N(1); or
- (b) in the course of examination of the person,

provides information or makes a statement that is false or misleading in a material particular shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(6) It is a defence to a prosecution for an offence under subsection (5) if the defendant

proves that the defendant believed on reasonable grounds that the information or statement was true and not misleading.

(7) Any person who, knowing or having reasonable grounds to believe that any book, computer, equipment or article relates to a matter that the Authority is investigating or about to investigate under this Division —

- (a) conceals, destroys, mutilates or alters that book, computer, equipment or article; or
- (b) if any such book, computer, equipment or article is within the territory of Singapore, takes or sends the book, computer, equipment or article out of Singapore,

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 or to imprisonment for a term not exceeding 2 years or to both.

(8) A person who, without reasonable excuse, obstructs or hinders the Authority in the exercise of any power under this Division, or obstructs or hinders a person who is exercising any power under section 76M(1) or (5) or executing a warrant issued under section 76N(1), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(9) Any occupier or person in charge of any premises who fails to provide, to any person who enters those premises under section 76M(1) or under a warrant issued under section 76N(1), all reasonable facilities and assistance for the effective exercise of that person's powers under section 76M(1) or (5) or under the warrant (as the case may be) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$5,000 or to imprisonment for a term not exceeding 12 months or to both.

[Act 12 of 2024 wef 24/01/2025]

Division 3 — Transfer of evidence

Interpretation of this Division

76S. In this Division —

“Commercial Affairs Officer” means a Commercial Affairs Officer appointed under section 64 of the Police Force Act 2004;

“police officer” means a member of the Singapore Police Force.

[Act 12 of 2024 wef 24/01/2025]

Evidence obtained by Authority may be used in criminal investigations and

proceedings

76T.—(1) Despite the provisions of any written law or rule of law, the Authority may provide any book, written record of any examination or other information, or access to any data, obtained by the Authority under this Part to —

- (a) a police officer;
- (b) a Commercial Affairs Officer; or
- (c) the Public Prosecutor,

for the purposes of any investigation into or criminal proceedings against a person for an alleged or suspected contravention of any provision under this Act.

(2) To avoid doubt, any book, written record of examination or other information provided, or any data to which access is provided, by the Authority under subsection (1) is not inadmissible in any criminal proceedings by reason only that it was first obtained by the Authority under this Act, and the admissibility thereof is to be determined in accordance with the rules of evidence under written law and any relevant rules of law.

[Act 12 of 2024 wef 24/01/2025]

Evidence obtained under Criminal Procedure Code 2010 may be used for purposes of Act

76U. Despite the provisions of any written law or any rule of law, any book, data, statement or other information obtained by —

- (a) a police officer or a Commercial Affairs Officer in the exercise of his or her powers under Divisions 1 and 2 of Part 4 of the Criminal Procedure Code 2010; or
- (b) an authorised person mentioned in section 20(1) or (1A), 39(1) or 40(2) of the Criminal Procedure Code 2010, in the exercise of his or her powers under those sections,

may be provided to the following persons for the following purposes, if it is in the public interest to do so:

- (c) to the Authority — for the purpose of any investigation under section 76B(1);
- (d) to the Minister — for the purpose of any appeal against a decision of the Authority under this Act.

[Act 12 of 2024 wef 24/01/2025]

PART 5

EMERGENCY POWERS

Interpretation of this Part

77. In this Part, unless the context otherwise requires —

“business” includes affairs and property;

“emergency” means —

- (a) any situation that prevents a designated payment system from carrying out its functions;
- (b) any situation in which, in the opinion of the Authority, the operations of a designated payment system are carried on in a manner likely to be detrimental to the interests of the participants of the designated payment system; or
- (c) any undesirable situation or practice that, in the opinion of the Authority, constitutes an emergency;

“office-holder”, in relation to a payment entity, means any person acting as the liquidator, provisional liquidator, receiver, receiver and manager, judicial manager or an equivalent person of that payment entity;

“payment entity” means any of the following entities:

- (a) a licensee;
- (b) a person that is granted a licence under section 57B of the Banking Act 1970 to carry on the business of issuing credit cards or charge cards in Singapore;
- (c) an operator of a designated payment system;
- (d) a settlement institution of a designated payment system;

“relevant business”, in relation to a payment entity, means any business of that payment entity —

- (a) in relation to which a statutory adviser has been appointed under section 78(2)(b);
- (b) in relation to which a statutory manager has been appointed under section 78(2)(c); or
- (c) that the Authority has assumed control of under section 78(2)(c);

“statutory adviser” means a statutory adviser appointed under section 78(2)(b);

“statutory manager” means a statutory manager appointed under section 78(2)(c).

Action by Authority if payment entity unable to meet obligations, etc.

78.—(1) The Authority may exercise one or more of the powers specified in subsection (2) as appears to the Authority to be necessary, where —

- (a) a payment entity informs the Authority that the payment entity is or is likely to become insolvent, is or is likely to become unable to meet the payment entity’s obligations, or has suspended or is about to suspend payments;
- (b) a payment entity is insolvent, becomes unable to meet the payment entity’s obligations, or suspends payments;
- (c) the Authority is of the opinion that the payment entity —
 - (i) is or is likely to become insolvent, is or is likely to become unable to meet the payment entity’s obligations, or has suspended or is about to suspend payments; or
 - (ii) has contravened any of the provisions of this Act; or
- (d) the Authority considers it in the public interest to do so.

(2) For the purposes of subsection (1), the Authority may exercise any of the following powers:

- (a) require the payment entity to immediately take any action, or to do or not to do any act, in relation to the business of the payment entity, that the Authority may consider necessary;
- (b) appoint one or more persons as statutory adviser, on such terms as the Authority may specify by written notice, to advise the payment entity on the proper management of such business of the payment entity as the Authority may determine;
- (c) assume control of and manage such business of the payment entity as the Authority may determine, or appoint one or more persons as statutory manager to do so on such terms as the Authority may specify by written notice.

(3) Where the Authority appoints 2 or more persons as statutory manager of a payment entity, the Authority must specify, in the terms of the appointment, which of the duties, functions and powers of the statutory manager —

- (a) may be discharged or exercised by those persons jointly and severally;
- (b) must be discharged or exercised by those persons jointly; and
- (c) must be discharged or exercised by a specified person (being one of those persons).

(4) Where the Authority has exercised any power under subsection (2), the Authority may, at any time and without affecting the Authority's powers under section 11(2) or (3), do one or more of the following:

- (a) vary or revoke any requirement of, any appointment made by, or any action taken by the Authority under subsection (2) in the exercise of such power, on such terms as the Authority may specify by written notice;
- (b) exercise any of the powers under subsection (2);
- (c) add to, vary or revoke any term the Authority has specified under this section.

(5) A statutory manager or statutory adviser incurs no liability for anything done (including any statement made) or omitted to be done with reasonable care and in good faith in the course of or in connection with —

- (a) the exercise or purported exercise of any power under this Act;
- (b) the performance or purported performance of any function or duty under this Act; or
- (c) the compliance or purported compliance with this Act.

Emergency powers of Authority applicable to designated payment systems

79.—(1) Without affecting section 78, where the Authority has reason to believe that an emergency exists, or thinks that it is necessary or expedient in the interests of the public or a section of the public to so act, the Authority may exercise one or more of the following powers:

- (a) by written notice, direct an operator or a settlement institution of a designated payment system to take such action as the Authority considers necessary to maintain or restore the safe and efficient operation of the designated payment system;
- (b) apply to the General Division of the High Court for the winding up or bankruptcy (as the case may be) of an operator or a settlement institution of a designated payment system;

- (c) require an operator of a designated payment system to cease operation of the designated payment system.

[40/2019]

(2) Without limiting subsection (1)(a), the actions that the Authority may direct an operator or a settlement institution of a designated payment system to take include modifying or suspending any of the rules of the designated payment system.

(3) The Authority may modify or cancel any action taken by it under subsection (1), and in so modifying or cancelling any such action, the Authority may impose such conditions as it thinks fit, subject to which the modification or cancellation has effect.

(4) An operator or a settlement institution of a designated payment system that fails to comply with any written notice issued under subsection (1)(a) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

Assumption of control

80.—(1) Upon assuming control of any business of a payment entity under section 78(2)(c), the Authority or statutory manager (as the case may be) must take custody or control of the relevant business of the payment entity.

(2) During the period when the Authority or statutory manager is in control of the relevant business of a payment entity, the Authority or statutory manager —

- (a) must manage the relevant business in the name of and on behalf of the payment entity; and
- (b) is treated as an agent of the payment entity.

(3) In managing the relevant business of a payment entity, the Authority or statutory manager has all the duties, powers and functions of the members of the board of directors of the payment entity (collectively and individually) under —

- (a) this Act;
- (b) the Companies Act 1967; and
- (c) the constitution of the payment entity,

including powers of delegation, in relation to the relevant business of the payment entity.

(4) Despite subsection (3), the Authority or statutory manager is not required to call any meeting of the payment entity under the Companies Act 1967 or the constitution of the payment entity.

(5) Despite any written law or rule of law —

- (a) upon the Authority or statutory manager assuming control of any business of a payment entity under section 78(2)(c), any appointment of an individual as chief executive officer or director of the payment entity that was in force immediately before the assumption of control is treated as revoked, unless the Authority gives the Authority's approval, by written notification to the individual and the payment entity, for the individual to remain in the appointment; and
- (b) during the period when the Authority or statutory manager is in control of the relevant business of the payment entity, an individual must not be appointed as chief executive officer or director of the payment entity, except with the approval of the Authority.

(6) Where the Authority has given its approval under subsection (5) for an individual to remain in the appointment of, or to be appointed as, chief executive officer or director of a payment entity, the Authority may at any time, by written notification to the individual, revoke the Authority's approval, and that appointment is treated as revoked on the date specified in the notification.

(7) Despite any written law or rule of law, if any individual, whose appointment as chief executive officer or director of a payment entity is revoked under subsection (5) or (6), acts or purports to act as chief executive officer or director of the payment entity during the period when the Authority or statutory manager is in control of the relevant business of the payment entity under section 78(2)(c) —

- (a) the act or purported act of the individual is invalid and of no effect; and
- (b) the individual shall be guilty of an offence.

(8) Despite any written law or rule of law, if any individual, who is appointed as chief executive officer or director of a payment entity in contravention of subsection (5), acts or purports to act as chief executive officer or director of the payment entity during the period when the Authority or statutory manager is in control of the relevant business of the payment entity under section 78(2)(c) —

- (a) the act or purported act of the individual is invalid and of no effect; and
- (b) the individual shall be guilty of an offence.

(9) During the period when the Authority or statutory manager is in control of the relevant business of a payment entity —

- (a) if there is any conflict or inconsistency between —

- (i) a direction or decision given by the Authority or statutory manager (including a direction or decision given to a person or body of persons mentioned in sub-paragraph (ii)); and
- (ii) a direction or decision given by any chief executive officer, director, member, executive officer, employee, agent or office-holder of the payment entity, by the board of directors of the payment entity, or by any trustee for the payment entity,

the direction or decision mentioned in sub-paragraph (i) prevails over the direction or decision mentioned in sub-paragraph (ii) to the extent of the conflict or inconsistency; and

- (b) a person must not exercise any voting or other right attached to any share in the payment entity in any manner that may defeat or interfere with any duty, power or function of the Authority or statutory manager, and any such exercise or purported exercise of that right is invalid and of no effect.

(10) An individual who is guilty of an offence under subsection (7) or (8) shall be liable on conviction to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$12,500 for every day or part of a day during which the offence continues after conviction.

Other provisions concerning control

81.—(1) The Authority must cease to be in control of the relevant business of a payment entity when the Authority is satisfied that the reasons for the Authority's assumption of control of the relevant business have ceased to exist.

(2) A statutory manager is deemed to have assumed control of the relevant business of a payment entity on the date of the statutory manager's appointment as a statutory manager.

(3) Without limiting section 78(4)(a), the Authority may at any time revoke the appointment of a statutory manager in relation to the relevant business of a payment entity —

- (a) if the Authority is satisfied that the reasons for the appointment have ceased to exist; or
- (b) on any other ground.

(4) The statutory manager ceases to be in control of the relevant business of the

payment entity upon the revocation of the statutory manager's appointment under subsection (3) or section 78(4)(a).

(5) The Authority must publish in the *Gazette* the date, and such other particulars as the Authority thinks fit, of —

- (a) the Authority's assumption of control of the relevant business of a payment entity;
- (b) the cessation of the Authority's control of the relevant business of a payment entity;
- (c) the appointment of a statutory manager in relation to the relevant business of a payment entity; and
- (d) the revocation of a statutory manager's appointment in relation to the relevant business of a payment entity.

Responsibilities of directors, officers, etc., of payment entity

82.—(1) During the period when the Authority or statutory manager is in control of the relevant business of a payment entity —

- (a) a relevant person must provide to the Authority or statutory manager, within such time and in such manner as the Authority or statutory manager may specify, such information as the Authority or statutory manager may require to discharge the duties or functions, or exercise the powers, of the Authority or statutory manager in relation to the payment entity; and
- (b) the General Division of the High Court may, on an application by the Authority or statutory manager, direct any relevant person to pay, deliver, convey, surrender or transfer to the Authority or statutory manager, within such period as the General Division of the High Court may specify, any property or book of the payment entity that —
 - (i) forms part of or relates to the business of the payment entity; and
 - (ii) is in the relevant person's possession or control.

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(2) A person that —

- (a) without reasonable excuse, fails to comply with subsection (1)(a); or
- (b) in purported compliance with subsection (1)(a), knowingly or recklessly provides any information or document that is false or misleading in a

material particular,

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$5,000 for every day or part of a day during which the offence continues after conviction.

(3) In this section, “relevant person” means a current or former chief executive officer, director, executive officer, employee, agent, banker, auditor or office-holder of, or trustee for, the payment entity mentioned in subsection (1).

Remuneration and expenses of Authority and others in certain cases

83. The Authority may at any time fix the remuneration and expenses to be paid by a payment entity —

- (a) to a statutory adviser or statutory manager appointed in relation to the payment entity, whether or not the appointment has been revoked; and
- (b) where the Authority has assumed control of the relevant business of a payment entity, to the Authority and any person appointed by the Authority under section 4 in relation to the Authority’s assumption of control of the relevant business, whether or not the Authority has ceased to be in control of the relevant business.

PART 6

ASSISTANCE TO FOREIGN REGULATORY AUTHORITIES

Interpretation of this Part

84. In this Part, unless the context otherwise requires —

“enforce” means enforce through criminal or administrative proceedings;

“enforcement”, in relation to a regulatory authority, means the taking of any action to enforce a law or regulatory requirement against a specified person, being a law or regulatory requirement that relates to the payment systems or payment services of the foreign country of the regulatory authority concerned;

“foreign country” means a country or territory other than Singapore;

“investigation”, in relation to a regulatory authority, means an investigation to determine if a specified person has contravened or is contravening a law or regulatory requirement, being a law or regulatory requirement that relates to

the payment systems or payment services of the foreign country of the regulatory authority concerned;

“material” includes any information, book, document or other record in any form whatsoever, and any container or article relating to that information, book, document or record;

“prescribed written law” means this Act, or any of the following Acts, and any subsidiary legislation made under this Act or those Acts:

- (a) Banking Act 1970;
- (b) Finance Companies Act 1967;
- (c) Financial Advisers Act 2001;
- (d) Financial Holding Companies Act 2013;
- (da) Financial Services and Markets Act 2022;

[Act 18 of 2022 wef 28/04/2023]

- (e) Insurance Act 1966;
- (f) Monetary Authority of Singapore Act 1970;
- (g) Securities and Futures Act 2001;
- (h) such other Act as the Authority may prescribe;

“regulatory authority”, in relation to a foreign country, means an authority of the foreign country exercising any function that corresponds to a regulatory function of the Authority under this Act;

“supervision”, in relation to a regulatory authority, means the taking of any action for or in connection with the supervision of —

- (a) a licensee that is regulated by the regulatory authority;
- (b) an operator, a settlement institution or a participant, of a designated payment system, that is regulated by the regulatory authority; or
- (c) any other person regulated by the regulatory authority.

Conditions for provision of assistance

85.—(1) The Authority may provide the assistance mentioned in section 87 to a regulatory authority of a foreign country if the Authority is satisfied that all of the following conditions are fulfilled:

- (a) the assistance is intended to enable the regulatory authority, or any other

authority of the foreign country, to carry out the supervision, investigation or enforcement;

- (b) the regulatory authority has given a written undertaking that any material or copy of material obtained pursuant to its request will not be used for any purpose other than a purpose that is specified in the request and approved by the Authority;
- (c) the regulatory authority has given a written undertaking not to disclose to a third party (other than a designated third party of the foreign country in accordance with paragraph (d)) any material received pursuant to the request, unless the regulatory authority is compelled to do so by the law or a court of the foreign country;
- (d) the regulatory authority has given a written undertaking to obtain the prior consent of the Authority before disclosing any material received pursuant to the request to a designated third party, and to make such disclosure only in accordance with such conditions as may be imposed by the Authority;
- (e) the material requested is of sufficient importance to the carrying out of the supervision, investigation or enforcement to which the request relates, and cannot reasonably be obtained by any other means;
- (f) the matter to which the request relates is of sufficient gravity;
- (g) the rendering of assistance will not be contrary to the public interest.

(2) In subsection (1)(c) and (d), “designated third party”, in relation to a foreign country, means —

- (a) any person or body responsible for supervising the regulatory authority in question;
- (b) any authority of the foreign country responsible for carrying out the supervision, investigation or enforcement in question; or
- (c) any authority of the foreign country exercising a function that corresponds to a regulatory function of the Authority under this Act.

Other factors to consider for provision of assistance

86. In deciding whether to grant a request for assistance mentioned in section 87 from a regulatory authority of a foreign country, the Authority may also have regard to the following:

- (a) whether the act or omission that is alleged to constitute the contravention of the law or regulatory requirement to which the request relates would, if

it had occurred in Singapore, have constituted an offence under this Act;

- (b) whether the regulatory authority has given or is willing to give an undertaking to the Authority to comply with a future request by the Authority to the regulatory authority for similar assistance;
- (c) whether the regulatory authority has given or is willing to give an undertaking to the Authority to contribute towards the costs of providing the assistance that the regulatory authority has requested.

Assistance that may be rendered

87.—(1) Despite any provision of or requirement under any prescribed written law, or any rule of law, the Authority or any person authorised by the Authority may, in relation to a request by a regulatory authority of a foreign country for assistance —

- (a) transmit to the regulatory authority any material in the possession of the Authority that is requested by the regulatory authority or a copy of that material;
- (b) order any person to provide to the Authority any material that is requested by the regulatory authority or a copy of that material, and transmit the material or copy to the regulatory authority;
- (c) order any person to transmit directly to the regulatory authority any material that is requested by the regulatory authority or a copy of that material;
- (d) order any person to make an oral statement to the Authority on any information requested by the regulatory authority, record such statement, and transmit the recorded statement to the regulatory authority; or
- (e) request any ministry, Government department or statutory authority to provide to the Authority any material that is requested by the regulatory authority or a copy of that material, and transmit the material or copy to the regulatory authority.

(2) The assistance mentioned in subsection (1)(c) may only be rendered if the material sought is to enable the regulatory authority to carry out an investigation or enforcement.

(3) An order under subsection (1)(b), (c) or (d) has effect despite any obligations as to secrecy or other restrictions upon the disclosure of information imposed by any provision of or requirement under any prescribed written law, rule of law, contract or rule of professional conduct.

(4) Nothing in this section compels an advocate and solicitor to provide or transmit any material or copy of material that contains, or to disclose, any privileged communication made by or to the advocate and solicitor in that capacity.

(5) An advocate and solicitor who refuses to provide or transmit any material or copy of material that contains, or to disclose, any privileged communication is nevertheless obliged to give the name and address (if known to the advocate and solicitor) of the person to whom, or by or on behalf of whom, the privileged communication was made.

(6) A person is not excused from making an oral statement pursuant to an order made under subsection (1)(d) on the ground that the statement might tend to incriminate the person.

Offences under this Part

88.—(1) A person that —

- (a) without reasonable excuse, refuses or fails to comply with an order under section 87(1)(b), (c) or (d);
- (b) in purported compliance with an order made under section 87(1)(b) or (c), provides to the Authority or transmits to a regulatory authority any material or copy of material known to the person to be false or misleading in a material particular; or
- (c) in purported compliance with an order made under section 87(1)(d), makes a statement to the Authority that is false or misleading in a material particular,

shall be guilty of an offence.

(2) A person that is guilty of an offence under subsection (1)(a) shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both and, in the case of a continuing offence, to a further fine not exceeding \$5,000 for every day or part of a day during which the offence continues after conviction; or
- (b) in any other case, to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(3) A person that is guilty of an offence under subsection (1)(b) or (c) shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both; or
- (b) in any other case, to a fine not exceeding \$100,000.

Immunities

89.—(1) No civil or criminal proceedings, other than proceedings for an offence under section 88, shall lie against any person for —

- (a) providing to the Authority or transmitting any material or copy of material to the Authority or a regulatory authority of a foreign country, if that person had provided or transmitted that material or copy in good faith in compliance with an order made under section 87(1)(b) or (c);
- (b) making a statement to the Authority in good faith and in compliance with an order made under section 87(1)(d); or
- (c) doing or omitting to do any act, if that person had done or omitted to do the act in good faith and as a result of complying with an order made under section 87(1)(b), (c) or (d).

(2) A person that complies with an order made under section 87(1)(b), (c) or (d) is not to be treated as being in breach of any restriction upon the disclosure of information or thing imposed by any provision of or requirement under any prescribed written law, rule of law, contract or rule of professional conduct.

PART 7

OFFENCES

Offences by corporations

90.—(1) Where, in a proceeding for an offence under this Act, it is necessary to prove the state of mind of a corporation in relation to a particular conduct, evidence that —

- (a) an officer, employee or agent of the corporation engaged in that conduct within the scope of his or her actual or apparent authority; and
- (b) the officer, employee or agent had that state of mind,

is evidence that the corporation had that state of mind.

(2) Where a corporation commits an offence under this Act, a person —

- (a) who is —

- (i) an officer of the corporation; or
 - (ii) an individual involved in the management of the corporation and in a position to influence the conduct of the corporation in relation to the commission of the offence; and
- (b) who —
 - (i) consented or connived, or conspired with others, to effect the commission of the offence;
 - (ii) is in any other way, whether by act or omission, knowingly concerned in, or is party to, the commission of the offence by the corporation; or
 - (iii) knew or ought reasonably to have known that the offence by the corporation (or an offence of the same type) would be or is being committed, and failed to take all reasonable steps to prevent or stop the commission of that offence,

shall be guilty of the same offence as is the corporation, and shall be liable on conviction to be punished accordingly.

(3) A person mentioned in subsection (2) may rely on a defence that would be available to the corporation if it were charged with the offence with which the person is charged and, in doing so, the person bears the same burden of proof that the corporation would bear.

(4) To avoid doubt, this section does not affect the application of —

- (a) Chapters 5 and 5A of the Penal Code 1871; or
- (b) the Evidence Act 1893 or any other law or practice regarding the admissibility of evidence.

(5) To avoid doubt, subsection (2) also does not affect the liability of the corporation for an offence under this Act, and applies whether or not the corporation is convicted of the offence.

(6) In this section —

“corporation” includes a limited liability partnership within the meaning of section 2(1) of the Limited Liability Partnerships Act 2005;

“officer”, in relation to a corporation, means any director, partner, chief executive,

manager, secretary or other similar officer of the corporation, and includes —

- (a) any person purporting to act in any such capacity; and
- (b) for a corporation whose affairs are managed by its members, any of those members as if the member were a director of the corporation;

“state of mind” of a person includes —

- (a) the knowledge, intention, opinion, belief or purpose of the person; and
- (b) the person’s reasons for the intention, opinion, belief or purpose.

Offences by unincorporated associations or partnerships

91.—(1) Where, in a proceeding for an offence under this Act, it is necessary to prove the state of mind of an unincorporated association or a partnership in relation to a particular conduct, evidence that —

- (a) an employee or agent of the unincorporated association or partnership engaged in that conduct within the scope of his or her actual or apparent authority; and
- (b) the employee or agent had that state of mind,

is evidence that the unincorporated association or partnership had that state of mind.

(2) Where an unincorporated association or a partnership commits an offence under this Act, a person —

- (a) who is —
 - (i) an officer of the unincorporated association or a member of its governing body;
 - (ii) a partner in the partnership; or
 - (iii) an individual involved in the management of the unincorporated association or partnership and in a position to influence the conduct of the unincorporated association or partnership (as the case may be) in relation to the commission of the offence; and
- (b) who —
 - (i) consented or connived, or conspired with others, to effect the commission of the offence;

- (ii) is in any other way, whether by act or omission, knowingly concerned in, or is party to, the commission of the offence by the unincorporated association or partnership; or
- (iii) knew or ought reasonably to have known that the offence by the unincorporated association or partnership (or an offence of the same type) would be or is being committed, and failed to take all reasonable steps to prevent or stop the commission of that offence,

shall be guilty of the same offence as is the unincorporated association or partnership (as the case may be), and shall be liable on conviction to be punished accordingly.

(3) A person mentioned in subsection (2) may rely on a defence that would be available to the unincorporated association or partnership if it were charged with the offence with which the person is charged and, in doing so, the person bears the same burden of proof that the unincorporated association or partnership would bear.

(4) To avoid doubt, this section does not affect the application of —

- (a) Chapters 5 and 5A of the Penal Code 1871; or
- (b) the Evidence Act 1893 or any other law or practice regarding the admissibility of evidence.

(5) To avoid doubt, subsection (2) also does not affect the liability of an unincorporated association or a partnership for an offence under this Act, and applies whether or not the unincorporated association or partnership is convicted of the offence.

(6) In this section —

“officer”, in relation to an unincorporated association (other than a partnership), means the president, the secretary, or any member of the committee of the unincorporated association, and includes —

- (a) any person holding a position analogous to that of president, secretary or member of a committee of the unincorporated association; and
- (b) any person purporting to act in any such capacity;

“partner” includes a person purporting to act as a partner;

“state of mind” of a person includes —

- (a) the knowledge, intention, opinion, belief or purpose of the person; and

- (b) the person's reasons for the intention, opinion, belief or purpose.

Offences by officers

92.—(1) An officer of a relevant entity, whose duty is or includes ensuring that the relevant entity complies with a provision of this Act, who fails to take all reasonable steps to secure such compliance, shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(2) An officer of a relevant entity, whose duty is or includes submitting information to the Authority or any other person under this Act, who fails to take all reasonable steps to ensure the accuracy and correctness of any information so submitted, shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both.

(3) In any proceedings against an officer under subsection (1) or (2), it is a defence for the officer to prove that he or she had reasonable grounds for believing that —

- (a) another individual was charged with the duty of —
 - (i) securing compliance with the requirements of this Act; or
 - (ii) ensuring that the information submitted was accurate, as the case may be; and
- (b) that individual was competent, and in a position, to discharge that duty.

(4) An officer is not to be sentenced to imprisonment for any offence under subsection (1) or (2) unless, in the opinion of the court, the officer committed the offence wilfully.

(5) In this section, “relevant entity” means an entity that is —

- (a) a licensee; or
- (b) an operator, a settlement institution, or a participant, of a payment system.

Falsification of records by officers, etc.

93.—(1) An officer, auditor, employee or agent of a relevant entity who —

- (a) wilfully makes, or causes to be made, a false entry in any book, or in any report, slip, document or statement of the business, affairs, transactions, conditions or assets of the relevant entity;

- (b) wilfully omits to make an entry in any book, or in any report, slip, document or statement of the business, affairs, transactions, conditions or assets of the relevant entity, or wilfully causes any such entry to be omitted; or
- (c) wilfully alters, extracts, conceals or destroys an entry in any book, or in any report, slip, document or statement of the business, affairs, transactions, conditions or assets of the relevant entity, or wilfully causes any such entry to be altered, extracted, concealed or destroyed,

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding \$125,000 or to imprisonment for a term not exceeding 3 years or to both.

(2) In this section —

“officer” includes a person purporting to act in the capacity of an officer;

“relevant entity” means an entity that is —

- (a) a licensee; or
- (b) an operator, a settlement institution, or a participant, of a payment system.

General duty to use reasonable care not to provide false information to Authority

94.—(1) A person who provides the Authority with any information under or for the purposes of any provision of this Act must use reasonable care to ensure that the information is not false or misleading in any material particular.

[Act 1 of 2021 wef 04/04/2024]

(1A) Subsection (1) applies only where no other provision of this Act creates an offence in connection with the provision of information that is false or misleading in a material particular.

[Act 1 of 2021 wef 04/04/2024]

(2) A person who —

- (a) signs any document lodged with the Authority; or
- (b) lodges with the Authority any document by electronic means using any identification or identifying code, password or other authentication method or procedure assigned to the individual by the Authority,

must use reasonable care to ensure that the document is not false or misleading in any material particular.

[Act 1 of 2021 wef 04/04/2024]

(3) A person who contravenes subsection (1) or (2) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both; or
- (b) in any other case, to a fine not exceeding \$100,000.

[Act 1 of 2021 wef 04/04/2024]

General penalty

95. A person guilty of an offence under this Act for which no penalty is expressly provided shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000; or
- (b) in any other case, to a fine not exceeding \$100,000.

Composition of offences

96.—(1) The Authority may compound any offence under this Act that is prescribed as a compoundable offence by collecting from a person reasonably suspected of having committed the offence a sum of money not exceeding half of the amount of the maximum fine prescribed for that offence.

(2) The Authority may compound any offence under this Act (including an offence under a provision that has been repealed) that —

- (a) was compoundable under this section when the offence was committed; but
- (b) has ceased to be so compoundable,

by collecting from a person reasonably suspected of having committed the offence a sum of money not exceeding half of the amount of the maximum fine prescribed for that offence at the time it was committed.

(3) Despite the repeal of the Money-changing and Remittance Businesses Act (Cap. 187, 2008 Revised Edition), the Authority may compound any offence under that Act (including an offence under a provision that has been repealed) that —

- (a) was compoundable under section 29 of that Act when the offence was committed; but
- (b) has ceased to be so compoundable,

by collecting from a person reasonably suspected of having committed the offence a sum of money not exceeding half of the amount of the maximum fine prescribed for that

offence at the time it was committed.

(4) Despite the repeal of the Payment Systems (Oversight) Act (Cap. 222A, 2007 Revised Edition), the Authority may compound any offence under that Act (including an offence under a provision that has been repealed) that —

(a) was compoundable under section 50 of that Act when the offence was committed; but

(b) has ceased to be so compoundable,

by collecting from a person reasonably suspected of having committed the offence a sum of money not exceeding half of the amount of the maximum fine prescribed for that offence at the time it was committed.

(5) On payment of the sum of money mentioned in subsection (1), (2), (3) or (4), no further proceedings may be taken against that person in respect of the offence.

(6) All sums collected by the Authority under subsection (1), (2), (3) or (4) must be paid into the Consolidated Fund.

PART 8

MISCELLANEOUS

Jurisdiction of court

97. Despite any provision to the contrary in the Criminal Procedure Code 2010, a District Court has jurisdiction to try any offence under this Act and has power to impose the full penalty or punishment in respect of any offence under this Act.

Opportunity to be heard

98. Where this Act provides for a person to be given an opportunity to be heard by the Authority, the Authority may prescribe the manner in which the person is to be given such opportunity to be heard.

Power of court to make certain orders

99.—(1) Where, on an application of the Authority, it appears to the court that a person —

(a) has committed an offence under this Act; or

(b) is about to do an act that, if done, would be an offence under this Act,

the court may (without prejudice to any other order it may make) make one or more of the orders under subsection (2).

(2) The orders mentioned in subsection (1) are —

- (a) in the case of a persistent or continuing contravention of a provision of this Act, an order restraining a person from —
 - (i) carrying on a business of providing one or more types of payment services;
 - (ii) carrying on the business of an operator of a payment system;
 - (iii) carrying on the business of a settlement institution of a payment system;
 - (iv) holding itself out as a licensee; or
 - (v) holding itself out as an operator, or a settlement institution, of a designated payment system;
- (b) for the purpose of securing compliance with any order made under this section, an order directing a person to do or refrain from doing any specified act; or
- (c) any ancillary order the court considers to be desirable as a result of making any other order under this section.

(3) The court may, before making an order under subsection (2), direct that notice of the application be given to such person as it thinks fit or that notice of the application be published in such manner as it thinks fit, or both.

(4) A person that, without reasonable excuse, contravenes an order made under subsection (2) shall be guilty of an offence and shall be liable on conviction —

- (a) in the case of an individual, to a fine not exceeding \$50,000 or to imprisonment for a term not exceeding 2 years or to both; or
- (b) in any other case, to a fine not exceeding \$100,000.

(5) Subject to subsection (6), subsection (4) does not affect the powers of the court in relation to the punishment of contempt of court.

(6) A person cannot be punished for contempt of court in respect of any contravention of an order made under subsection (2), for which the person has been convicted of an offence under subsection (4).

(7) A person cannot be convicted of an offence under subsection (4) in respect of any contravention of an order made under subsection (2) that has been punished as a contempt of court.

(8) The court may rescind, vary or discharge, or suspend the operation of, an order made by the court under this section.

General exemption

100.—(1) The Authority may, by regulations, exempt any of the following from all or any of the provisions of this Act, subject to such conditions as may be prescribed:

- (a) any person or class of persons;
- (b) any payment service or class of payment services;
- (c) any payment system or class of payment systems;
- (d) any payment account or class of payment accounts;
- (e) any shares or interests in shares, or class or description of shares or interests in shares;
- (f) any other thing or class or description of things.

(2) Where the Authority, by regulations made under subsection (1), exempts any person or class of persons from section 20(1) and (3), the conditions that may be prescribed under subsection (1) include the following conditions:

- (a) a condition relating to the operations or activities of the exempt person, or of any person in the exempt class of persons;
- (b) a condition relating to the criteria that must be satisfied in order for the exempt person, or any person in the exempt class of persons, to grant any credit facility (within the meaning given by section 20(5)) to any individual in Singapore;
- (c) a condition relating to the standards to be maintained by the exempt person, or by any person in the exempt class of persons, when carrying on a business of granting any such credit facility to any individual in Singapore;
- (d) a condition relating to the duties to be undertaken by the exempt person, or by any person in the exempt class of persons, when doing any of the following things:
 - (i) granting any such credit facility to any individual in Singapore;

- (ii) offering to grant, or issuing any advertisement containing any offer to grant, any such credit facility to any individual in Singapore;
 - (iii) making an offer or invitation, or issuing any advertisement containing any offer or invitation, to any individual in Singapore to enter into any agreement relating to the granting of any such credit facility to that individual;
- (e) a condition relating to the maintenance by the exempt person, or by any person in the exempt class of persons, of a licence, under any other written law, that allows that person to carry on a business of granting any credit facility to any individual in Singapore.

(3) Where the Authority, by regulations made under subsection (1), exempts any person or class of persons from section 28 or 59, the conditions that may be prescribed under subsection (1) include the following conditions:

- (a) a condition restricting the disposal or further acquisition, by that person or class of persons, of any shares or voting power in —
 - (i) a licensee incorporated in Singapore (in the case of an exemption from section 28); or
 - (ii) an operator of a designated payment system (in the case of an exemption from section 59);
- (b) a condition restricting the exercise, by that person or class of persons, of any voting power in —
 - (i) a licensee incorporated in Singapore (in the case of an exemption from section 28); or
 - (ii) an operator of a designated payment system (in the case of an exemption from section 59).

(4) The Authority may, if the Authority considers it appropriate to do so in the circumstances of the case, on the application of any person, exempt the person from —

- (a) all or any of the provisions of this Act; or
- (b) all or any of the requirements imposed by the Authority under this Act.

(5) An exemption under subsection (4) —

- (a) may be granted by written notice subject to such conditions as the Authority may specify in that notice;
- (b) need not be published in the *Gazette*; and
- (c) may be revoked at any time by the Authority.

(6) The Authority may at any time add to, vary or revoke any condition imposed under this section.

(7) A person shall be guilty of an offence if the person contravenes any condition —

- (a) prescribed under subsection (1);
- (b) specified by the Authority under subsection (5)(a); or
- (c) added or varied under subsection (6).

Codes, guidelines, etc., by Authority

101.—(1) The Authority may issue, and in its discretion publish by notification in the *Gazette* or in any other manner the Authority considers appropriate, such codes, guidelines, policy statements, practice notes and no-action letters as the Authority considers appropriate for providing guidance —

- (a) in furtherance of the Authority's regulatory objectives;
- (b) in relation to any matter relating to any of the Authority's functions under this Act; or
- (c) in relation to the operation of any of the provisions of this Act.

(2) The Authority may amend or revoke the whole or any part of any code, guideline, policy statement, practice note or no-action letter issued under this section.

(3) Where amendments are made under subsection (2) —

- (a) the other provisions of this section apply, with the necessary modifications, to such amendments as they apply to the code, guideline, policy statement, practice note or no-action letter; and
- (b) any reference in this Act or any other written law to the code, guideline, policy statement, practice note or no-action letter, however expressed, is (unless the context otherwise requires) a reference to the code, guideline, policy statement, practice note or no-action letter as so amended.

(4) Any failure by a person to comply with any provision of a code, guideline, policy statement or practice note issued under this section to the person does not of itself render

that person liable to criminal proceedings, but any such failure may, in any proceedings, whether civil or criminal, be relied upon by any party to the proceedings as tending to establish or negate any liability that is in question in the proceedings.

(5) The issue by the Authority of a no-action letter does not of itself prevent the institution of any proceedings against any person for the contravention of any provision of this Act.

(6) Any code, guideline, policy statement or practice note issued under this section may be of general or specific application, and may specify that different provisions of such code, guideline, policy statement or practice note apply to different circumstances or provide for different cases or classes of cases.

(7) To avoid doubt, any code, guideline, policy statement, practice note or no-action letter issued under this section is not to be treated as subsidiary legislation.

(8) In this section, “no-action letter” means a letter written by the Authority to a person to the effect that, if the facts are as represented by the person, the Authority will not institute proceedings against the person in respect of a particular state of affairs or particular conduct.

Power of Authority to issue written notice

102.—(1) The Authority may, if it thinks it necessary or expedient for the effective administration of this Act, for the protection of consumers or in the interest of the public or a section of the public, for ensuring the integrity and proper management of a designated payment system, or for ensuring the integrity of the e-money stored in a payment account, issue to any of the following persons or classes of persons a written notice, either of a general or a specific nature, to comply with such requirements as the Authority may specify in the notice:

- (a) any licensee or class of licensees;
- (b) any operator, or class of operators, of a relevant payment system;
- (c) any settlement institution, or class of settlement institutions, of a relevant payment system;
- (d) any participant, or class of participants, of a relevant payment system;
- (e) any person, or class of persons, that determines access to a relevant payment system;
- (f) any exempt payment service provider or class of exempt payment service providers;

- (g) any person, or class of persons, exempt under section 100;
- (h) any person that contravenes, has contravened, or is likely to contravene, any provision of this Act.

(2) Without limiting subsection (1), a notice may be issued —

(a) with respect to —

- (i) the activities that may be carried out by a licensee, an exempt payment service provider, or a person exempt under section 100, in relation to its business;
- (ii) the standards, framework, policies and procedures for the prudent management of risks (including information technology risks) by a licensee, an exempt payment service provider or a person exempt under section 100, or by an operator or a settlement institution of a designated payment system;
- (iii) the financial soundness, financial management and stability of a licensee, an exempt payment service provider or a person exempt under section 100, or of an operator, a settlement institution or a participant of a designated payment system;
- (iv) the standards to be maintained by a licensee, an exempt payment service provider, or a person exempt under section 100, in the conduct of its business;
- (v) the arrangement and conditions that are to apply if a licensee, an exempt payment service provider or a person exempt under section 100, or an operator, a settlement institution or a participant of a designated payment system, appoints any person as an independent contractor to carry out any of the functions and duties of the licensee, exempt payment service provider, person exempt under section 100, operator, settlement institution or participant, as the case may be;
- (vi) the type, form, manner and frequency of returns and other information to be submitted to the Authority;
- (vii) the preparation and publication of reports on the performance of a licensee, an exempt payment service provider or a person exempt under section 100, or of an operator, a settlement institution or a participant of a designated payment system;

- (viii) the remuneration of an auditor appointed under this Act and the costs of an audit carried out under this Act;
- (ix) any measures to be taken by any of the following persons or classes of persons to address any discriminatory measure practised by one or more of those persons or classes of persons:
 - (A) any operator, or class of operators, of a relevant payment system;
 - (B) any settlement institution, or class of settlement institutions, of a relevant payment system;
 - (C) any participant, or class of participants, of a relevant payment system;
 - (D) any person, or class of persons, that determines access to a relevant payment system;
- (x) the appointment of a person approved by the Authority —
 - (A) to advise an operator, a settlement institution or a participant of a designated payment system on the proper conduct of its business; or
 - (B) to advise a class of participants of a designated payment system on the proper conduct of the business of a participant in that class of participants;
- (xi) the collection by or on behalf of the Authority of information from a licensee, an exempt payment service provider or a person exempt under section 100, or from an operator, a settlement institution or a participant of a designated payment system, in relation to the conduct of its business at such intervals or on such occasions as may be set out in the notice;
- (xii) the manner in which a licensee, an exempt payment service provider or a person exempt under section 100, or an operator, a settlement institution or a participant of a designated payment system, deals with its customers, and any conflicts of interests between the licensee, exempt payment service provider, person exempt under section 100, operator, settlement institution or participant (as the case may be) and its customers;

- (xiii) the duties of a licensee, an exempt payment service provider, or a person exempt under section 100, to its customers in the operation of payment accounts maintained for those customers (including duties in relation to the foreign exchange rate to be applied, where the currency for which the licensee, exempt payment service provider or person exempt under section 100 maintains a payment account for a customer is different from the currency received for payment into that payment account);
 - (xiv) the duties of a licensee, an exempt payment service provider, or a person exempt under section 100, to its customers in relation to the safeguarding of money under section 23 (including duties in relation to the foreign exchange rate to be applied, where the currency in which the money is safeguarded is different from the currency received by the licensee, exempt payment service provider or person exempt under section 100 from, or on account of, a customer);
 - (xv) the display or exhibition by a licensee, an exempt payment service provider, or a person exempt under section 100, of such cautionary statements as the Authority thinks fit in a conspicuous place at every place of business of the licensee, exempt payment service provider or person exempt under section 100; and
 - (xvi) the provision by a licensee, an exempt payment service provider, or a person exempt under section 100, of cautionary statements in writing to the customers of the licensee, exempt payment service provider or person exempt under section 100;
- (b) to require any person that contravenes, has contravened, or is likely to contravene, any provision of this Act —
- (i) to comply with, or to cease contravening, that provision;
 - (ii) to take any action necessary to enable the person to conduct the person's business in accordance with sound principles; and
 - (iii) where the person is a company, to remove any of its directors; and
- (c) for any other purpose specified in this Act.

(3) It is not necessary to publish any written notice issued under subsection (1) in the *Gazette*.

(4) The Authority may at any time vary, rescind or revoke any notice issued under subsection (1).

(5) A person that fails to comply with any requirement specified in a notice issued under subsection (1) shall (if the failure to comply with that requirement is not an offence under any other provision of this Act) be guilty of an offence and shall be liable on conviction to a fine not exceeding \$100,000 and, in the case of a continuing offence, to a further fine not exceeding \$10,000 for every day or part of a day during which the offence continues after conviction.

(6) In this section, “discriminatory measure” means any measure that is, or is likely to be, not equally disadvantageous or advantageous to all participants of the relevant payment system, in that the measure —

- (a) prejudices or benefits one or more of those participants to a greater extent than the other participants; or
- (b) prejudices or benefits one or more of those participants without affecting the other participants.

Power of Authority to make regulations

103.—(1) The Authority may make regulations prescribing matters required or permitted by this Act to be prescribed, or necessary or convenient to be prescribed for carrying out or giving effect to this Act.

(2) Without limiting subsection (1), the Authority may make regulations for or with respect to —

- (a) the fees to be paid in respect of any matter or thing required for the purposes of this Act, and the refund or remission of the whole or any part of any such fees;
- (b) the granting, variation, change, lapsing, surrender, revocation or suspension of a licence, and all incidental matters;
- (c) the cessation of the provision of a payment service by a licensee, an exempt payment service provider or a person exempt under section 100, and all incidental matters;
- (d) the activities that may be carried out by an operator, a settlement institution or a participant of a designated payment system, in relation to its business;

- (e) the standards to be maintained by an operator, a settlement institution or a participant of a designated payment system in the conduct of its business;
- (f) any measures to be taken by an operator, a settlement institution, or a participant or class of participants, of a designated payment system in relation to its business;
- (g) the standards, framework, policies and procedures for business continuity management (including for ensuring the availability of a designated payment system by the maintenance of a backup system) by an operator or a settlement institution of a designated payment system;
- (h) the corporate governance of a licensee, an exempt payment service provider or a person exempt under section 100, or of an operator or a settlement institution of a designated payment system;
- (i) prescribing the offences that may be compounded;
- (j) prescribing the procedure —
 - (i) for the use of the electronic service mentioned in section 106; and
 - (ii) in circumstances where there is a breakdown or an interruption of the electronic service;
- (k) the imposition, variation or revocation of an access regime;
- (l) the acquisition or holding of shares or any other interest in an operator of a designated payment system;
- (m) the acquisition or holding of shares or any other interest by an operator of a designated payment system in any other entity;
- (n) different requirements for the audit of accounts in relation to different designated payment systems;
- (o) the responsibilities of an operator or a settlement institution of a designated payment system in relation to the audit of its accounts;
- (p) the procedures applicable in the event of a default in any payment obligations facilitated by a designated payment system, including the suspension and re-admission of any participants of the designated payment system; and
- (q) the determination, for the purposes of this Act, of the equivalent in foreign currency of a Singapore dollar amount, including the exchange rate and

time at which the amount of foreign currency is to be translated to Singapore currency.

(3) Except as otherwise expressly provided in this Act, regulations made under this Act —

- (a) may be of general or specific application;
- (aa) may relate to all, or any class, category or description of persons or payment services, and may make different provisions for different classes, categories or descriptions of persons or payment services or to a particular person or payment service;
[Act 1 of 2021 wef 04/04/2024]
- (b) may contain such saving and transitional provisions as the Authority may consider necessary or expedient;
- (c) may provide that a contravention of any specified provision of the regulations shall be an offence; and
- (d) may provide —
 - (i) in the case of an individual, for penalties not exceeding a fine of \$50,000 or imprisonment for a term not exceeding 2 years or both for each offence and, in the case of a continuing offence, a further penalty not exceeding a fine of \$5,000 for every day or part of a day during which the offence continues after conviction; and
 - (ii) in any other case, for penalties not exceeding a fine of \$100,000 and, in the case of a continuing offence, a further penalty not exceeding a fine of \$10,000 for every day or part of a day during which the offence continues after conviction.

Publication of certain information

104.—(1) The Authority may, from time to time, prepare and publish —

- (a) consolidated statements aggregating any information provided under this Act; or
- (b) for statistical purposes, statements that relate to or are derived from any information provided under this Act in respect of —
 - (i) a payment system, being the only payment system in its class; or

- (ii) a payment service provided by a licensee, being the only payment service in its class.

(2) The Authority may, from time to time and in such form or manner as the Authority considers appropriate, publish such information as the Authority may consider necessary or expedient to publish in the public interest, including information relating to all or any of the following:

- (a) the lapsing, surrender, revocation or suspension of the licence of any person under section 11;
- (b) the acceptance by any person of an offer to compound an offence under section 96;
- (c) the revocation or withdrawal of any exemption granted under this Act;
- (d) the conviction of any person for any offence under this Act;
- (e) any other action taken by the Authority against any person under this Act.

Service of documents

105.—(1) A document that is permitted or required by this Act to be served on a person may be served as described in this section.

(2) A document permitted or required by this Act to be served on an individual may be served —

- (a) by giving it to the individual personally;
- (b) by sending it by prepaid registered post to the address specified by the individual for the service of documents or, if no address is so specified, the individual's residential address or business address;
- (c) by leaving it at the individual's residential address with an adult apparently resident there, or at the individual's business address with an adult apparently employed there;
- (d) by affixing a copy of the document in a conspicuous place at the individual's residential address or business address;
- (e) by sending it by fax to the fax number last known to the person giving or serving the document as the fax number for the service of documents on the individual; or
- (f) by sending it by email to the individual's last email address.

(3) A document permitted or required by this Act to be served on a partnership (other than a limited liability partnership) may be served —

- (a) by giving it to any partner or other similar officer of the partnership;
- (b) by leaving it at, or by sending it by prepaid registered post to, the business address of the partnership;
- (c) by sending it by fax to the fax number used at the business address of the partnership; or
- (d) by sending it by email to the last email address of the partnership.

(4) A document permitted or required by this Act to be served on a body corporate (including a limited liability partnership) or an unincorporated association may be served —

- (a) by giving it to the secretary or other similar officer of the body corporate or unincorporated association, or to the manager of the limited liability partnership;
- (b) by leaving it at, or by sending it by prepaid registered post to, the registered office or principal office of the body corporate or unincorporated association;
- (c) by sending it by fax to the fax number used at the registered office or principal office of the body corporate or unincorporated association; or
- (d) by sending it by email to the last email address of the body corporate or unincorporated association.

(5) Service of a document under subsection (2), (3) or (4) takes effect —

- (a) if the document is sent by fax and a notification of successful transmission is received, on the day of transmission;
- (b) if the document is sent by prepaid registered post, 2 days after the day the document was posted (even if it is returned undelivered); or
- (c) if the document is sent by email, at the time the email becomes capable of being retrieved by the person to whom the document is sent.

(6) A document may be served on a person under this Act by email only with that person's prior written consent.

(7) This section does not apply to documents to be served in proceedings in court.

(8) In this section —

“business address” means —

- (a) in the case of an individual, the individual’s usual or last known place of business, or place of employment, in Singapore; or
- (b) in the case of a partnership (other than a limited liability partnership), the principal or last known place of business in Singapore of the partnership;

“document” includes a notice permitted or required by this Act to be served;

“last email address” means —

- (a) the last email address given, by the addressee concerned to the person giving or serving the document, as the email address for the service of documents under this Act; or
- (b) the last email address of the addressee concerned known to the person giving or serving the document;

“residential address” means an individual’s usual or last known place of residence in Singapore.

Electronic service

106.—(1) The Authority may provide an electronic service for the service of any document that is required or authorised by this Act to be served on any person.

(2) For the purposes of the electronic service, the Authority may assign to any person —

- (a) an authentication code; and
- (b) an account with the electronic service.

(3) Despite section 105, where a person has given consent for any document to be served on the person through the electronic service —

- (a) the Authority may serve the document on that person by transmitting an electronic record of the document to that person’s account with the electronic service; and
- (b) the document is treated as having been served at the time when an electronic record of the document enters the person’s account with the electronic service.

(4) In this section —

“account with the electronic service”, in relation to any person, means a computer account within the electronic service that is assigned by the Authority to the person for the storage and retrieval of electronic records relating to the person;

“authentication code”, in relation to any person, means an identification or identifying code, a password or any other authentication method or procedure that is assigned to the person for the purposes of identifying and authenticating the access to and use of the electronic service by the person;

“document” includes a notice and an order;

“electronic record” has the meaning given by section 2(1) of the Electronic Transactions Act 2010.

Amendment of Schedules

107.—(1) The Minister may, by order in the *Gazette*, amend, add to or vary the First or Second Schedule.

(2) The Minister may, in any order made under subsection (1), make such incidental, consequential or supplementary provisions as may be necessary or expedient.

(3) Any order made under subsection (1) must be presented to Parliament as soon as possible after publication in the *Gazette*.

108. [*Omitted as having had effect*]

PART 9

CONSEQUENTIAL AND RELATED AMENDMENTS TO OTHER ACTS

109. [*Omitted as having had effect*]

110. [*Omitted as having had effect*]

111. [*Omitted as having had effect*]

112. [*Omitted as having had effect*]

Amendment of Financial Holding Companies Act 2013

113. Section 53 of the Financial Holding Companies Act 2013 (Act 13 of 2013) is amended by deleting paragraph (f) of the definition of “prescribed written law” and substituting the following paragraph:

“(f) Payment Services Act 2019;”.

114. *[Omitted as having had effect]*

115. *[Omitted as having had effect]*

116. *[Omitted as having had effect]*

117. *[Omitted as having had effect]*

118. *[Omitted as having had effect]*

119. *[Omitted as having had effect]*

120. *[Omitted as having had effect]*

PART 10

SAVING AND TRANSITIONAL PROVISIONS

Interpretation of this Part

121. In this Part, unless the context otherwise requires —

“approved bank” and “approved holder” have the meanings given by section 2(1) of the PSOA;

“MCRBA” means the Money-changing and Remittance Businesses Act (Cap. 187, 2008 Revised Edition) as in force immediately before 28 January 2020;

“money-changer’s licence” has the meaning given by section 2(1) of the MCRBA;

“PSOA” means the Payment Systems (Oversight) Act (Cap. 222A, 2007 Revised Edition) as in force immediately before 28 January 2020;

“remittance licence” has the meaning given by section 2(1) of the MCRBA;

“stored value facility” has the meaning given by section 2(1) of the PSOA.

Saving and transitional provisions for holders of licences under MCRBA and approved holders of stored value facilities under PSOA

122.—(1) Any person that, immediately before 28 January 2020, is a holder of a remittance licence, but is not also a holder of a money-changer’s licence or an approved holder of a stored value facility —

(a) is deemed to have been granted, on 28 January 2020, a major payment institution licence under section 6(7) that entitles that person to carry on a

business of providing a cross-border money transfer service; and

- (b) is exempt from section 23 for a period of 12 months beginning on 28 January 2020 in respect of any cross-border money transfer service provided by that person.

(2) Any person that, immediately before 28 January 2020, is a holder of a money-changer's licence but is not also a holder of a remittance licence or an approved holder of a stored value facility —

- (a) is deemed to have been granted, on 28 January 2020, a money-changing licence under section 6(7); and
- (b) is exempt from section 23 for a period of 12 months beginning on 28 January 2020 in respect of any money-changing service provided by that person.

(3) Any person that, immediately before 28 January 2020, is an approved holder of a stored value facility, but is not also a holder of a remittance licence or a money-changer's licence, is deemed to have been granted, on 28 January 2020, a major payment institution licence under section 6(7) that entitles that person to carry on a business of providing an e-money issuance service.

(4) Any person that, immediately before 28 January 2020, is a holder of both a remittance licence and a money-changer's licence —

- (a) is deemed to have been granted, on 28 January 2020, a major payment institution licence under section 6(7) that entitles that person to carry on a business of providing both of the following services:
 - (i) a cross-border money transfer service;
 - (ii) a money-changing service; and
- (b) is exempt from section 23 for a period of 12 months beginning on 28 January 2020 in respect of any cross-border money transfer service and any money-changing service provided by that person.

(5) Any person that, immediately before 28 January 2020, is both a holder of a remittance licence and an approved holder of a stored value facility —

- (a) is deemed to have been granted, on 28 January 2020, a major payment institution licence under section 6(7) that entitles that person to carry on a business of providing both of the following services:
 - (i) a cross-border money transfer service;

(ii) an e-money issuance service; and

(b) is exempt from section 23 for a period of 12 months beginning on 28 January 2020 in respect of any cross-border money transfer service provided by that person.

(6) Any person that, immediately before 28 January 2020, is both a holder of a money-changer's licence and an approved holder of a stored value facility —

(a) is deemed to have been granted, on 28 January 2020, a major payment institution licence under section 6(7) that entitles that person to carry on a business of providing both of the following services:

(i) a money-changing service;

(ii) an e-money issuance service; and

(b) is exempt from section 23 for a period of 12 months beginning on 28 January 2020 in respect of any money-changing service provided by that person.

(7) Any person that, immediately before 28 January 2020, is a holder of both a remittance licence and a money-changer's licence and an approved holder of a stored value facility —

(a) is deemed to have been granted, on 28 January 2020, a major payment institution licence under section 6(7) that entitles that person to carry on a business of providing all of the following services:

(i) a cross-border money transfer service;

(ii) a money-changing service;

(iii) an e-money issuance service; and

(b) is exempt from section 23 for a period of 12 months beginning on 28 January 2020 in respect of any cross-border money transfer service and any money-changing service provided by that person.

(8) Every condition or restriction imposed under the MCRBA or the PSOA to which a person mentioned in subsection (1), (2), (3), (4), (5), (6) or (7) is subject, immediately before 28 January 2020, as a holder of a remittance licence or a money-changer's licence or as an approved holder of a stored value facility, is deemed, on 28 January 2020, to be a condition or restriction to which that person is subject as the holder of a licence deemed

to have been granted to that person under the applicable subsection.

(9) Any individual who, immediately before 28 January 2020, is a chief executive officer, director or partner of a person mentioned in subsection (1), (2), (3), (4), (5), (6) or (7) is deemed, on 28 January 2020, to have been appointed as chief executive officer, director or partner (as the case may be) of that person with the approval of the Authority under section 34(3)(b).

(10) Any approval granted, and any condition imposed, under section 11(3) of the MCRBA that remains in force immediately before 28 January 2020 is deemed, on 28 January 2020, to be an approval granted, and a condition imposed, under section 14(6).

Saving and transitional provisions for persons granted exemptions under MCRBA or PSOA

123.—(1) Any person that, immediately before 28 January 2020, was exempt under section 31(3) of the MCRBA from the requirement to hold a remittance licence is deemed, on 28 January 2020, to be exempt under section 100(4) from sections 5(1) and 6(4) and (5) in respect of any business of providing any cross-border money transfer service carried on by that person.

(2) Any person that, immediately before 28 January 2020, was exempt under section 31(3) of the MCRBA from the requirement to hold a money-changer's licence is deemed, on 28 January 2020, to be exempt under section 100(4) from sections 5(1) and 6(3), (4) and (5) in respect of any business of providing any money-changing service carried on by that person.

(3) Any person that, immediately before 28 January 2020, was exempt under section 53(2) of the PSOA from section 33(1) of the PSOA is deemed, on 28 January 2020, to be exempt under section 100(4) from sections 5(1) and 6(4) and (5) in respect of any business of providing any e-money issuance service carried on by that person.

(4) Any person that, immediately before 28 January 2020, was exempt under section 53(2) of the PSOA from section 31 of the PSOA is deemed, on 28 January 2020, to be exempt under section 100(4) from section 9 in respect of any advertisement, offer or invitation mentioned in section 9 relating to the provision by that person of an e-money issuance service, an account issuance service, or both of those services.

(5) Every condition or restriction imposed under the MCRBA or the PSOA to which a person mentioned in subsection (1), (2), (3) or (4) is subject, immediately before 28 January 2020 —

(a) as a person exempt under section 31(3) of the MCRBA from the requirement to hold a remittance licence or a money-changer's licence; or

- (b) as a person exempt under section 53(2) of the PSOA from section 31 or 33(1) of the PSOA,

is deemed, on 28 January 2020, to be a condition or restriction to which that person is subject as a person exempt under section 100(4).

Pending applications for licences and renewals under MCRBA and pending applications for certain approvals under PSOA

124.—(1) Any application for a renewal of a remittance licence or money-changer's licence that is pending, immediately before 28 January 2020, is deemed to have been withdrawn on 28 January 2020, and the Authority must refund any fee paid for that application to the applicant.

(2) Any application for any of the following licences and approvals that is pending, immediately before 28 January 2020, is deemed to have been withdrawn on 28 January 2020, and the Authority must refund any fee paid for that application to the applicant:

- (a) a remittance licence or money-changer's licence;
- (b) approval as an approved holder of a stored value facility;
- (c) approval as an approved bank in respect of a stored value facility.

Saving and transitional provisions for designated payment systems

125.—(1) Any payment system that, immediately before 28 January 2020, is a designated payment system under section 7(1) of the PSOA is deemed, on 28 January 2020, to be a designated payment system under section 42(1).

(2) Any condition or restriction to which a person is subject, immediately before 28 January 2020, in the person's capacity as an operator, a settlement institution or a participant of a designated payment system under the PSOA, is deemed, on 28 January 2020, to be a condition or restriction to which that person is subject under this Act, only to the extent that the condition or restriction is consistent with the provisions of this Act.

(3) Any individual who, immediately before 28 January 2020, is a chief executive officer or director of an operator of a designated payment system under the PSOA is deemed, on 28 January 2020, to have been appointed as chief executive officer or director (as the case may be) of that operator with the approval of the Authority under section 65(3)(b) of this Act.

(4) Any approval mentioned in section 23(1) of the PSOA that remains in force immediately before 28 January 2020 is deemed, on 28 January 2020, to be an approval under section 59(3) of an application under section 59(1) to be a 5% controller of an

operator of a designated payment system.

(5) Any approval mentioned in section 23(2) of the PSOA (for a person to become a 12% controller of an operator of a designated payment system) that remains in force immediately before 28 January 2020 is deemed, on 28 January 2020, to be an approval under section 59(3) of an application under section 59(1) to be a 12% controller of an operator of a designated payment system.

(6) Any approval mentioned in section 23(2) of the PSOA (for a person to become a 20% controller of an operator of a designated payment system) that remains in force immediately before 28 January 2020 is deemed, on 28 January 2020, to be an approval under section 59(3) of an application under section 59(1) to be a 20% controller of an operator of a designated payment system.

(7) Any condition or restriction imposed under section 24 of the PSOA for an approval mentioned in section 23(1) or (2) of the PSOA is deemed, on 28 January 2020, to be a condition or restriction imposed under section 59(4) for the corresponding approval under section 59(3).

Other saving and transitional provisions

126. For a period of 2 years after the date of commencement of any provision of this Act, the Minister may, by regulations, prescribe such additional provisions of a saving or transitional nature consequent to the enactment of that provision as the Minister may consider necessary or expedient.

FIRST SCHEDULE

Sections 2(1) and (4) and 107(1)

PAYMENT SERVICES

PART 1

SERVICES THAT ARE PAYMENT SERVICES

1. Except where Part 2 of this Schedule provides otherwise, each of the following services is a payment service for the purposes of this Act:

- (a) an account issuance service;
- (b) a domestic money transfer service;
- (c) a cross-border money transfer service;

- (d) a merchant acquisition service;
- (e) an e-money issuance service;
- (f) a digital payment token service;
- (g) a money-changing service.

PART 2

SERVICES THAT ARE NOT PAYMENT SERVICES

2. Despite Part 1 of this Schedule, the following services are not payment services for the purposes of this Act:

- (a) the service of executing a payment transaction on behalf of the payer or the payee, if performed by a commercial agent authorised to negotiate or conclude the sale or purchase of goods or services on behalf of the payer or the payee, as the case may be;
- (b) the service of executing a payment transaction based on any of the following documents, each being a document drawn on a person with a view to placing money at the disposal of the payee:
 - (i) any cheque, cashier's order, drawing voucher, dividend warrant, demand draft, remittance receipt, traveller's cheque or gift cheque;
 - (ii) any paper postal order;
- (c) the service of executing any payment transaction within a payment system or securities settlement system between any 2 or more participants of the system (each being a payment service provider, settlement agent, central counterparty, clearing house, central bank or any other participant of the system);
- (d) the service of executing any payment transaction between 2 or more persons (each being a payment services provider, an agent of that payment service provider, or a branch of that payment service provider), each of which acts for its own account in the payment transaction, in any case where the service is provided by one of those persons;
- (e) the service of executing payment transactions (including both domestic money transfers and cross-border money transfers) between 2 or more related corporations, in any case where the payment transaction —
 - (i) is not executed through a payment service provider; or
 - (ii) is executed through a payment service provider that is one of those related corporations;
- (f) the service of transporting currency, including the collection, processing and delivery of the currency, where the provision of the service is carried on as a business;
- (g) the service of collecting and delivering currency, where no fee is collected for the service, and the service is provided as a not-for-profit or charitable activity;

- (h) any service, including (but not limited to) any of the following services, provided by any technical service provider that supports the provision of any payment service, but does not at any time enter into possession of any money under that payment service:
- (i) the service of processing and storing data;
 - (ii) any information technology security, trust or privacy protection service;
 - (iii) any data and entity authentication service;
 - (iv) any information technology service;
 - (v) the service of providing a communication network;
 - (vi) the service of providing and maintaining any terminal or device used for any payment service;
- (i) any payment service mentioned in Part 1 of this Schedule that is provided by any person licensed, approved, registered or regulated, or exempt from being licensed, approved, registered or regulated, under any of the following Acts, in any case where the payment service is solely incidental to or necessary solely for that person to carry on that person's business in any regulated activity for which that person is so licensed, approved, registered, regulated or exempt from being licensed, approved, registered or regulated:
- (i) Financial Advisers Act 2001;
 - (ii) Insurance Act 1966;
 - (iii) Securities and Futures Act 2001;
 - (iv) Trust Companies Act 2005;
- (j) any payment service mentioned in Part 1 of this Schedule that is provided by any person in respect only of any limited purpose e-money;
- (k) any digital payment token service that is provided, in respect of any central bank digital payment token, by any central bank or financial institution;
[Act 1 of 2021 wef 04/04/2024]
- (l) any digital payment token service that is provided in respect of any limited purpose digital payment token.
[Act 1 of 2021 wef 04/04/2024]

PART 3

INTERPRETATION

3. In this Schedule, unless the context otherwise requires —

“account issuance service” means any of the following services:

- (a) the service of issuing a payment account to any person in Singapore;
- (b) any service relating to any operation required for operating a payment account, including —
 - (i) any service (other than a domestic money transfer service or a cross-border money transfer service) that enables money to be placed in a payment account; or
 - (ii) any service (other than a domestic money transfer service or a cross-border money transfer service) that enables money to be withdrawn from a payment account;

“associated company”, in relation to an issuer of electronically stored monetary value, means a company at least 20%, but not more than 50%, of the shares of which are held by the issuer, or by the issuer and its subsidiaries, if any;

“central bank digital payment token” means any digital payment token that is issued by a central bank, or by any entity authorised by a central bank to issue a digital payment token on behalf of the central bank;

“commercial agent” means any person that carries on a business of acting as an authorised agent for another person, for the purposes of negotiating or concluding the sale or purchase of goods or services on behalf of that other person;

“cross-border money transfer service” means any of the following services:

- (a) any service of accepting money in Singapore, whether as principal or agent, for the purpose of transmitting, or arranging for the transmission of, the money to any person outside Singapore (other than any such service that the Authority may prescribe);
- (b) any service of receiving any money from outside Singapore for, or arranging for the receipt of any money from outside Singapore by, any person in Singapore (other than any such service that the Authority may prescribe), whether as principal or as agent;
- (c) any service of arranging for the transmission of money from any country or territory to another country or territory, whether as principal or agent (other than any such service that the Authority may prescribe);

[Act 1 of 2021 wef 04/04/2024]

[Act 1 of 2021 wef 04/04/2024]

“dealing in”, in relation to any digital payment token, means the buying or selling of that digital payment token in exchange for any money or any other digital payment token (whether of the same or a different type), but does not include any of the following:

- (a) facilitating the exchange of digital payment tokens;
- (b) accepting any digital payment token as a means of payment for the provision of goods or services;

- (c) using any digital payment token as a means of payment for the provision of goods or services;

“digital payment token exchange” —

- (a) means a place, or a facility (whether electronic or otherwise), where —
 - (i) offers or invitations to buy or sell any digital payment token in exchange for any money or any other digital payment token (whether of the same or a different type), are regularly made on a centralised basis;
 - (ii) those offers or invitations are intended, or may reasonably be expected, to result (whether directly or indirectly) in the acceptance of those offers or in the making of offers to buy or sell digital payment tokens in exchange for money or other digital payment tokens (whether of the same or a different type), as the case may be; and
 - (iii) the person making any such offer or invitation, and the person accepting that offer or making an offer in response to that invitation, are different persons; but
- (b) does not include a place or facility (whether electronic or otherwise) that is used exclusively by one person to do only either or both of the following things:
 - (i) to make offers or invitations to buy or sell any digital payment token in exchange for any money, or any digital payment token (whether of the same or a different type);
 - (ii) to accept any offer to buy or sell any digital payment token in exchange for any money, or any digital payment token (whether of the same or a different type);

“digital payment token instrument” means any password, code, cipher, cryptogram, private cryptographic key or other instrument that enables a person —

- (a) to control access to one or more digital payment tokens; or
- (b) to execute a transaction involving one or more digital payment tokens;

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“digital payment token service” means any of the following services:

- (a) any service of dealing in digital payment tokens (other than any such service that the Authority may prescribe);
- (b) any service of facilitating the exchange of digital payment tokens (other than any such service that the Authority may prescribe);
- (c) any service of accepting (whether as principal or agent) digital payment tokens from one digital payment token account (whether in Singapore or elsewhere), for

the purposes of transmitting, or arranging for the transmission of, the digital payment tokens to another digital payment token account (whether in Singapore or elsewhere);

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- (d) any service of arranging (whether as principal or agent) for the transmission of digital payment tokens from one digital payment token account (whether in Singapore or elsewhere) to another digital payment token account (whether in Singapore or elsewhere);

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- (e) any service of inducing or attempting to induce any person to enter into or to offer to enter into any agreement for or with a view to buying or selling any digital payment token in exchange for any money or any other digital payment token (whether of the same or a different type);

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- (f) any service of safeguarding a digital payment token, where the service provider has control over the digital payment token;

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- (g) any service of carrying out for a customer an instruction relating to a digital payment token, where the service provider has control over the digital payment token;

[Act 1 of 2021 wef 04/04/2024]

- (h) any service of safeguarding a digital payment token instrument, where the service provider has control over one or more digital payment tokens associated with the digital payment token instrument;

[Act 1 of 2021 wef 04/04/2024]

- (i) any service of carrying out for a customer an instruction relating to one or more digital payment tokens associated with a digital payment token instrument, where the service provider has control over the digital payment token instrument;

[Act 1 of 2021 wef 04/04/2024]

“direct debit” means the act of debiting a payer’s payment account pursuant to a payment transaction initiated by a payee with the consent of the payer, regardless whether the payment order is given by the payee to the payee’s payment service provider or to the payer’s payment service provider;

“domestic money transfer service” means the service of accepting money for the purpose of executing, or arranging for the execution of, any of the following payment transactions, each of which is between a payer in Singapore and a payee in Singapore (except in the case where both the payer and the payee are financial institutions):

- (a) a payment transaction executed from, by way of or through a payment account;
- (b) a direct debit (including a one-off direct debit) through a payment account;
- (c) a credit transfer (including a standing order) through a payment account;
- (d) accepting any money from any person for transfer to the payment account of a different person;

“e-money issuance service” means the service of issuing e-money to any person for the purpose of allowing a person to make payment transactions;

“facilitating the exchange of”, in relation to any type of digital payment token, means establishing or operating a digital payment token exchange for that type of digital payment token, in a case where the person that establishes or operates that digital payment token exchange, for the purposes of an offer or invitation (made or to be made on that digital payment token exchange) to buy or sell that type of digital payment token in exchange for any money or any digital payment token (whether of that type or a different type), comes into possession of any money or any digital payment token, whether at the time that offer or invitation is made or otherwise;

“facilitating the exchange of digital payment tokens” means establishing or operating a digital payment token exchange, in a case where the person that establishes or operates that digital payment token exchange, for the purposes of an offer or invitation (made or to be made on that digital payment token exchange) to buy or sell any digital payment token in exchange for any money or any digital payment token (whether of the same or a different type), comes into possession of any money or any digital payment token, whether at the time that offer or invitation is made or otherwise;

“financial institution” means any person that —

- (a) is licensed, approved, registered or regulated, or is exempt from being licensed, approved, registered or regulated, by the Authority under any written law; or
- (b) is licensed, approved, registered or regulated, or is exempt from being licensed, approved, registered or regulated, under any law administered by an authority in a foreign country (the functions of which correspond to the functions of the Authority in Singapore) to carry on any financial activity in that country;

“financial product” means any product or service that is provided by a financial institution;

“franchise” means a written agreement or arrangement between 2 or more persons by which —

- (a) a party (called in this definition the franchisor) to the agreement or arrangement authorises or permits another party (called in this definition the franchisee) to the agreement or arrangement, or a person associated with the franchisee, to engage in the business of offering, selling or distributing goods or services in Singapore under a plan or system controlled by the franchisor or a person associated with the franchisor;
- (b) the business carried on by the franchisee or person associated with the franchisee (as the case may be) is capable of being identified by the public as associated with a trade mark or service mark, logo, symbol or name identifying, commonly connected with or controlled by the franchisor or person associated with the franchisor, as the case may be;
- (c) the franchisor or person associated with the franchisor (as the case may be) exerts, or has authority to exert, a significant degree of control over the method or manner of operation of the business of the franchisee or person associated with the franchisee, as the case may be;

- (d) the franchisee or person associated with the franchisee (as the case may be) is required under the agreement or arrangement to make payment, or give some other form of consideration, to the franchisor or person associated with the franchisor, as the case may be; and
- (e) the franchisor or person associated with the franchisor (as the case may be) agrees to communicate to the franchisee or person associated with the franchisee (as the case may be) knowledge, experience, expertise, know-how, trade secrets or other information, whether or not the knowledge, experience, expertise, know-how or information is proprietary or confidential;

“in-game asset” means any digital representation of value that —

- (a) is purchased or otherwise acquired by a person (called in this definition the game player);
- (b) is not denominated in any currency;
- (c) is issued as part of an online game; and
- (d) is used by the game player to pay or in exchange for virtual objects or services in the online game;

“limited network of providers of goods or services”, in relation to any electronically stored monetary value that is accepted by a member of the network as payment or part payment for goods or services, means any of the following groups of entities:

- (a) a group of entities consisting only of all parties to a franchise, of which the issuer of the electronically stored monetary value is a party;
- (b) a group of entities consisting only of the issuer of the electronically stored monetary value and all of its related corporations;
- (c) where any securities or securities-based derivatives contracts of the issuer of the electronically stored monetary value are listed on the Mainboard of Singapore Exchange Limited, a group of entities consisting only of that issuer and all of its associated companies;

“limited purpose digital payment token” means any non-monetary customer loyalty or reward point, any in-game asset, or any similar digital representation of value that —

- (a) cannot be returned to its issuer, transferred or sold in exchange for money; and
- (b) may only be used —
 - (i) in the case of a non-monetary customer loyalty or reward point — for the payment or part payment of, or in exchange for, goods or services, or both, provided by its issuer or any merchant specified by its issuer; or
 - (ii) in the case of an in-game asset — for the payment of, or in exchange for, virtual objects or virtual services within an online game, or any similar thing within, that is part of, or in relation to, an online game;

“limited purpose e-money” means any of the following types of electronically stored monetary value:

- (a) any electronically stored monetary value that is, or is intended to be, used only in Singapore for any of the following purposes:
 - (i) the payment or part payment of goods or services (or both) provided by the issuer of the electronically stored monetary value;
 - (ii) the payment or part payment of goods or services (or both) provided by any member of a limited network of providers of goods or services, being a network that has a commercial arrangement with the issuer of the electronically stored monetary value for every member of the network to accept the electronically stored monetary value as payment or part payment for goods or services (or both) provided by the member;
 - (iii) the payment or part payment of goods or services (or both) provided by any person within any one or more physical premises owned, operated or managed by the issuer of the electronically stored monetary value, or any related corporation or associated company of that issuer, in a case where all of the following conditions are satisfied:
 - (A) the user of the electronically stored monetary value is not contractually entitled to receive any refund of any unused portion of the electronically stored monetary value in any currency;
 - (B) if the electronically stored monetary value exceeds \$100 (or its equivalent in a foreign currency), any unused portion of the electronically stored monetary value cannot be refunded to the user of the electronically stored monetary value in any currency, unless the issuer identifies and verifies the identity of that user;
 - (C) the electronically stored monetary value cannot be withdrawn by the user of the electronically stored monetary value, from any payment account maintained for that user, in exchange for any currency;
 - (D) the amount of electronically stored monetary value contained in any payment account maintained for the electronically stored monetary value cannot exceed \$1,000 (or its equivalent in a foreign currency);
- (b) any electronically stored monetary value that is, or is intended to be, used only in Singapore in a case where —
 - (i) all of the electronically stored monetary value is issued by a public authority; or
 - (ii) a public authority has undertaken to be fully liable for the value of all

of the electronically stored monetary value issued by the issuer of the electronically stored monetary value, in the event of any default by the issuer in honouring a valid payment made using the electronically stored monetary value;

(c) any electronically stored monetary value, that —

- (i) is denominated in any currency;
- (ii) is issued as part of a scheme, the dominant purpose of which is to promote the purchase of goods, or the use of services, provided by the issuer of the electronically stored monetary value or any merchant specified by that issuer;
- (iii) is issued to a user of the electronically stored monetary value upon the purchase of goods, or the use of services, provided by the issuer of the electronically stored monetary value or any merchant specified by that issuer;
- (iv) is used for the payment or part payment of goods or services (or both) provided by the issuer of the electronically stored monetary value or any merchant specified by that issuer;
- (v) is not part of a financial product;
- (vi) cannot be withdrawn by the user of the electronically stored monetary value, from any payment account maintained for that user, in exchange for currency; and
- (vii) if the electronically stored monetary value exceeds \$100 (or its equivalent in a foreign currency), cannot be refunded to the user of the electronically stored monetary value in any currency, unless the issuer of the electronically stored monetary value identifies and verifies the identity of that user;

“merchant acquisition service” means any service of accepting and processing a payment transaction for a merchant under a contract between the provider of the service and the merchant, which results in a transfer of money to the merchant pursuant to the payment transaction, regardless whether the provider of the service comes into possession of any money in respect of the payment transaction, in a case where —

- (a) the merchant carries on business in Singapore, or is incorporated, formed or registered in Singapore; or
- (b) the contract between the provider of the service and the merchant is entered into in Singapore;

“money-changing service” means the service of buying or selling foreign currency notes;

“non-monetary customer loyalty or reward point” means any digital representation of value, by whatever name called, that satisfies all of the following conditions:

- (a) it is not denominated in any currency;
- (b) it is issued as part of a scheme, the dominant purpose of which is to promote the purchase of goods, or the use of services, provided by its issuer or any merchant specified by its issuer;
- (c) it is issued to a person upon the purchase of goods, or the use of services, provided by its issuer or any merchant specified by its issuer;
- (d) it is used for the payment or part payment of, or in exchange for, goods or services (or both) provided by its issuer or any merchant specified by its issuer;
- (e) it is not part of a financial product;

“related corporation” has the meaning given by section 4(1) of the Companies Act 1967.

4. For the purposes of this Schedule —

- (a) a person is deemed to provide a cross-border money transfer service if that person offers —
 - (i) to transmit money in Singapore on behalf of a person in Singapore to a person outside Singapore;
 - (ii) to arrange in Singapore for money in Singapore to be transmitted from a person in Singapore to a person outside Singapore;
 - (iii) to receive money in Singapore on behalf of a person in Singapore from a person outside Singapore; or
 - (iv) to arrange in Singapore for money to be received in Singapore by a person in Singapore from a person outside Singapore;

[Act 1 of 2021 wef 04/04/2024]
- (b) a person is deemed to provide a money-changing service if the person offers to buy or sell foreign currency notes; and

[Act 1 of 2021 wef 04/04/2024]
- (c) a person has control over a digital payment token whether the person has control over the digital payment token solely or jointly with one or more other persons.

[Act 1 of 2021 wef 04/04/2024]

SECOND SCHEDULE

Sections 4(2) and 107(1)

SPECIFIED PROVISIONS

1. Section 13(3)

2. Section 100(4)

LEGISLATIVE HISTORY

PAYMENT SERVICES ACT 2019

This Legislative History is a service provided by the Law Revision Commission on a best-efforts basis. It is not part of the Act.

1. Act 40 of 2019—Supreme Court of Judicature (Amendment) Act 2019

Date of First Reading	:	7 October 2019 (Bill No. 32/2019)
Date of Second and Third Readings	:	5 November 2019
Date of commencement	:	2 January 2021

2. Act 1 of 2020—Banking (Amendment) Act 2020

Date of First Reading	:	4 November 2019 (Bill No. 35/2019)
Date of Second and Third Readings	:	6 January 2020
Date of commencement	:	1 July 2021

3. 2020 Revised Edition—Payment Services Act 2019

Date of operation	:	31 December 2021
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4. Act 25 of 2021—Courts (Civil and Criminal Justice) Reform Act 2021

Date of First Reading	:	26 July 2021 (Bill No. 18/2021)
Date of Second and Third Readings	:	14 September 2021
Date of commencement	:	1 April 2022

5. Act 2 of 2019—Payment Services Act 2019

Date of First Reading	:	19 November 2018 (Bill No. 48/2018)
Date of Second and Third Readings	:	14 January 2019

- Date of commencement : 28 January 2020 (Parts 1 to 8, sections 109, 110, 112, 115 to 120, Part 10, the First and Second Schedules)
30 July 2020 (Section 114)
31 May 2021 (Section 111)
30 June 2022 (Section 113)
- 6. Act 1 of 2021—Payment Services (Amendment) Act 2021**
(Amendments made by the above Act)
- Date of First Reading : 2 November 2020 (Bill No. 41/2020 published on 2 November 2020)
- Second and Third Readings : 4 January 2021
- Date of Commencement : 4 April 2024
- 7. Act 18 of 2022—Financial Services and Markets Act 2022**
- Date of First Reading : 14 February 2022
(Bill No. 4/2022)
- Date of Second and Third Readings : 5 April 2022
- Date of commencement : 28 April 2023 (Section 207(2), (4) and (5))
31 July 2024 (Section 207(1) and (3))
- 8. Act 12 of 2024—Financial Institutions (Miscellaneous Amendments) Act 2024**
- Date of First Reading : 10 January 2024
(Bill No. 4/2024)
- Date of Second and Third Readings : 7 March 2024
- Date of commencement : 24 January 2025
- 9. Act 5 of 2025—Electronic Gazette and Legislation Act 2025**
- Bill : 47/2024
- First Reading : 11 November 2024

Second and Third Readings	: 7 January 2025
Commencement	: 9 March 2025

Abbreviations

(updated on 29 August 2022)

G.N.	Gazette Notification
G.N. Sp.	Gazette Notification (Special Supplement)
L.A.	Legislative Assembly
L.N.	Legal Notification (Federal/Malaysian)
M.	Malaya/Malaysia (including Federated Malay States, Malayan Union, Federation of Malaya and Federation of Malaysia)
Parl.	Parliament
S	Subsidiary Legislation
S.I.	Statutory Instrument (United Kingdom)
S (N.S.)	Subsidiary Legislation (New Series)
S.S.G.G.	Straits Settlements Government Gazette
S.S.G.G. (E)	Straits Settlements Government Gazette (Extraordinary)

COMPARATIVE TABLE

PAYMENT SERVICES ACT 2019

This Act has undergone renumbering in the 2020 Revised Edition. This Comparative Table is provided to help readers locate the corresponding provisions in the last Revised Edition.

2020 Ed.	Act 2 of 2019
1—(1) and (2)	1